
EURUSD,M15 1.32281 1.32286 1.32256 1.32284
11 MIN 28 Sec left to candle close
Spread: 1.9 pips
Not so nice to trade
Much nicer to trade
DPI 0.000118 0.000045 0.000045 0.000118 0.000073
1.31875
1.31830
1.31785
1.31740
1.31695
1.31650
1.31605
1.31560
1.31515
1.31470
1.31425
0.00
14 Dec 2012
17 Dec 00:00
17 Dec 02:00
17 Dec 04:00
17 Dec 06:00
17 Dec 08:00
17 Dec 10:00
17 Dec 12:00
17 Dec 14:00
17 Dec 16:00
17 Dec 18:00
17 Dec 20:00
17 Dec 22:03
18 Dec 00:00
18 Dec 02:00

Presents

Rapid Results Method

"SILLY SEASON"

Modifications

By Russ Horn

RISK DISCLOSURE STATEMENT / DISCLAIMER AGREEMENT

Trading any financial market involves risk. This report and all and any of its contents are neither a solicitation nor an offer to Buy/Sell any financial market.

The contents of this report are for general information and educational purposes only (contents shall also mean the website www.rapidresultsmethod.com or any website the content is hosted on, and any email correspondence or newsletters or postings or affiliate site as related to such website). Every effort has been made to accurately represent this product and its potential. There is no guarantee that you will earn any money using the techniques, ideas and software in these materials. Examples in these materials are not to be interpreted as a promise or guarantee of earnings. Earning potential is entirely dependent on the person using our product, ideas and techniques. We do not purport this to be a “get rich scheme.”

Although every attempt has been made to assure accuracy, we do not give any express or implied warranty as to its accuracy. We do not accept any liability for error or omission. Examples are provided for illustrative purposes only and should not be construed as investment advice or strategy.

No representation is being made that any account or trader will or is likely to achieve profits or losses similar to those discussed in this report or anywhere on www.rapidresultsmethod.com. Past performance is not indicative of future results.

By purchasing and/or using any content or product including material herein contained, subscribing to our mailing list or using the website or contents of the website or materials provided herewith, you will be deemed to have accepted these terms and conditions in full as appear also on our site, as do our full earnings disclaimer and privacy policy and CFTC disclaimer and rule 4.41 to be read herewith. So too, all the materials contained within this course, including this manual, whether they appear on our domain(s) or are in physical form, are protected by copyright. "Warning: The unauthorized reproduction or distribution of this copyrighted work is illegal. Criminal copyright infringement, including infringement without monetary gain, is investigated by the authorities and is punishable with imprisonment and a fine." We reserve all our rights in this regard.

Old Tree Publishing CC, in association with www.rapidresultsmethod.com, the website, content, and its representatives Including Russ Horn do not and cannot give investment advice or invite customers or readers to engage in investments through this report or any associated software or any subscription to any part of it.

The information provided in this content is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to law or regulation or which would subject us to any registration requirement within such jurisdiction or country.

Hypothetical performance results have many inherent limitations, some of which are mentioned below. No representation is being made that any account will or is likely to achieve profits or losses similar to those shown. In fact, there are frequently sharp differences between hypothetical performance results and actual results subsequently achieved by any particular trading program and method or software. Old Tree publishing by users download and/or use of this report is indemnified fully by any such user in any and all and each respect possible.

One of the limitations of hypothetical performance results is that they are generally prepared with the benefit of hindsight. In addition, hypothetical trading does not involve financial risk and no hypothetical trading record can completely account for the impact of financial risk in actual trading.

For example, the ability to withstand losses or to adhere to a particular trading program or system in spite of the trading losses are material points that can also adversely affect trading results. There are numerous other factors related to the market in general or to the implementation of any specific trading program, which cannot be fully accounted for in the preparation of hypothetical performance results. All of which can adversely affect actual trading results.

We reserve the right to change these terms and conditions without notice. You can check for updates to this disclaimer at any time by visiting www.rapidresultsmethod.com.

Governing law: This policy and the use of this report/eBook, provided in any form, and any content on the website site are governed by the laws of the Republic of South Africa. Further details on this are found under the Terms and conditions on our site. Please ensure you read and agree with all Terms and Conditions as set out on our site before using any of the materials. Your use and reliance on the materials is based on your acceptance of such Terms and Conditions and policies as appear on the site.

The Silly Season

This time of year is always a little crazy… some would say a lot crazy!

The markets are no exception to this rule. From December 15 through to January 15, the big market-moving traders across the world are off for the holidays, they aren't trading.

The market has then taken on a rawer, choppy interpretation of the corporate transactions that happen globally. The markets have very little in a definable trend as one large corporation's financial conversion can play havoc with the currency prices. Just when a trend looks to start, it will change its direction based on something else fundamental that we can't see coming.

Generally, most trades do not trade the silly season, they spend this time with their families, take holidays, enjoy the time with friends and loved ones. After January 15, it's business as usual as the chaos has subsided.

However, new traders are often very excited to trade and will trade through absolutely anything. Unfortunately, trading though this time of year can be hazardous to your trading account, no matter what system you are trading. It happens every year, this is normal. The market WILL return back to normal.

Seeing that traders are an eager bunch, what I have done is tweak the RRM system to accommodate the chop in the market. If I can't keep you from trading, I at least want you to have the best chance of trading a bad market.

What I propose is some alterations to the setting of the indicators to the RRM system. The rules stay the same, but the indicator settings will change or be removed entirely.

So let's get started…

Section 1: Changing the charts

This is what the market looks like right now:

Of course there is a lot of trending opportunities also, but trying to trade them is more luck than system at the moment. As you can see in the image above, we experience a lot of these ranging periods. The indicators will find a trend by the nature of the position of the candles or by recent runs the market has made, but they are not true trends. They have some push and the market does move a little bit, but price is very quickly pulled right back into a range.

Because of the very fast nature of the market corrections, the Parabolic Stop and Reverse (PSAR) does not have time to do its job properly.

1. The first thing we are going to do is remove the PSAR

- Right-click on one of the green PSAR dots and choose "Delete Indicator" from the pop-up menu.

2. The next thing we are going to do is remove the 89 EMA. This is the white dotted line on your chart. What this does is interpret the long term trend direction. When the market is moving correctly, there is a short, medium and long term trend, but because of the chop we are seeing now, the long term trend is not really valid at this time.

- Right-click on the white dotted moving average and click "Delete Indicator" from the pop-up menu.

3. Next, we are going to speed up the Ribbon indicators. We want the market to be more likely to touch the Ribbon to trigger a trade.

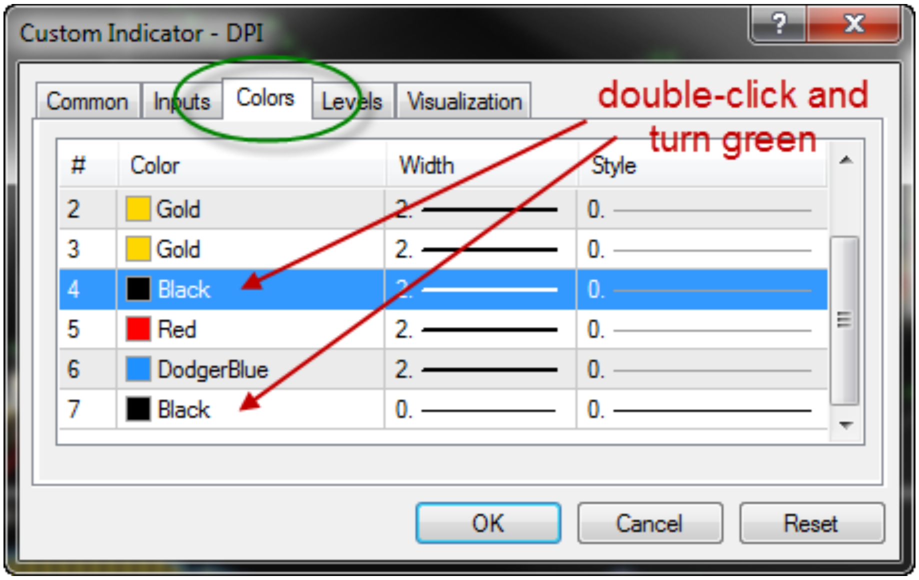
- First, we want to remove the dotted "fill" moving averages in the Ribbon. Right-click on each of the 7, 9, and 11 EMAs and for each click "Delete indicator".

- Next, double-click the yellow 5 EMA and under the Parameters tab, change the Period setting from 5 to 3 and then click OK. The yellow moving average will now be a 3 EMA.

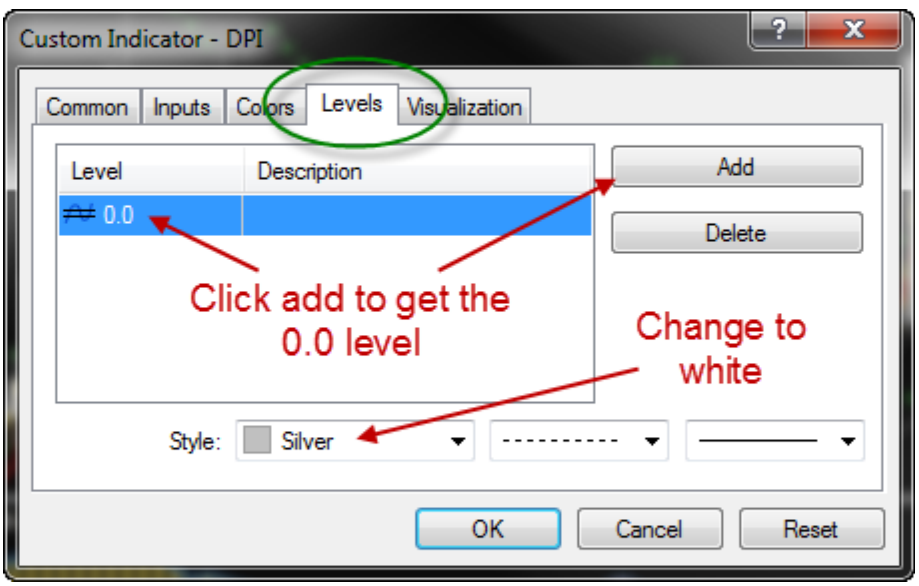
- Next, double-click the red 13 EMA and under the Parameters tab, change the Period setting from 13 to 8 and click OK. The red moving average will now be an 8 EMA.

4. Finally, we are going to "unlock", or "open up" the DPI. There are a couple of aspects to the DPI that we haven't covered yet, but now we are going to reveal the entire look of the DPI.

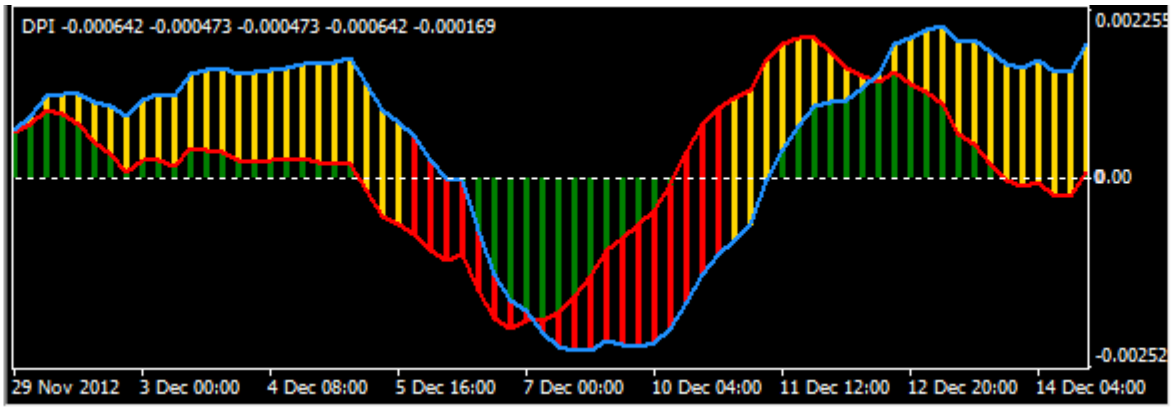
- Right-click on the DPI and click on "DPI properties".
- Under the "Colors" tab, change number 4 and number 7 to a green color (it can be any color you like, just not the color of the background of your chart, for most of us it's black)



- Under the Levels tab, click ADD to automatically add a 0.0 level and then change the "Style" color to white.



- Click OK and you will have your “Opened” DPI, it will look like this:



Your charts should now look like this:

Section 2: Trading the Silly Season Charts

The rules still stand. Nothing changes in the regards to the Ribbon trade and the Ghost trade. There is no longer an 89 EMA, so there is no Shark Trade.
It is recommended that you stay away from the Ghost trade as well. The risk reward doesn't usually work out on this particular trade. With this new version, the Ghost trades will work, but they are a lower probability trade setup.

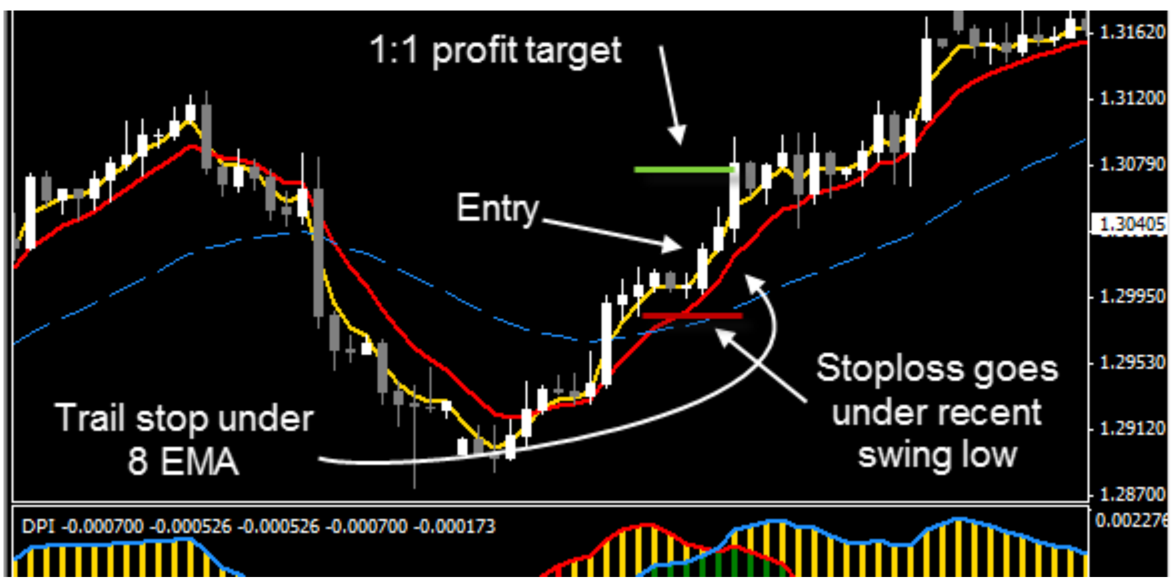
We will cover overbought and over sold conditions as per the DPI. These are times when you shouldn't be taking a trade even when the setup occurs.

- Long Ribbon trade

1. The DPI histogram is yellow
2. The Ribbon (the 3 EMA and the 8 EMA combination) is over the 34 EMA.
3. The price pulls back into the 8 EMA.
4. Price closes above the 3 EMA.

5. Enter on the close of the candle that closes above the 3 EMA.
6. Stop loss will go under the most recent swing low.
7. Target is 1:1
8. Stop loss to be trailed along the 8 EMA.

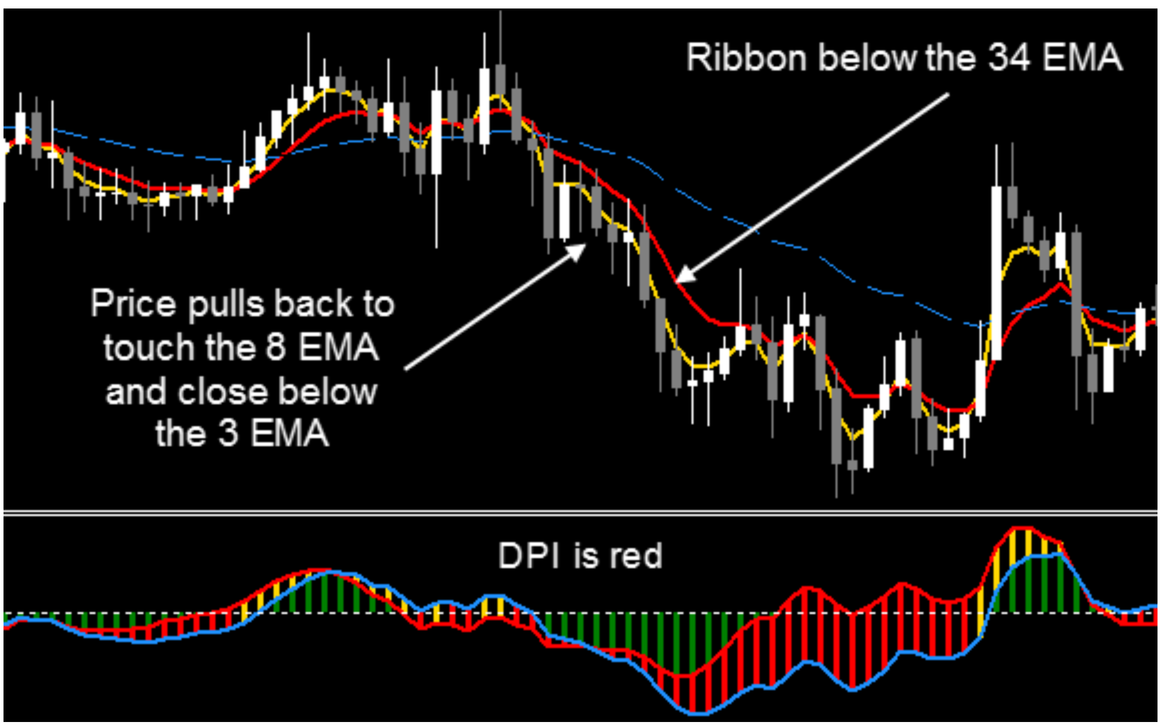
Stop Loss placement and Take Profit levels:



- Short Ribbon trade

1. The DPI histogram is red
2. The Ribbon (the 3 EMA and the 8 EMA combination) is under the 34 EMA.
3. The price pulls back into the 8 EMA.
4. Price closes below the 3 EMA.

5. Enter on the close of the candle that closes below the 3 EMA.
6. Stop loss will go over the most recent swing high.
7. Target is 1:1
8. Stop loss to be trailed along the 8 EMA.

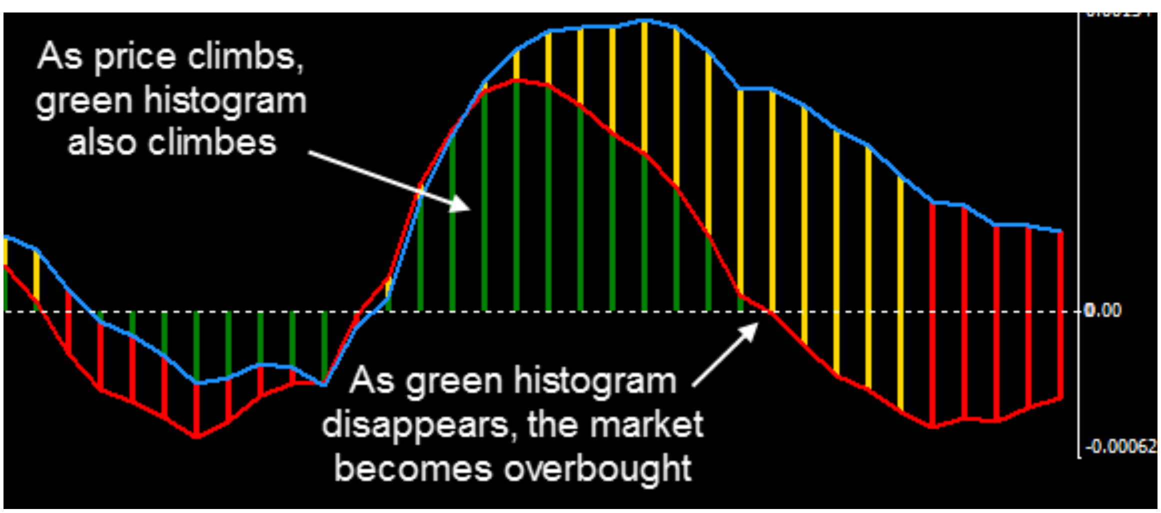


Stop Loss placement and Take Profit levels:

Once price starts to move, you can trail your stoploss along the 8 EMA. Not ON the 8, but a little bit above it.

- DPI Over-Bought

As price rises, it will encounter a condition where it's over extended. We will see trade signals on an over extended condition, but they are less likely to work out. We can use the DPI to determine an over-bought market condition.



As the DPI histogram climbs, price will climb as well. As price approaches an over extended scenario, the Green histogram will start to shrink. By the time we are officially overbought, the green histogram will disappear entirely.

Any long trade when the DPI is overbought will be less likely to become successful. You can see in the image above that the long trade setups while the DPI is straddling the white dotted 0 line is unsuccessful.

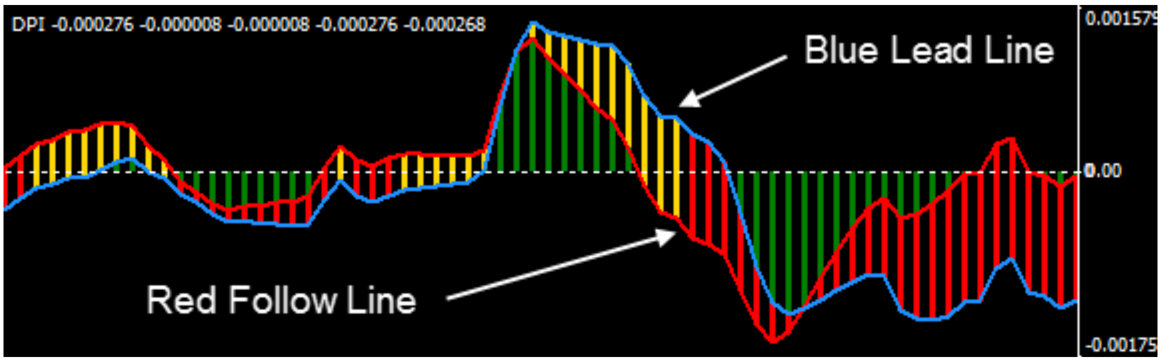
Right after the over-bought condition in the market, it plunges and soon becomes over-sold. In the image below you can see an actual trade setup and how it doesn't work out when the market is moving sideways.

What follows is a Yellow DPI, this will reset the short opportunities. Once we get an oversold red DPI, we can look for short trades once again after the DPI turns yellow and then red again.

- DPI Angle

It's a good idea to make note of the angle of the DPI lines when you are taking a trade.

There are 2 lines on the DPI, there is the blue Lead Line and the red Follow Line.



In a short trade, you would ideally want to see both the Lead line and the Follow line be headed downwards.

In a long trade, you would like to see both the Lead and Follow lines pointed upwards.

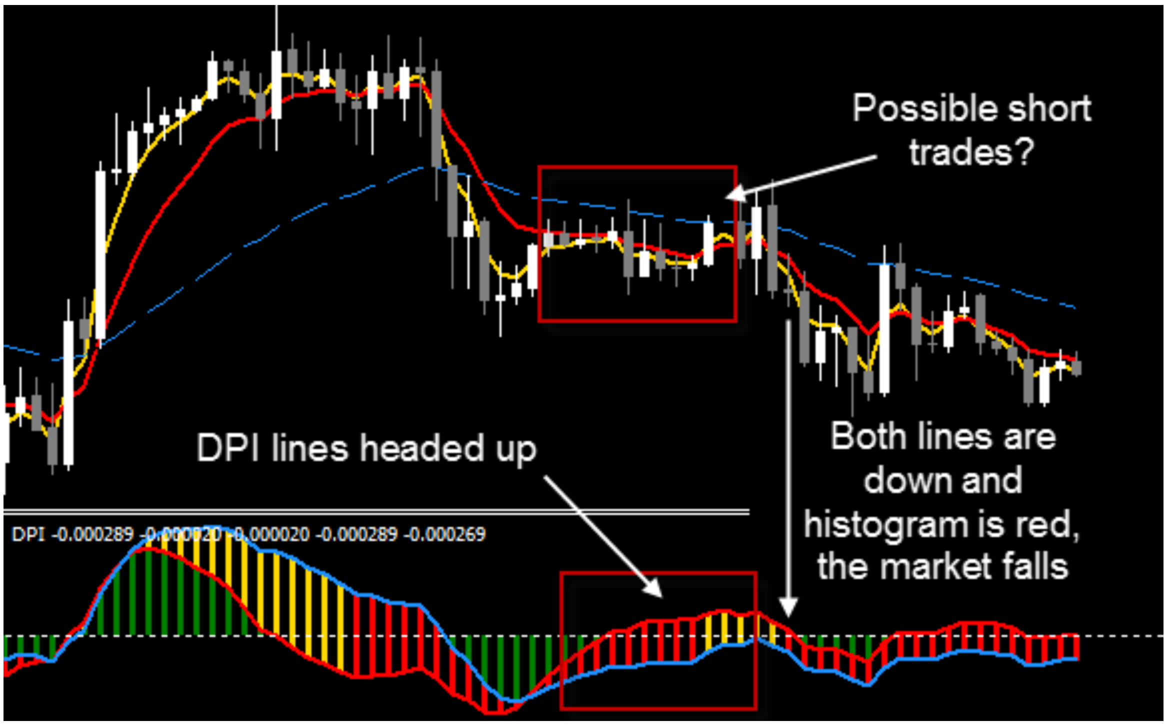
As price starts to become over-bought or over-sold, the red Follow line will start to head in the opposite direction first, quickly followed by the Lead line. This is a good heads up to the market needing to either take a break or a pause, or need to make a retracement or a pullback, even if it's just a small one.

Although the DPI is overlapping the 0 line, we can still see that there could be potentially trades setting up in the Ribbon. As the DPI lines are both sloping downwards, you can see that no trade long works out.

It is confusion between the moving averages trending phase and the DPI bearish bias. We would like to see everything come together ad say the same thing.

Here is another example of indecision.

Again though, you wouldn't want to be trading this anyways because of the fact the 0 line is running through the DPI histogram, but you can see how the follow line is sloping upwards the entire time, although the moving averages are suggesting down.



You can see that after the rising of the DPI line, finally the histogram turns red and both the Lead and Follow lines slope down and the market falls the way it's supposed to.

Presents

The JUMP Trade

By Russ Horn

RISK DISCLOSURE STATEMENT / DISCLAIMER AGREEMENT

Trading any financial market involves risk. This report and all and any of its contents are neither a solicitation nor an offer to Buy/Sell any financial market.

The contents of this report are for general information and educational purposes only (contents shall also mean the website www.rapidresultsmethod.com or any website the content is hosted on, and any email correspondence or newsletters or postings or affiliate site as related to such website). Every effort has been made to accurately represent this product and its potential. There is no guarantee that you will earn any money using the techniques, ideas and software in these materials. Examples in these materials are not to be interpreted as a promise or guarantee of earnings. Earning potential is entirely dependent on the person using our product, ideas and techniques. We do not purport this to be a “get rich scheme.”

Although every attempt has been made to assure accuracy, we do not give any express or implied warranty as to its accuracy. We do not accept any liability for error or omission. Examples are provided for illustrative purposes only and should not be construed as investment advice or strategy.

No representation is being made that any account or trader will or is likely to achieve profits or losses similar to those discussed in this report or anywhere on www.rapidresultsmethod.com. Past performance is not indicative of future results.

By purchasing and/or using any content or product including material herein contained, subscribing to our mailing list or using the website or contents of the website or materials provided herewith, you will be deemed to have accepted these terms and conditions in full as appear also on our site, as do our full earnings disclaimer and privacy policy and CFTC disclaimer and rule 4.41 to be read herewith. So too, all the materials contained within this course, including this manual, whether they appear on our domain(s) or are in physical form, are protected by copyright. "Warning: The unauthorized reproduction or distribution of this copyrighted work is illegal. Criminal copyright infringement, including infringement without monetary gain, is investigated by the authorities and is punishable with imprisonment and a fine." We reserve all our rights in this regard.

Old Tree Publishing CC, in association with www.rapidresultsmethod.com, the website, content, and its representatives Including Russ Horn do not and cannot give investment advice or invite customers or readers to engage in investments through this report or any associated software or any subscription to any part of it.

The information provided in this content is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to law or regulation or which would subject us to any registration requirement within such jurisdiction or country.

Hypothetical performance results have many inherent limitations, some of which are mentioned below. No representation is being made that any account will or is likely to achieve profits or losses similar to those shown. In fact, there are frequently sharp differences between hypothetical performance results and actual results subsequently achieved by any particular trading program and method or software. Old Tree publishing by users download and/or use of this report is indemnified fully by any such user in any and all and each respect possible.

One of the limitations of hypothetical performance results is that they are generally prepared with the benefit of hindsight. In addition, hypothetical trading does not involve financial risk and no hypothetical trading record can completely account for the impact of financial risk in actual trading.

For example, the ability to withstand losses or to adhere to a particular trading program or system in spite of the trading losses are material points that can also adversely affect trading results. There are numerous other factors related to the market in general or to the implementation of any specific trading program, which cannot be fully accounted for in the preparation of hypothetical performance results. All of which can adversely affect actual trading results.

We reserve the right to change these terms and conditions without notice. You can check for updates to this disclaimer at any time by visiting www.rapidresultsmethod.com.

Governing law: This policy and the use of this report/eBook, provided in any form, and any content on the website site are governed by the laws of the Republic of South Africa. Further details on this are found under the Terms and conditions on our site. Please ensure you read and agree with all Terms and Conditions as set out on our site before using any of the materials. Your use and reliance on the materials is based on your acceptance of such Terms and Conditions and policies as appear on the site.

The JUMP Trade

The Jump Trade is an early trade setup that we find in the Unordered Phase.

As you know, there are 3 market phases:
1. Trending Phase
2. Emerging Phase
3. Unordered Phase

The Trending and the Emerging Phases of the market we can freely trade, but the Unordered Phase is dangerous. The market chops up and down and has very little direction to it, so we want to stay away from any trading during this phase.

However, after much research and testing, I have found a particular setup that we CAN trade in the unordered phase. This is an occurrence that happens just before the Emerging Phase and has a high probability success rate. It's not a common trade setup, but when it happens, it can be profitable.

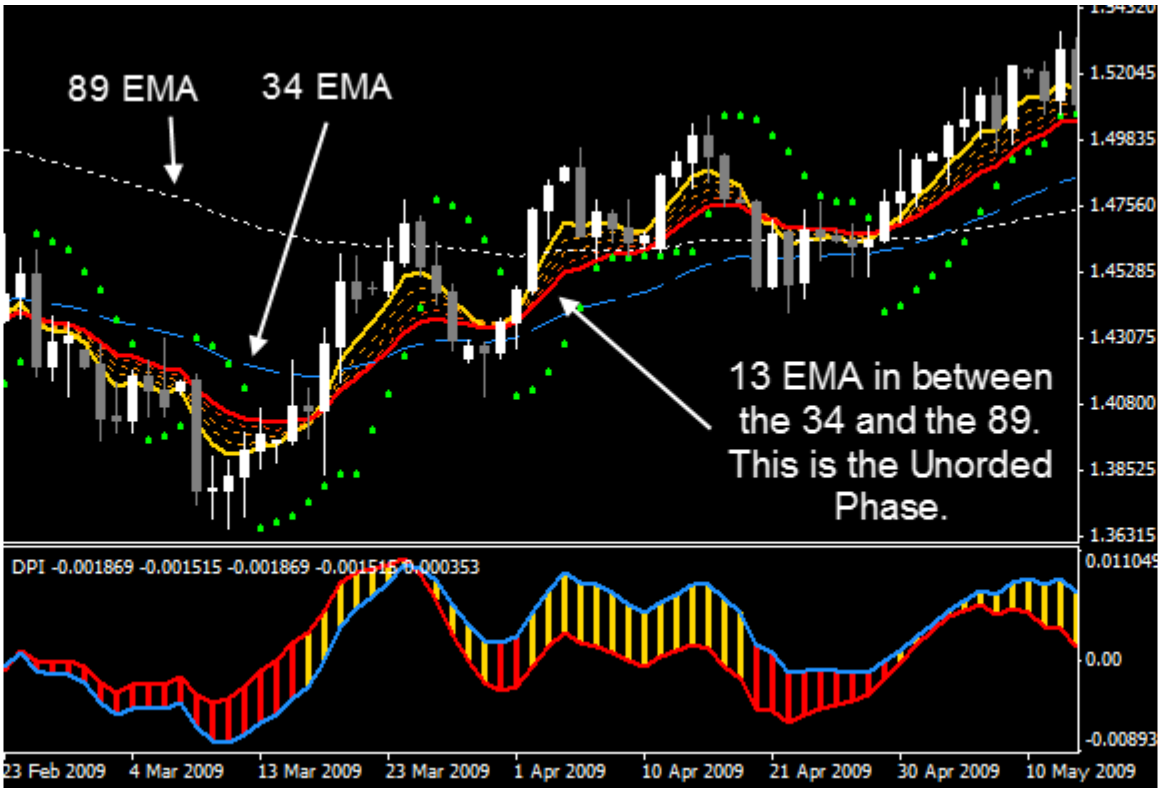
The different phases of the market are determined but the major moving averages, the 13 EMA, 34 EMA and 89 EMA. The 5 EMA is not important in determining the phases, but it is important to determine the Jump Trade.

The 5 and 13 EMAs together form the Ribbon, also known as the short term trend.

In the Unordered Phase, what we need to see is the Ribbon straddling the 89 EMA, this tells us there is likely going to be a tradable move of the market in the direction of the short term trend.

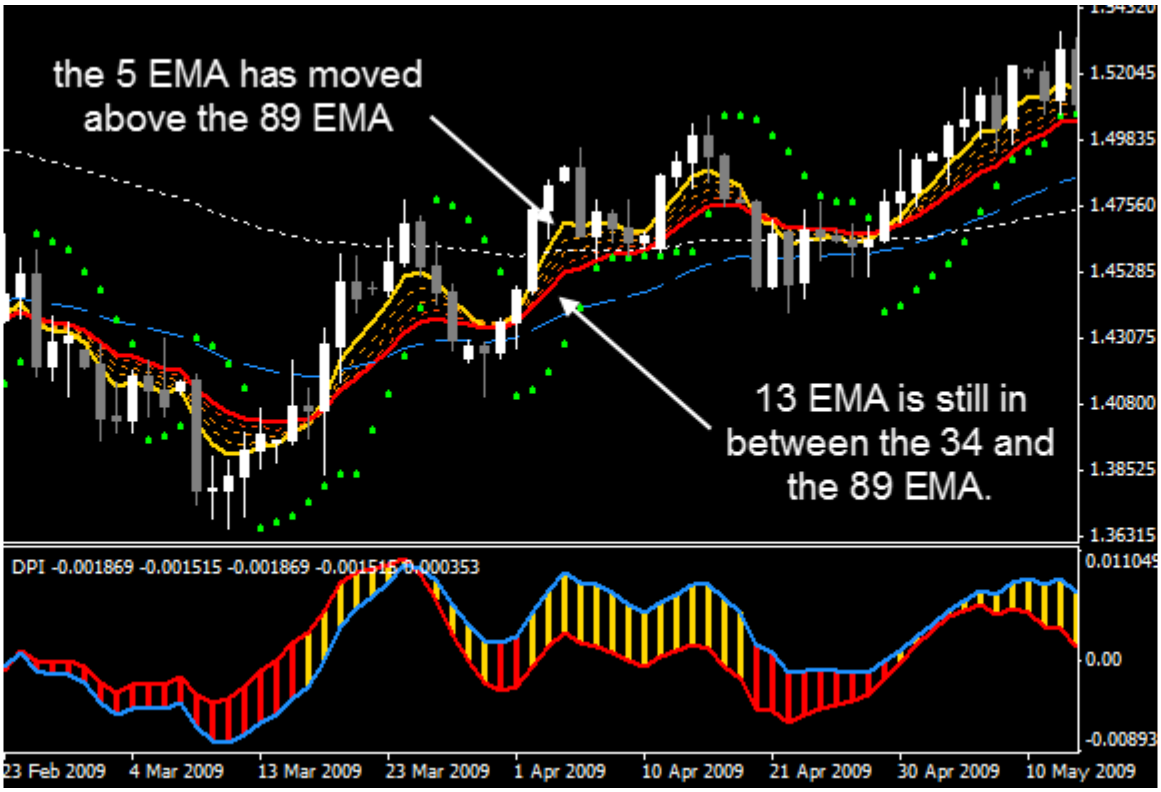
Although the 13 EMA will be in between the 34 and the 89 EMAs, the 5 EMA will be on the outside of the 89 EMA. This is a precursor to a move into a new trend.

Below you can see the market in the Unordered Phase. As the 13 EMA moves in between the 34 and the 89 EMAs, we are in the phase we want to avoid trading.



The Ribbon, for the most part, will be fully contained within the 34 EMA and 89 EMA boundaries.

Below you can see when the 5 EMA moves above the 89 EMA. Once the 5 moves above, the Ribbon is now straddling the 89 EMA. The 5 is above and the 13 is still below.

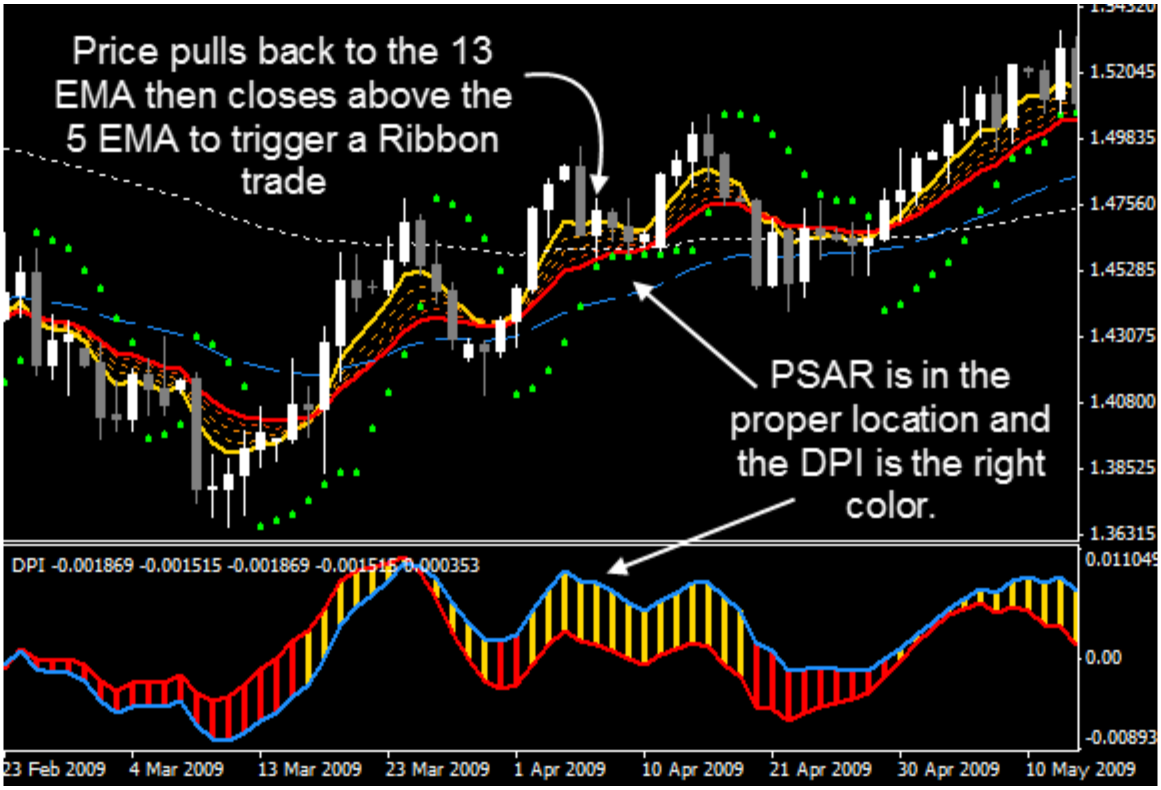


This straddling of the 89 EMA by the Ribbon is the signal that we can start to look for a Jump Trade.

Another way to think of it is the 89 EMA is piercing though the Ribbon on its way to start a new trend.

This signal happens just before the Emerging Phase.

All the other criteria must be met, than we can take a Ribbon trade. Because of the moving averages in the order they are, this Ribbon trade will allow you to jump into the market earlier, or get a jump on the Emerging Phase.



The Jump Trade must still meet all the requirements of any other trade setup.

The PSAR must be behind the price and the DPI must be the correct color.

In the example above, you can see that criteria for a Ribbon trade was met as price pulled back to the 13 EMA and then closed over the 5 EMA. The PSAR dots were under the price and the DPI is yellow. Everything is free and clear for a long trade.

The Jump Trade setup will basically extend the length of the Emerging Phase. We now have more room to get into a trade, and this is always a good thing!

Here are a couple of examples of when we would look for a Jump Trade. The pullback never happens, so there was no actual jump trade, but this is an image of what you would be looking for.

When the white dotted line, the 89 EMA, crosses into the Ribbon, we will be looking for a trade in the direction of the Ribbon.

Presents

Rapid Results Method

Opening the DPI

By Russ Horn

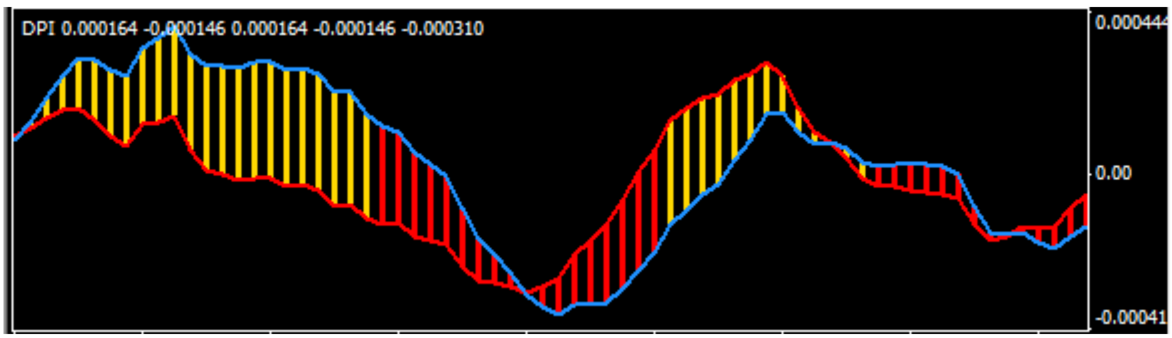
RISK DISCLOSURE STATEMENT / DISCLAIMER AGREEMENT

Trading any financial market involves risk. This report and all and any of its contents are neither a solicitation nor an offer to Buy/Sell any financial market.
The contents of this report are for general information and educational purposes only (contents shall also mean the website www.rapidresultsmethod.com or any website the content is hosted on, and any email correspondence or newsletters or postings or affiliate site as related to such website). Every effort has been made to accurately represent this product and its potential. There is no guarantee that you will earn any money using the techniques, ideas and software in these materials. Examples in these materials are not to be interpreted as a promise or guarantee of earnings. Earning potential is entirely dependent on the person using our product, ideas and techniques. We do not purport this to be a “get rich scheme.”
Although every attempt has been made to assure accuracy, we do not give any express or implied warranty as to its accuracy. We do not accept any liability for error or omission. Examples are provided for illustrative purposes only and should not be construed as investment advice or strategy.
No representation is being made that any account or trader will or is likely to achieve profits or losses similar to those discussed in this report or anywhere on www.rapidresultsmethod.com. Past performance is not indicative of future results.
By purchasing and/or using any content or product including material herein contained, subscribing to our mailing list or using the website or contents of the website or materials provided herewith, you will be deemed to have accepted these terms and conditions in full as appear also on our site, as do our full earnings disclaimer and privacy policy and CFTC disclaimer and rule 4.41 to be read herewith. So too, all the materials contained within this course, including this manual, whether they appear on our domain(s) or are in physical form, are protected by copyright. "Warning: The unauthorized reproduction or distribution of this copyrighted work is illegal. Criminal copyright infringement, including infringement without monetary gain, is investigated by the authorities and is punishable with imprisonment and a fine." We reserve all our rights in this regard.
Old Tree Publishing CC, in association with www.rapidresultsmethod.com, the website, content, and its representatives Including Russ Horn do not and cannot give investment advice or invite customers or readers to engage in investments through this report or any associated software or any subscription to any part of it.
The information provided in this content is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to law or regulation or which would subject us to any registration requirement within such jurisdiction or country.
Hypothetical performance results have many inherent limitations, some of which are mentioned below. No representation is being made that any account will or is likely to achieve profits or losses similar to those shown. In fact, there are frequently sharp differences between hypothetical performance results and actual results subsequently achieved by any particular trading program and method or software. Old Tree publishing by users download and/or use of this report is indemnified fully by any such user in any and all and each respect possible.
One of the limitations of hypothetical performance results is that they are generally prepared with the benefit of hindsight. In addition, hypothetical trading does not involve financial risk and no hypothetical trading record can completely account for the impact of financial risk in actual trading.
For example, the ability to withstand losses or to adhere to a particular trading program or system in spite of the trading losses are material points that can also adversely affect trading results. There are numerous other factors related to the market in general or to the implementation of any specific trading program, which cannot be fully accounted for in the preparation of hypothetical performance results. All of which can adversely affect actual trading results.
We reserve the right to change these terms and conditions without notice. You can check for updates to this disclaimer at any time by visiting www.rapidresultsmethod.com.
Governing law: This policy and the use of this report/eBook, provided in any form, and any content on the website site are governed by the laws of the Republic of South Africa. Further details on this are found under the Terms and conditions on our site. Please ensure you read and agree with all Terms and Conditions as set out on our site before using any of the materials. Your use and reliance on the materials is based on your acceptance of such Terms and Conditions and policies as appear on the site.

Opening or Unlocking the DPI

The DPI is a powerful tool and offers so many different uses depending on your style of trade. We can unlock the DPI and expose all of its potential but adding a few minor alterations. We don't change the DPI, what we will do is simply show off its additional features.

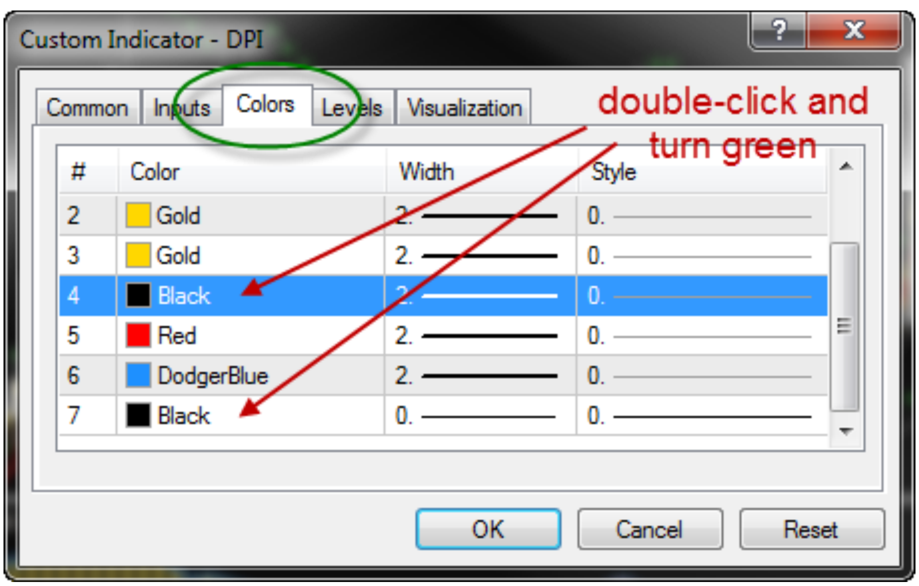
Currently, your DPI will look like this:



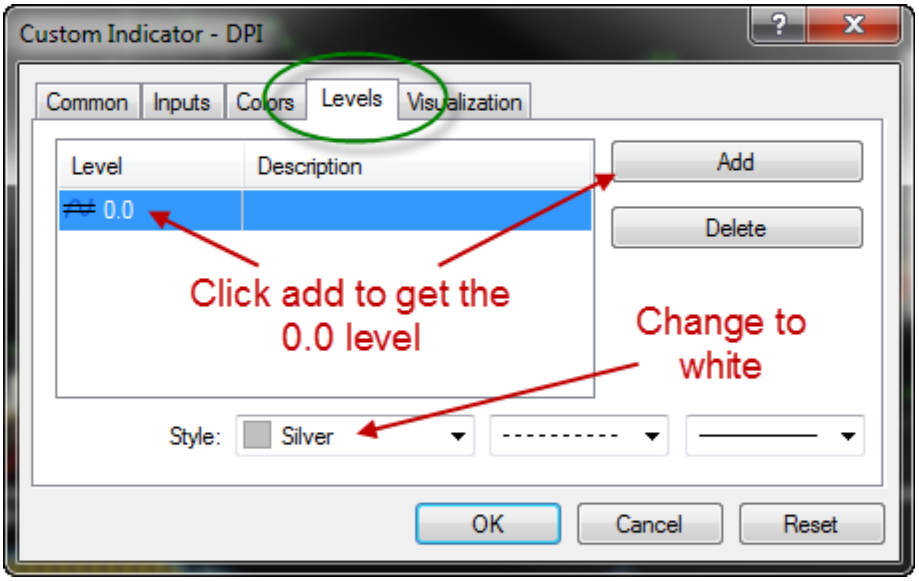
Let's go through the steps of opening up or "unlocking" the DPI:

- Find the DPI on your chart…
- Right-click on the DPI
- In the box that pops up, click on "DPI properties"

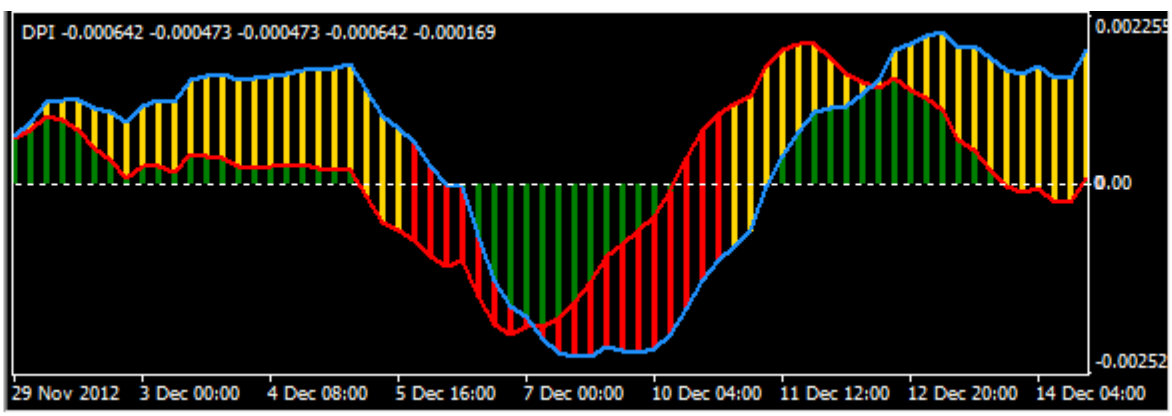
- The DPI properties box will open up
- Under the "Colors" tab, change number 4 and number 7 to a green color (it can be any color you like, just not the color of the background of your chart, for most of us it's black)



- Under the Levels tab, click ADD to automatically add a 0.0 level and then change the “Style” color to white.



- Click OK and you will have your “Opened” DPI, it will look like this:



From here, all the other DPI possibilities are open to us.

Over-Bought and Over-Sold conditions.

One of the best uses of the Opened DPI is the ability to see Overbought and Oversold conditions.

When the market is overbought or oversold, we will find the market will do 1 of 2 things:

1. The market will retrace
2. The market will move sideways

(And occasionally there is a third thing)

3. Sometimes the trend will over-power these conditions and keep moving forward, but this is not the norm.

Overbought

When the market becomes Overbought, you will see that this is indicated by the disappearance of the green nested histogram. As the price climbs, the DPI will also climb. As both the blue Lead Line and the red Follow Line rise above the 0 line, the green nested histogram will form.

As the price becomes over extended, the Follow Line will often fall first and touch the 0 line. As the DPI touches the 0 line, we will have an overbought condition. The price will find it very difficult to climb much farther after this. When you get a signal to go long just after a vanishing nested histogram, there is a very low probability that the market will have the energy or momentum to follow through.

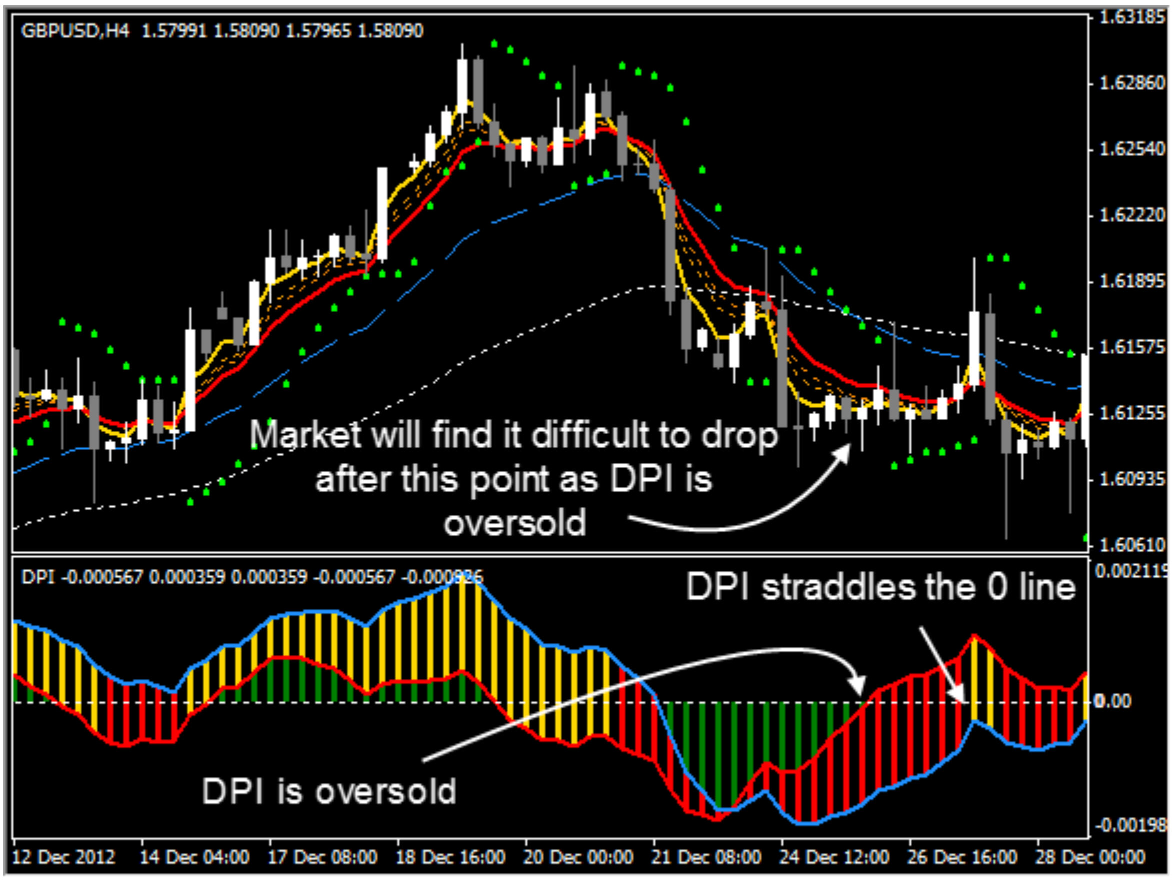
Below you can see the image of a rising market. The DPI is climbing nicely, but as the market begins to lose steam, the DPI drops back to the 0 line. The Follow line is the line that usually does this first, but it doesn't matter which line touches the 0 line.

As the DPI histogram now straddles the 0 line, we will see some last ditch pushes up by the market, but they are usually in vein. There will be buy signals in the area, but most of the time they will not be successful.

Taking a trade in an overbought condition is risky business.

Oversold

On the same chart, you will see that the market then drops very nicely. The DPI turns red and as price continues to fall, it takes the DPI with it down below the 0 line. The green nested histogram appears as the market falls. As the market loses its momentum, the DPI becomes oversold and the green nested histogram disappears as the Follow Line touches the 0 level.



There will be attempts to push lower, but as long as the DPI is straddling the 0 line, trading becomes a lower probability proposition.

Presents

Rapid Results Method

"High Speed Moving Averages"

By Russ Horn

RISK DISCLOSURE STATEMENT / DISCLAIMER AGREEMENT

Trading any financial market involves risk. This report and all and any of its contents are neither a solicitation nor an offer to Buy/Sell any financial market.

The contents of this report are for general information and educational purposes only (contents shall also mean the website www.rapidresultsmethod.com or any website the content is hosted on, and any email correspondence or newsletters or postings or affiliate site as related to such website). Every effort has been made to accurately represent this product and its potential. There is no guarantee that you will earn any money using the techniques, ideas and software in these materials. Examples in these materials are not to be interpreted as a promise or guarantee of earnings. Earning potential is entirely dependent on the person using our product, ideas and techniques. We do not purport this to be a "get rich scheme."

Although every attempt has been made to assure accuracy, we do not give any express or implied warranty as to its accuracy. We do not accept any liability for error or omission. Examples are provided for illustrative purposes only and should not be construed as investment advice or strategy.

No representation is being made that any account or trader will or is likely to achieve profits or losses similar to those discussed in this report or anywhere on www.rapidresultsmethod.com. Past performance is not indicative of future results.

By purchasing and/or using any content or product including material herein contained, subscribing to our mailing list or using the website or contents of the website or materials provided herewith, you will be deemed to have accepted these terms and conditions in full as appear also on our site, as do our full earnings disclaimer and privacy policy and CFTC disclaimer and rule 4.41 to be read herewith. So too, all the materials contained within this course, including this manual, whether they appear on our domain(s) or are in physical form, are protected by copyright. "Warning: The unauthorized reproduction or distribution of this copyrighted work is illegal. Criminal copyright infringement, including infringement without monetary gain, is investigated by the authorities and is punishable with imprisonment and a fine." We reserve all our rights in this regard.

Old Tree Publishing CC, in association with www.rapidresultsmethod.com, the website, content, and its representatives Including Russ Horn do not and cannot give investment advice or invite customers or readers to engage in investments through this report or any associated software or any subscription to any part of it.

The information provided in this content is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to law or regulation or which would subject us to any registration requirement within such jurisdiction or country.

Hypothetical performance results have many inherent limitations, some of which are mentioned below. No representation is being made that any account will or is likely to achieve profits or losses similar to those shown. In fact, there are frequently sharp differences between hypothetical performance results and actual results subsequently achieved by any particular trading program and method or software. Old Tree publishing by users download and/or use of this report is indemnified fully by any such user in any and all and each respect possible.

One of the limitations of hypothetical performance results is that they are generally prepared with the benefit of hindsight. In addition, hypothetical trading does not involve financial risk and no hypothetical trading record can completely account for the impact of financial risk in actual trading.

For example, the ability to withstand losses or to adhere to a particular trading program or system in spite of the trading losses are material points that can also adversely affect trading results. There are numerous other factors related to the market in general or to the implementation of any specific trading program, which cannot be fully accounted for in the preparation of hypothetical performance results. All of which can adversely affect actual trading results.

We reserve the right to change these terms and conditions without notice. You can check for updates to this disclaimer at any time by visiting www.rapidresultsmethod.com.

Governing law: This policy and the use of this report/eBook, provided in any form, and any content on the website site are governed by the laws of the Republic of South Africa. Further details on this are found under the Terms and conditions on our site. Please ensure you read and agree with all Terms and Conditions as set out on our site before using any of the materials. Your use and reliance on the materials is based on your acceptance of such Terms and Conditions and policies as appear on the site.

The High Sped Moving Averages.

The RRM system is a great system, but for some traders, they are looking for a little more action in the markets.

The High Speed Moving Averages variation will provide you with a quicker trend change and a lot more trading opportunities.

This won't be for everybody, but if you are eager to find more trades or simply spend less time in front of computer, the high speed moving averages will be for you.

Not everything will change, the DPI will remain the same and so will the PSAR.

"High Speed" is simply a faster, or smaller period settings for each of the moving average. Since the period is smaller, it will react quicker to the changes in the market.

All the rules of the system will stay as they were. The different setups will all remain and the different market phases will also remain the same. Everything will be as it is in the standard settings, the only difference being the action of the moving averages is increased.

For these examples, we will be using the opened DPI with the green nested histogram. If you have not yet done this to your DPI, you can refer to the PDF called Opening the DPI.

Let's get started…

Changing the charts

This is what the system looks like right now:

He Ribbon is composed of the yellow 5 EMA and the red 13 EMA
The blue line is the 34 EMA
The white line is the 89 EMA

You can see that there is a lot of trending going on, both up and down. Here are potentially some good signals in there, but also there are a few near misses. There are trades that we would have taken if the price had pulled back just a little bit farther.

If we speed up the moving averages a little, we won't mess with the integrity of the trading system, but we will be able to capitalize on a few trades that we might not otherwise have been able to take.

Here are the changes to the moving averages we are going to make:

5 EMA becomes (➔) the 3 EMA
7 EMA ➔ 5 EMA
9 EMA gets deleted
11 EMA ➔ 6 EMA
13 EMA ➔ 8 EMA

34 EMA➔21 EMA

89 EMA ➔ 55 EMA

Here's how we go about making those changes:

1. First, double-click the yellow 5 EMA. The properties box will pop up. Under the Parameters tab, change the Period setting from 5 to 3 and then click OK. The yellow moving average will now be a 3 EMA.

2. Second, look at the 3 dotted moving average that make up the "fill" of the ribbon. Delete the center one, the 9 EMA. Right-click on the 9 EMA and from the menu box that pops up, click "Delete indicator".

3. Third, the dotted fill line, the 7 EMA that is closest to the Yellow 3 EMA, right-click on this 7 EMA. The properties box will pop up. Under the Parameters tab, change the Period setting from 7 to 5 and then click OK.

4. Forth, the dotted fill line, the 11 EMA that is closest to the Red 13 EMA, right-click on this 11 EMA. The properties box will pop up. Under the Parameters tab, change the Period setting from 11 to 6 and then click OK.

5. Fifth, double-click the red 13 EMA. The properties box will pop up. Under the Parameters tab, change the Period setting from 13 to 8 and then click OK.

So far, the changes you have made to your chart will look like this, they will be subtle, but there none the less and so far only to the Ribbon:

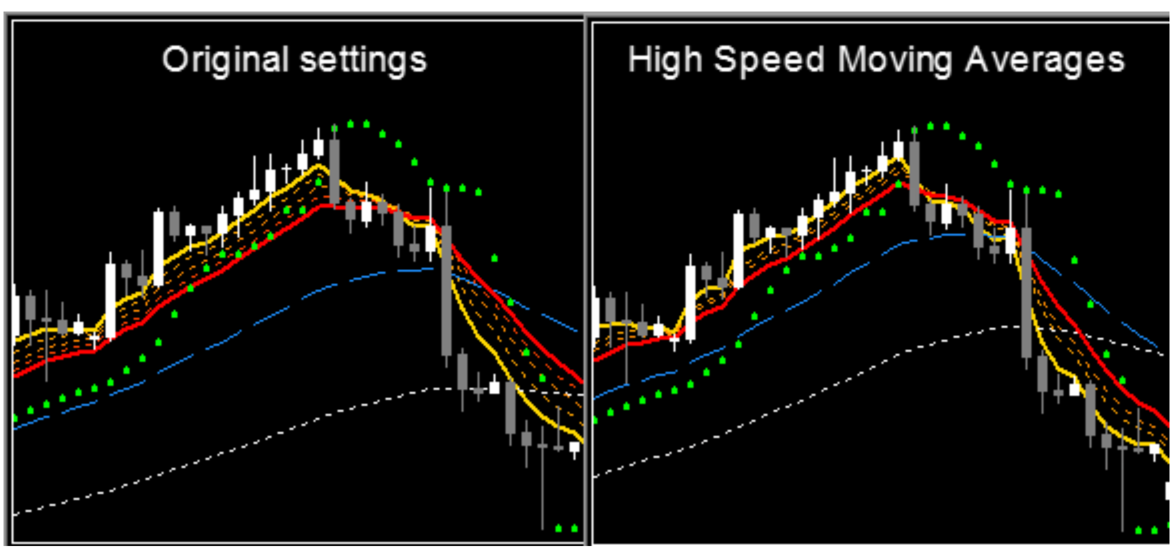
6. Sixth, double-click the blue 34 EMA. The properties box will pop up. Under the Parameters tab, change the Period setting from 34 to 21 and then click OK.

7. Seventh, and finally, double-click the white 89 EMA. The properties box will pop up. Under the Parameters tab, change the Period setting from 89 to 55 and then click OK.

There we have it. The High Speed Moving Averages variation. Simple, but quicker.

Your charts will look like this in the end:

They look almost Identical, but when you compare the two sets of charts, you can indeed see a difference:



Market Phases will remain the same:

- Unordered, the 8 EMA is in between the 21 EMA and the 55 EMA

- Bullish Emerging Phase, 8 EMA over the 55 EMA over the 21 EMA
- Bearish Emerging Phase, 8 EMA under the 55 EMA under the 21 EMA

- Bullish trending Phase, 8 EMA over the 21 EMA over the 55 EMA
- Bearish Trending Phase, 8 EMA under the 21 EMA under the 55 EMA.

Setups will remain the same:

- Ribbon Trade, price pulls back and touches the 8 EMA and close past the 3 EM Ain the direction of the trend.

- Ghost Trade, price pulls back and touches the 21 EMA and closes past the 8 EMA in the direction of the trend.

- Shark Trade, price pulls back and touches the 55 EMA and closes pas the 21 EMA in the direction of the trend (the Ribbon stays on the proper side)

With all these setups, we still want to the DPI to be the proper color and the PSAR to be on the right side of the market.

Everything we learned about the original system, only with quicker moving averages.

Presents

Rapid Results Method

"When Not To Trade"

By Russ Horn

RISK DISCLOSURE STATEMENT / DISCLAIMER AGREEMENT

Trading any financial market involves risk. This report and all and any of its contents are neither a solicitation nor an offer to Buy/Sell any financial market.

The contents of this report are for general information and educational purposes only (contents shall also mean the website www.rapidresultsmethod.com or any website the content is hosted on, and any email correspondence or newsletters or postings or affiliate site as related to such website). Every effort has been made to accurately represent this product and its potential. There is no guarantee that you will earn any money using the techniques, ideas and software in these materials. Examples in these materials are not to be interpreted as a promise or guarantee of earnings. Earning potential is entirely dependent on the person using our product, ideas and techniques. We do not purport this to be a "get rich scheme."

Although every attempt has been made to assure accuracy, we do not give any express or implied warranty as to its accuracy. We do not accept any liability for error or omission. Examples are provided for illustrative purposes only and should not be construed as investment advice or strategy.

No representation is being made that any account or trader will or is likely to achieve profits or losses similar to those discussed in this report or anywhere on www.rapidresultsmethod.com. Past performance is not indicative of future results.

By purchasing and/or using any content or product including material herein contained, subscribing to our mailing list or using the website or contents of the website or materials provided herewith, you will be deemed to have accepted these terms and conditions in full as appear also on our site, as do our full earnings disclaimer and privacy policy and CFTC disclaimer and rule 4.41 to be read herewith. So too, all the materials contained within this course, including this manual, whether they appear on our domain(s) or are in physical form, are protected by copyright. "Warning: The unauthorized reproduction or distribution of this copyrighted work is illegal. Criminal copyright infringement, including infringement without monetary gain, is investigated by the authorities and is punishable with imprisonment and a fine." We reserve all our rights in this regard.

Old Tree Publishing CC, in association with www.rapidresultsmethod.com, the website, content, and its representatives Including Russ Horn do not and cannot give investment advice or invite customers or readers to engage in investments through this report or any associated software or any subscription to any part of it.

The information provided in this content is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to law or regulation or which would subject us to any registration requirement within such jurisdiction or country.

Hypothetical performance results have many inherent limitations, some of which are mentioned below. No representation is being made that any account will or is likely to achieve profits or losses similar to those shown. In fact, there are frequently sharp differences between hypothetical performance results and actual results subsequently achieved by any particular trading program and method or software. Old Tree publishing by users download and/or use of this report is indemnified fully by any such user in any and all and each respect possible.

One of the limitations of hypothetical performance results is that they are generally prepared with the benefit of hindsight. In addition, hypothetical trading does not involve financial risk and no hypothetical trading record can completely account for the impact of financial risk in actual trading.

For example, the ability to withstand losses or to adhere to a particular trading program or system in spite of the trading losses are material points that can also adversely affect trading results. There are numerous other factors related to the market in general or to the implementation of any specific trading program, which cannot be fully accounted for in the preparation of hypothetical performance results. All of which can adversely affect actual trading results.

We reserve the right to change these terms and conditions without notice. You can check for updates to this disclaimer at any time by visiting www.rapidresultsmethod.com.

Governing law: This policy and the use of this report/eBook, provided in any form, and any content on the website site are governed by the laws of the Republic of South Africa. Further details on this are found under the Terms and conditions on our site. Please ensure you read and agree with all Terms and Conditions as set out on our site before using any of the materials. Your use and reliance on the materials is based on your acceptance of such Terms and Conditions and policies as appear on the site.

When NOT to trade.

I find that even though there are a lot of great trading opportunities in markets that are moving very nicely, many traders are adamant about trying to trade markets that are very poor for trading.

Here are some tips when not to trade:

1. When the moving averages are very close together and moving sideways.
2. When the candles on your chart are moving sideways and have no definite direction.
3. When the DPI has narrowed and is moving sideways.
4. When there are very recent, very large candles, often there will be a pullback.
5. When the candles are very “wicky”, lots of larger than average upper and lower wicks.
6. Outside of the London session when trading 15 minute timeframe or less. The AUD pairs can move during the Asian session, but don’t automatically assume that they will.

When we see any of these conditions, a trade from here becomes more of a gamble. You are gambling that the trade you are taking is going to be the one that breaks out of the funk the market is in.

Ideally, you want to see the market start moving before we even consider trading. Until there is a return to the higher probability flow that market can offer, we would like to preserve our capital, play it safe and sit on our hands.

I would happily miss a poor setup that works out than take a risky trade. Your account is hard earned and deserves that kind of respect and attention.

Remember, trading is a business, and you want it to be as low risk as possible. Knowing when not to trade is as important as knowing when to trade. Not making money is better than losing money.

1. When the moving averages are very close together and moving sideways.

Below is a great example of a market that is very undecided and moving sideways.

There are several reasons why a market would do this. Often we see this in the "off hours" when the market no longer has the momentum to move it in either direction.

Other times we will find this after a large move and the market is in a period of rest or consolidation.

Taking a trade immediately after this sideways market is very risky as the market will want to try and move back into its sideways pattern. The first move outside of this pattern can be a "fake breakout". We want the market to resume a better flow before we begin to trade again.

2. When the candles on your chart are moving sideways.

Below is an example of a market that is moving sideways.

There are a few ways to tell if a market is moving sideways, but you can see it with your eyes... it looks like it's moving sideways.

In a sideways market, there will be little fluctuations up and down, but the market will usually return to a "middle ground". The nature of this sideways market is going to cause some false signals from the system, but visually, the market has not left the box, so it's still moving sideways, any signal from here is not to be taken.

Don't be in a hurry to take a trade here, even when there is a signal.

3. When the DPI has narrowed and is moving sideways.

Here is an example of the DPI moving sideways and being very narrow.

You will find that the DPI will reflect a sideways market. In the example above, you will see how the DPI is very narrow and moves back and forth around the 0 line. It will move, but it won't be much.

The separation between the Lead and Follow line never widens significantly and the Histogram color will easily swap from yellow to red. We want to wait for the DPI to widen and for the market to move in an appropriate manner.

It's important to note that the DPI will occasionally narrow in regular market conditions, but it will not stay that way.

4. Very recent, very large candles.

Below you can see some larger than average candles.

Large candles are again a visual distinction. It will depend on the length of the candles that have come before it. When you have a series of candles that are around 15 pips in length, a candle that it 35 pips becomes a little larger than we would like.

A large candle often means a pullback in coming. In this choppy market, when there is only a finite number of pips any move is likely to make, a large candle means that the market has probably used most of its momentum to form the entry candle… this leaves little or nothing left for you.

In addition to leaving nothing for the trade, the large candle will require a larger than normal stop, which in turn means a larger than normal take profit.

5. When the candles are very "wicky"

Below you see a section of the market where there are long upper and lower wicks.

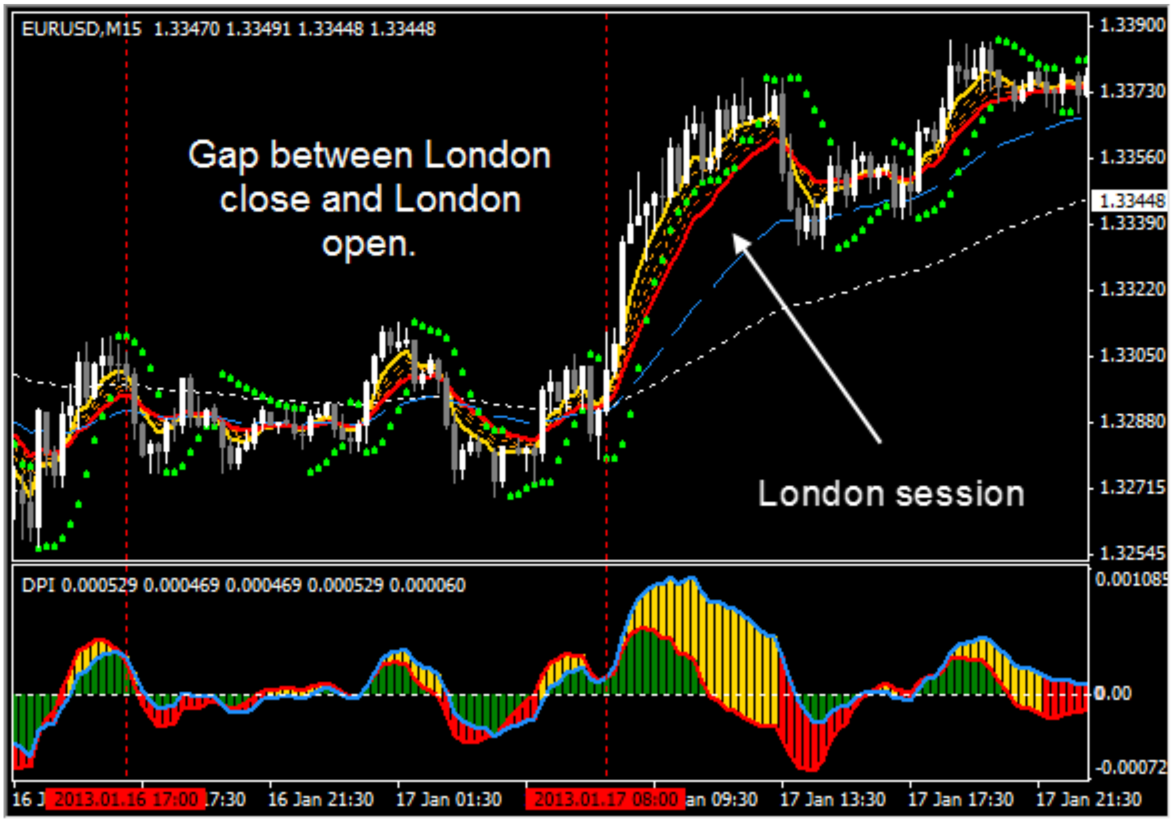
Of course you will see wicks on candles everywhere you go, you will see them all the time. What should raise a red flag however is a series of candle wicks all in a row.

They do stick out, they look like a kind of centipede. What this means is not so much a period of contentment, but a period of war!

The Bulls and the Bears are competing for the edge, the market is desperately looking for a direction. The Bulls and the bears are pretty evenly matched, but the outcome of this is a war is not easily predicted. There is so much effort in this conflict that is can break out in either direction, no matter that the indicators are saying.

6. Outside of the London session when trading 15 minute timeframe or less.

Here you can see the lull outside of the London session.



Above you are looking at a chart of the EUR/USD, but this is going to be common with most currency pairs. The gap after London closes and reopened for business again is a period of slow, unmotivated movement.

Of course there will be some movement, it's difficult to stop it all together, but it won't have much follow-through or conviction. After London closes, New York remains open for a while, but with no one to trade with, very little trading happens. As a result, there is very little movement. This makes it hard to trade with any kind of accuracy, and if you are looking for the market to move a great deal to hit your Take Profit, you will usually be disappointed.

I hope this helps you to better determine when not to trade and when to trade.

I don’t want to scare you off from trading or make you paranoid, but It is a good idea to know when your trades:

1. Might not have the potential to reach the targets you are looking them to get to.
2. Could go in either direction, no matter what the trend is telling you.

You can continue to trade, but in these instances, you want to understand the risk you are taking.

Russ

Presents

Support, Resistance and Trendlines

By Russ Horn

RISK DISCLOSURE STATEMENT / DISCLAIMER AGREEMENT

Trading any financial market involves risk. This report and all and any of its contents are neither a solicitation nor an offer to Buy/Sell any financial market.

The contents of this report are for general information and educational purposes only (contents shall also mean the website www.rapidresultsmethod.com or any website the content is hosted on, and any email correspondence or newsletters or postings or affiliate site as related to such website). Every effort has been made to accurately represent this product and its potential. There is no guarantee that you will earn any money using the techniques, ideas and software in these materials. Examples in these materials are not to be interpreted as a promise or guarantee of earnings. Earning potential is entirely dependent on the person using our product, ideas and techniques. We do not purport this to be a “get rich scheme.”

Although every attempt has been made to assure accuracy, we do not give any express or implied warranty as to its accuracy. We do not accept any liability for error or omission. Examples are provided for illustrative purposes only and should not be construed as investment advice or strategy.

No representation is being made that any account or trader will or is likely to achieve profits or losses similar to those discussed in this report or anywhere on www.rapidresultsmethod.com. Past performance is not indicative of future results.

By purchasing and/or using any content or product including material herein contained, subscribing to our mailing list or using the website or contents of the website or materials provided herewith, you will be deemed to have accepted these terms and conditions in full as appear also on our site, as do our full earnings disclaimer and privacy policy and CFTC disclaimer and rule 4.41 to be read herewith. So too, all the materials contained within this course, including this manual, whether they appear on our domain(s) or are in physical form, are protected by copyright. "Warning: The unauthorized reproduction or distribution of this copyrighted work is illegal. Criminal copyright infringement, including infringement without monetary gain, is investigated by the authorities and is punishable with imprisonment and a fine." We reserve all our rights in this regard.

Old Tree Publishing CC, in association with www.rapidresultsmethod.com, the website, content, and its representatives Including Russ Horn do not and cannot give investment advice or invite customers or readers to engage in investments through this report or any associated software or any subscription to any part of it.

The information provided in this content is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to law or regulation or which would subject us to any registration requirement within such jurisdiction or country.

Hypothetical performance results have many inherent limitations, some of which are mentioned below. No representation is being made that any account will or is likely to achieve profits or losses similar to those shown. In fact, there are frequently sharp differences between hypothetical performance results and actual results subsequently achieved by any particular trading program and method or software. Old Tree publishing by users download and/or use of this report is indemnified fully by any such user in any and all and each respect possible.

One of the limitations of hypothetical performance results is that they are generally prepared with the benefit of hindsight. In addition, hypothetical trading does not involve financial risk and no hypothetical trading record can completely account for the impact of financial risk in actual trading.

For example, the ability to withstand losses or to adhere to a particular trading program or system in spite of the trading losses are material points that can also adversely affect trading results. There are numerous other factors related to the market in general or to the implementation of any specific trading program, which cannot be fully accounted for in the preparation of hypothetical performance results. All of which can adversely affect actual trading results.

We reserve the right to change these terms and conditions without notice. You can check for updates to this disclaimer at any time by visiting www.rapidresultsmethod.com.

Governing law: This policy and the use of this report/eBook, provided in any form, and any content on the website site are governed by the laws of the Republic of South Africa. Further details on this are found under the Terms and conditions on our site. Please ensure you read and agree with all Terms and Conditions as set out on our site before using any of the materials. Your use and reliance on the materials is based on your acceptance of such Terms and Conditions and policies as appear on the site.

Support and Resistance

Peaks and valleys (obvious and not so obvious), highs and lows, are all levels of support and resistance.

The technical term for a valley or a low in the market is “Support”.
The technical term for a peak or a high in the market is “Resistance”.

You are familiar with these now as we discussed the peaks and valleys and the zig-zags in a trend. We’ll go over again, but this time we will use the proper lingo.

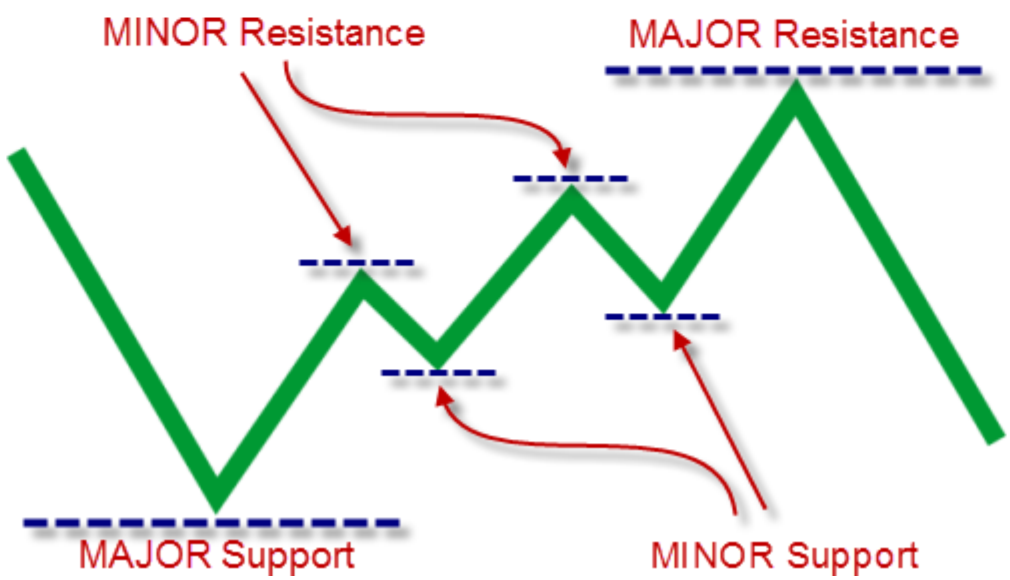
Support is a floor that price bounces off. The market moves down, hits support and bounces off it to move upwards.
“Price is supported from dropping any farther”

Resistance is a ceiling that price rises to and is then forced back down.
“The market is resisting the rise of price”

These terms make more sense when you relate it to the stock markets of the olden days when you could only make money when price climbed.

The main peaks are called MAJOR areas of Resistance.
The main valleys are called the MAJOR areas of Support.

The zig-zagging highs and lows in between the main areas of support and resistance are known as MINOR areas of support and resistance.

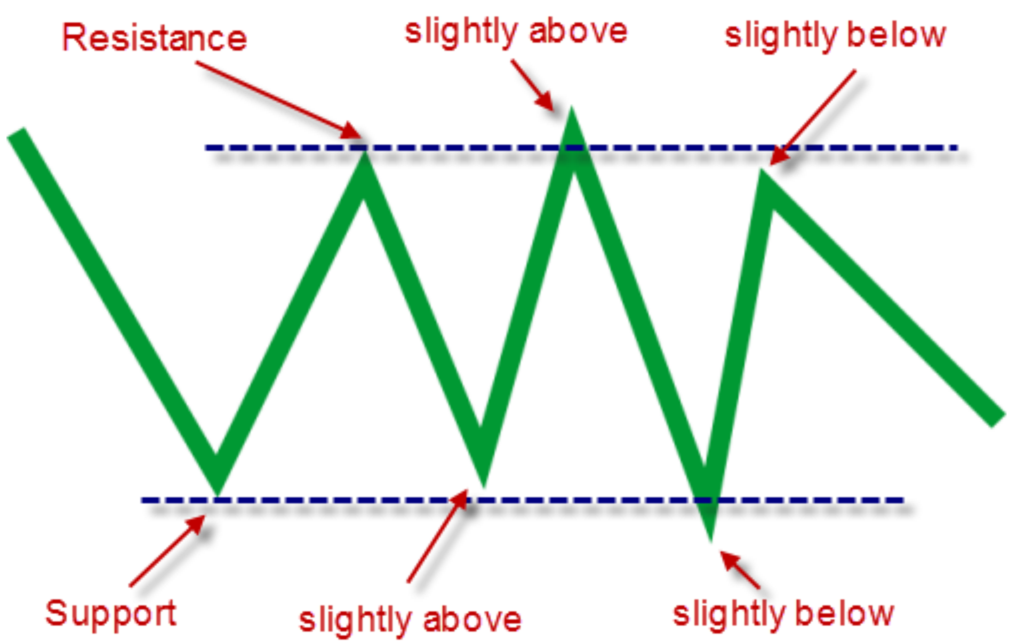


Support is important because we find that if an area is used as support once, it is likely to be used as support again. In the 1.2345 price is a price where market was rejected previously, there is a good chance that it will be rejected from there again in the future.

Resistance is the same way. As price finds resistance at a certain price, it will likely find resistance there again.

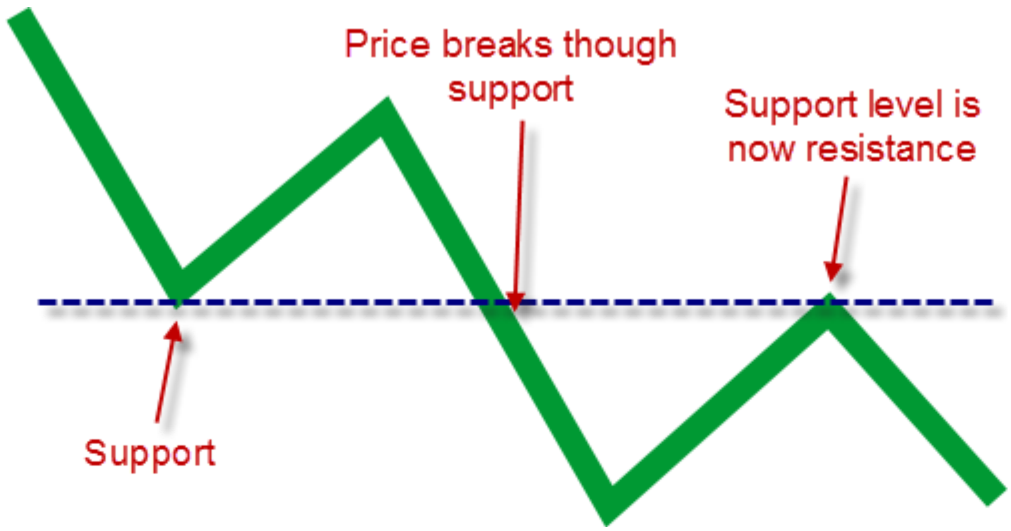
It's important to note that support and resistance are AREAS and not exact prices. The initial point of support or resistance will indeed be an exact price, but price will act on this area in the future and either get close to it without touching it or pass it a little before it turns around.

In the chart below, you see all valid examples of support and resistance.

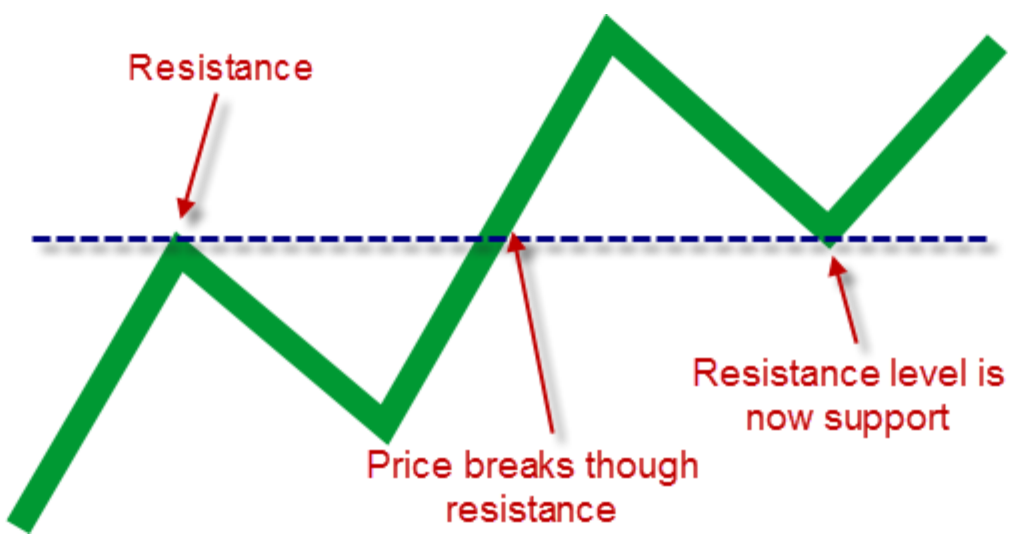


Support turns into Resistance

When an established level of support occurs, price will want to bounce back up off it. However, if price breaks through this level, it will want to come back to test this level from underneath using it as a new level of resistance.



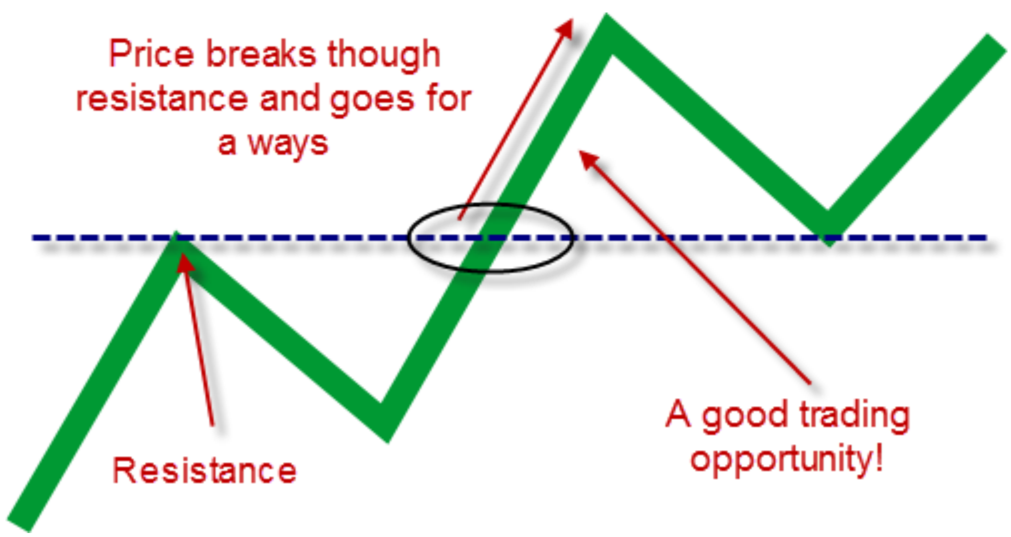
And of course, the opposite is also true:



Break of Support and Resistance

Although support and resistance levels are great at holding price at bay, there are often circumstances when price breaks through these levels.

This is important because when price is able to push past a level of support or resistance, it will want to keep on going. This presents us with a good opportunity to place a trade and make a few bucks.



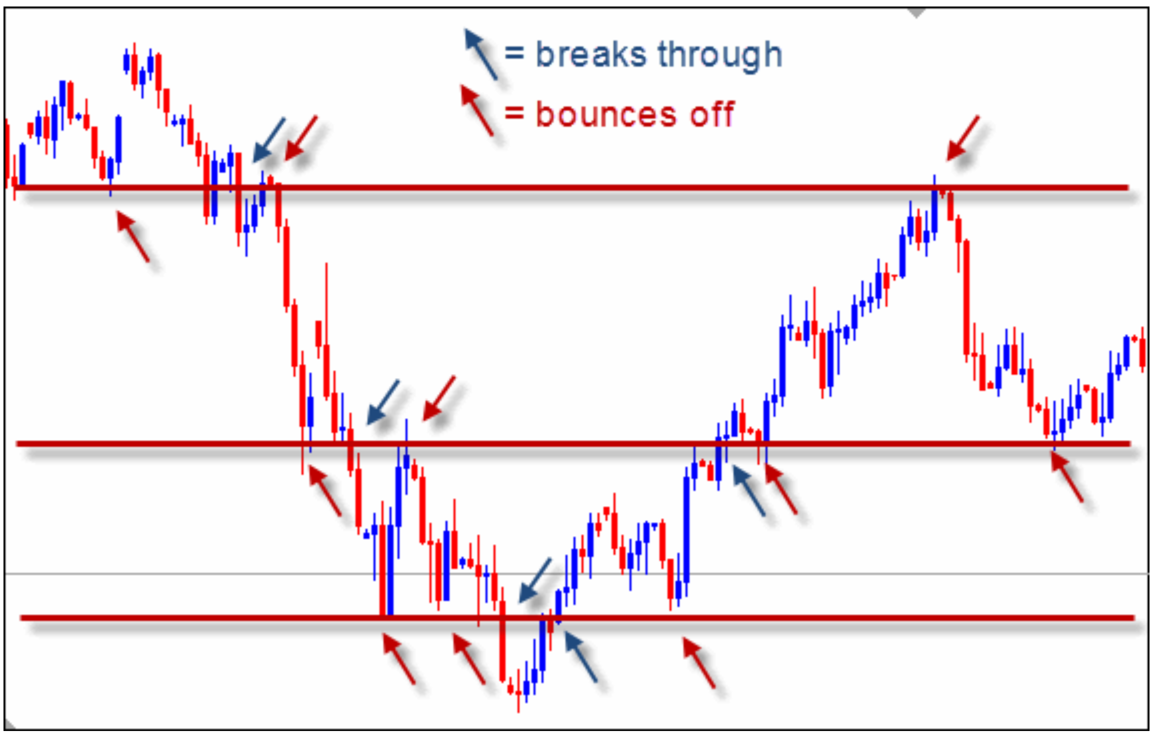
This is the basics for Support and Resistance trading.

(These basics are important, but have no fear, if you are a more seasoned trader, we will continue on into more spectacular things.)

To reiterate, Support and Resistance levels are important for 2 reasons:

1. Price will have a tendency to bounce off levels of support and resistance.
2. If price can move beyond a level of support or resistance, it will want to keep moving.

In the chart below you will see lines of supper and resistance. They are great at holing price, but when price does break through, the market can earn you a nice profit as price runs away!



Range

A “ranging market” is one that is moving up and down within a defined level of support and resistance.

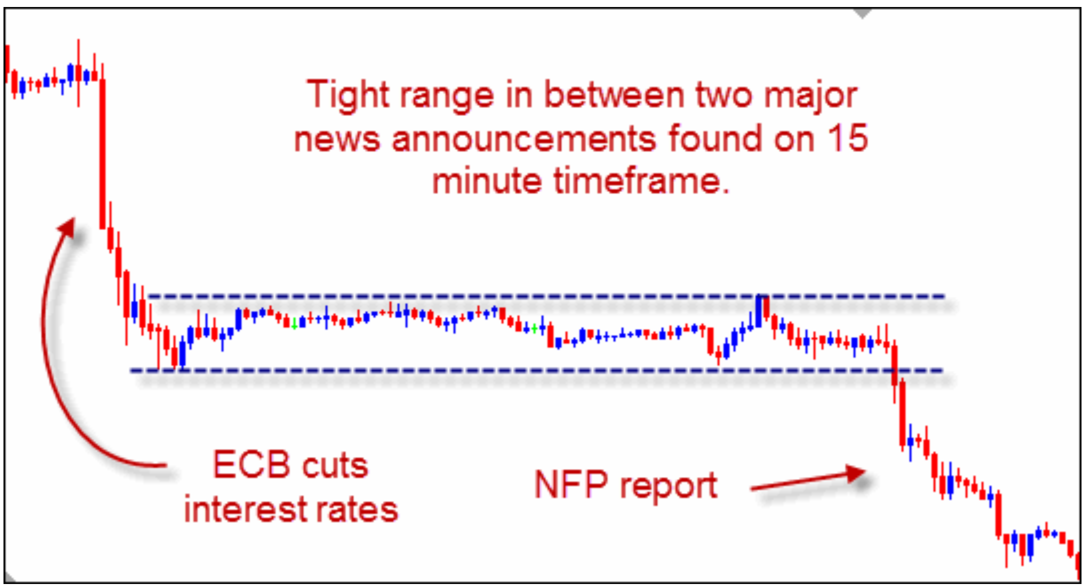
You will often find this kind of market condition:

1. After a large move in the market as it catches its breath.
2. During a slowly traded time of day (more-so on smaller timeframes)
3. Before a major news announcement.

A range bound market could be very wide or extremely narrow.

Below is an example that occurred between 2 major news announcements. The market reacted quite aggressively when the European Central Bank cut interest rates and then the market got very quiet as it was waiting for the Non Farm Payroll report. Traders don't want to get into the market on the eve of a coming high impact report as they can easily get taken out at a loss. The market will move unpredictably and traders don't want to get in front of that train.

This is an example of a very narrow ranging market, from the highs to the lows we saw a maximum market movement of approximately 25 pips over a 20 hour period.



You can see that as the lower boundary of the range was broken though by the market, price moved away making many traders a lot of money as they sold.

This following image is of a 4 hour timeframe. The range is approximately 150 pips from the high to the low.

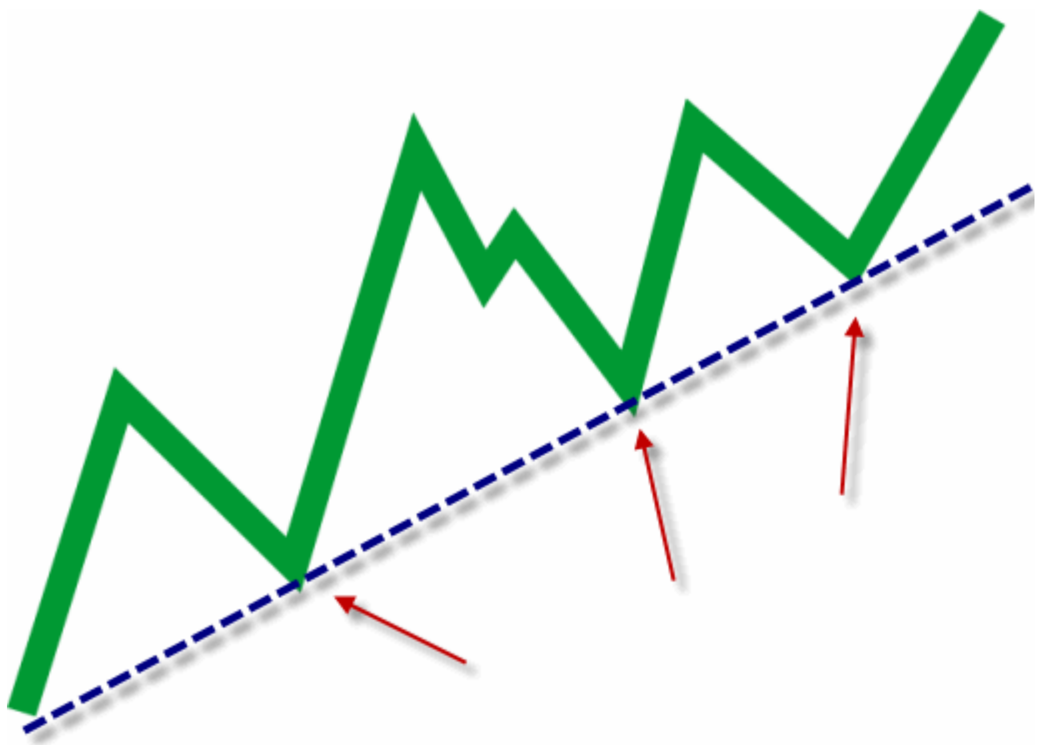
You will find ranges on every timeframe from the 1 minute to the monthly. Once the market has picked a top or a bottom, quite often the market will respect these levels in the future.

Price will bounce around within the range, zig-zagging its way back and forth inside. If you spot a range on a higher timeframe, it will give you a good idea of the price boundaries, but there will still be lots of trading opportunities on the smaller timeframes.

Trendlines

Support and resistance levels can also be seen on an angle. As the market moves up or down, it will still obey areas of support and resistance.

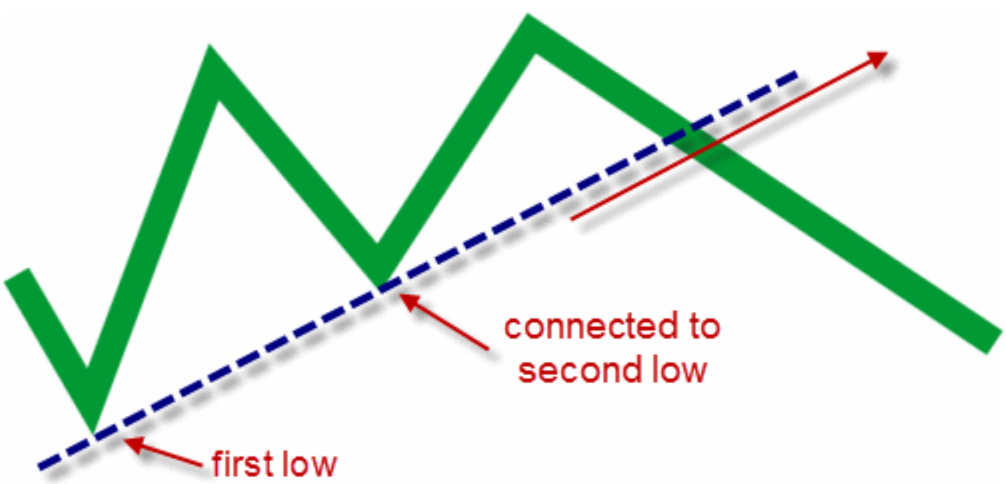
In a rising market, the price will bounce off a climbing floor as support, this will be a rising trendline.



Trendlines are my favorite! There's no secret about that. They are easy to find and they happen all the time. To find a trendline, all you need is an initial low and then a second low. You connect the 2 lows and you have a trendline. From there, price will either obey the trendline or break though. If price breaks through, it will want to keep on moving in the direction it broke through. In the case of an upward trendline, price will break though and go down.

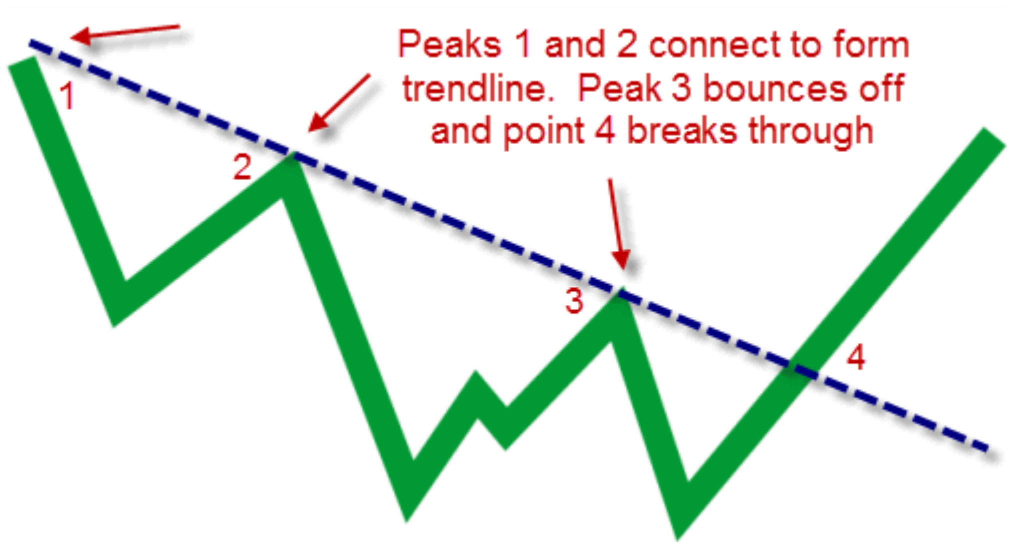
Below is an image of what it would look like when price breaks an upward trendline.

To draw a trendline, you will first have to find a low and then connect that low to a second (higher) low. The trendline is simply projected forward from there. You will see price either bounce off it in the future or break through it.



Of course everything said about an upward trendline applies to a downward trendline.

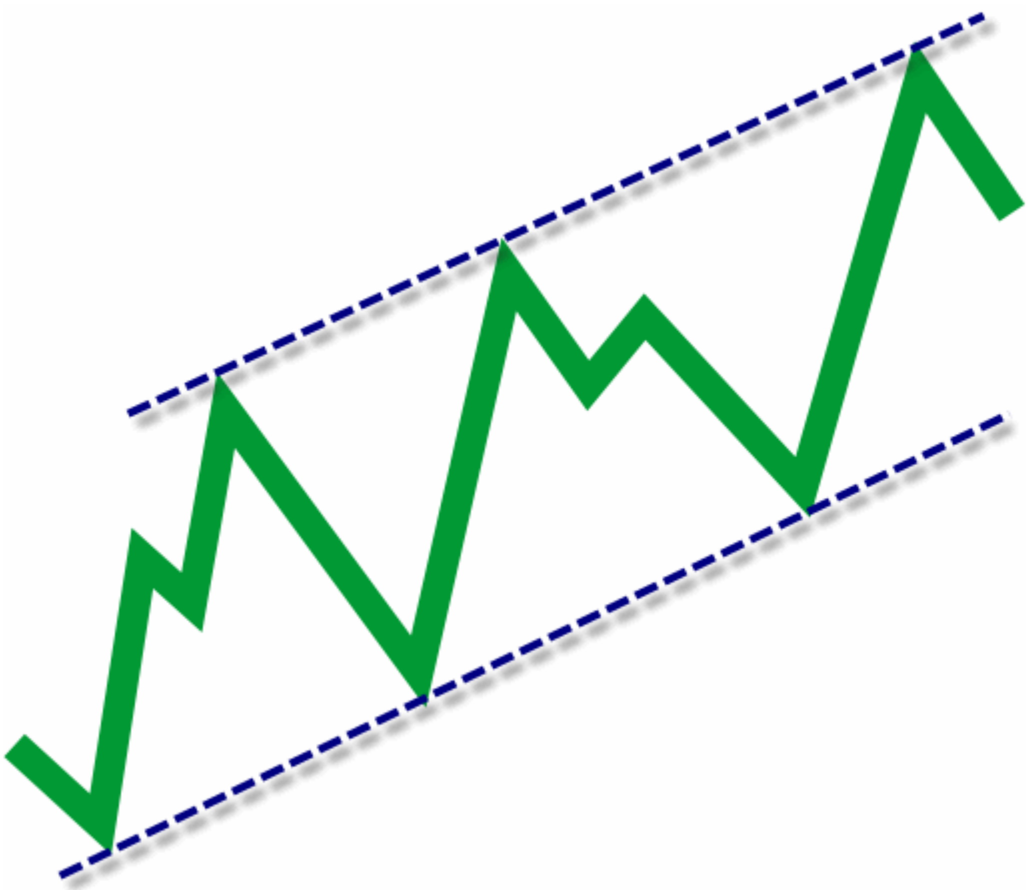
As price falls, you would be looking to connect the consecutively lower peaks drawing a trendline sloping downwards across the tops.



Many times all we will get is a peak 1 and a peak 2. Two points connected and the next contact with the trendline breaks though.

Channel

A price channel is the same thing as a range, but at an angle. Price will seem to be confined within two trendlines, one above price and one below price.



Like a range, a channel will give you a defined top and bottom. A long trade towards the top of the channel will likely reverse when it hits the top… making it a good place to take profit.

A downward channel is the same as an upward channel, only making lower highs and lows.

Below is a real chart example of a downward channel.

Channels are aren't a big part of this trading system, but of course it'll be good to understand.

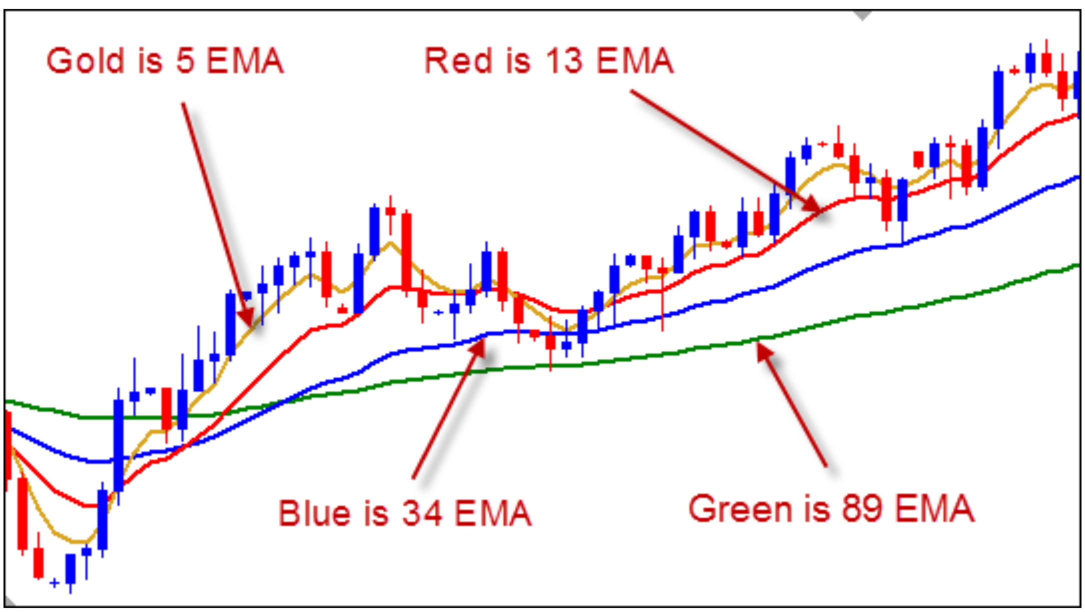
Channel = 2 parallel trendlines in which price will bounce back and forth between.

Moving Averages

Moving averages can be used as “dynamic” support and resistance. Following the same rules as horizontal and trendlines, price will either bounce off them or break though them.

Moving averages are a bigger part of this system, so it’s going to be beneficial to understand them.

A moving average is a line on a chart that waves and meanders its way through the price. It’s basically an average of a defined amount of candles. You can have an average of 5 candles or 13 candles or 34 candles or 89 candles or whatever else you choose. The fewer candles you are averaging, the “faster” it will be, meaning it hugs price more closely. The more candles the moving average averages, the “slower” it will be. It will be smoother and have less weaving to it.



In the above image, you see the variety of the moving averages. The fastest 5 Moving Average (ma) hugs the price pretty closely. The 13 follows price pretty well, but you'll notice that it's smoother. The 34 is even more smooth.

In the example of the 13 ma, the point of the moving average at each candle is an average of the closing price of that candle and the previous 13 candles. All the closing prices of the last 13 candles are added together and then divided by how many candles there were (13 in this case) to plot a point on the chart. As each new candle is formed, a new point is plotted on the chart. The points are all connected together like a connect-the-dots to give you a line.

There are several different kinds of moving averages:

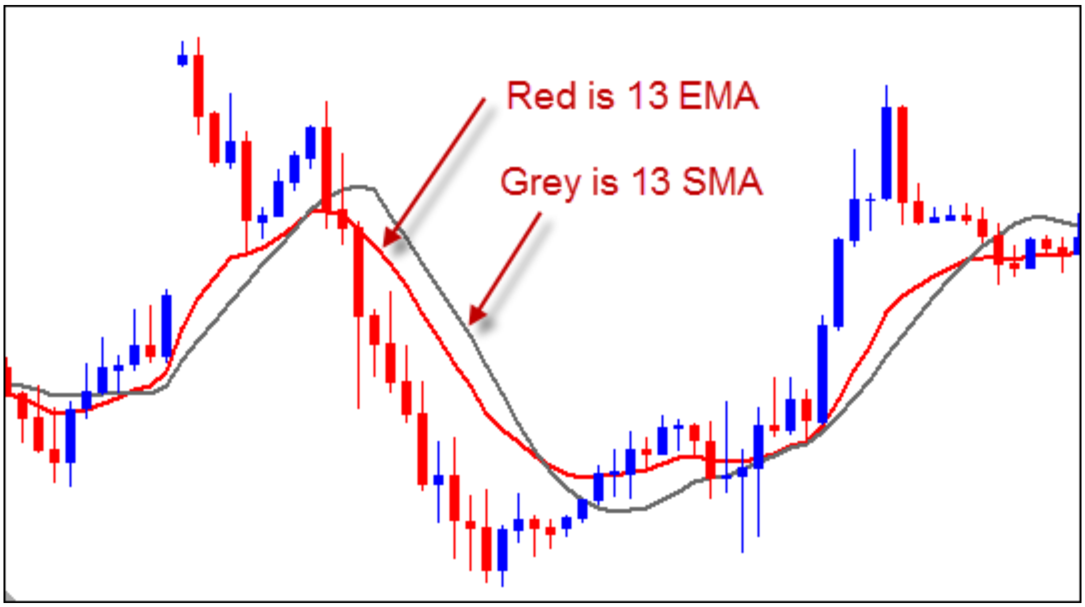
1. Exponential
2. Simple
3. Smoothed
4. Weighted
5. Triangular
6. Hull

Programmers are figuring new ways to analyze the closing prices and come up with new and creative types of moving averages. The difference between the different kinds of moving averages is the math used to determine the placement of the point. *(Of course if you can analyze closing price, you can also build a moving average using the information of the opening price, or highs or lows. The closing price is the most common and it's the one we use)

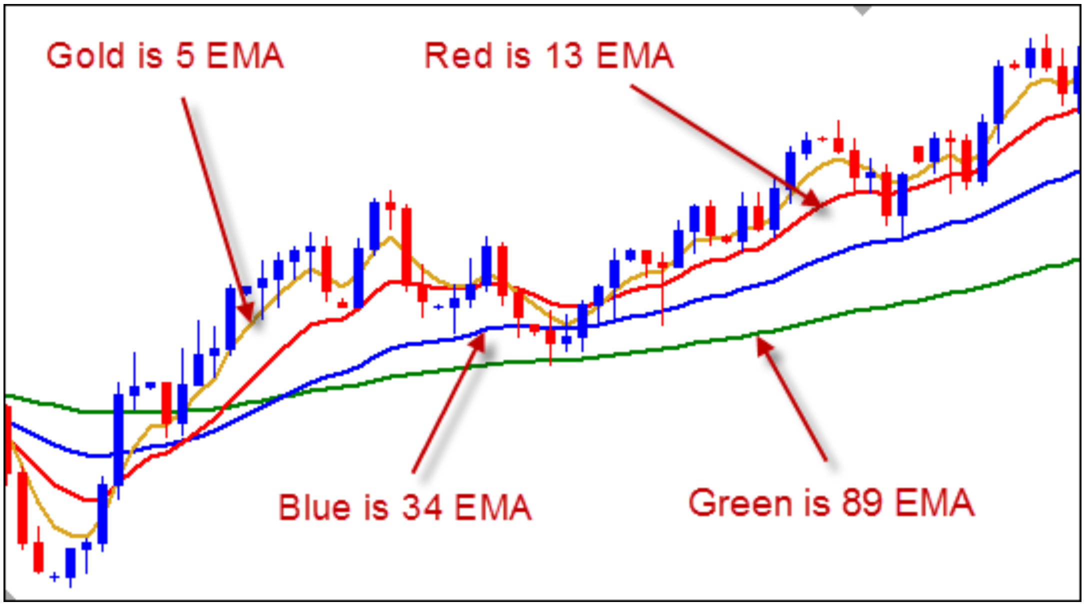
Simple moving average simply adds all the closing prices together and divides by the number of candles.

The Exponential moving averages are a little quicker and move more with price as more importance, or weight, is given to the more recent candles.

In the image below, you can see the red Exponential Moving Average (EMA) compared to the grey Simple Moving Average (SMA). The red EMA is faster to adjust to the market conditions while the simple moving average is slower to make the adjustment. Each kind of moving average has its place, but for this trading system, I found the best moving averages are the Exponential Moving Averages.



The point of this section is to determine Support and Resistance, and moving averages are great for levels that adjust with the market. Below is the image we used earlier with the 4 different moving averages.



You will see that the 5 EMA (Gold) doesn't provide very good areas for price to bounce off, but rather, price trends to trade right through it. This is a good thing as long as we know this is what happens. We can actually use this to our trading advantage.

The 13 EMA (red) provides a little better support and resistance, but it's not perfect. The Blue and Green lines are getting much better at being levels where price reacts. All the moving averages have their place and they will all work together providing us with a lot of information about potential market reactions to these areas.

Consolidation

Consolidation is an area of the market where price is essentially just moving sideways. There are little price movements, but they are very small and keep themselves within a well-defined high and low.

A trading range also moves within an upper and lower boundary, but there are often tradable movements. In a period of consolidation, the lack of and sizeable up and down movement make it virtually impossible to trade.

Consolidation is often referred to as a period of market indecision when the buyer and the sellers can't make up their minds. It can also be looked at as a period of market equilibrium when everything is balanced, and as a result, there is calm in the market.

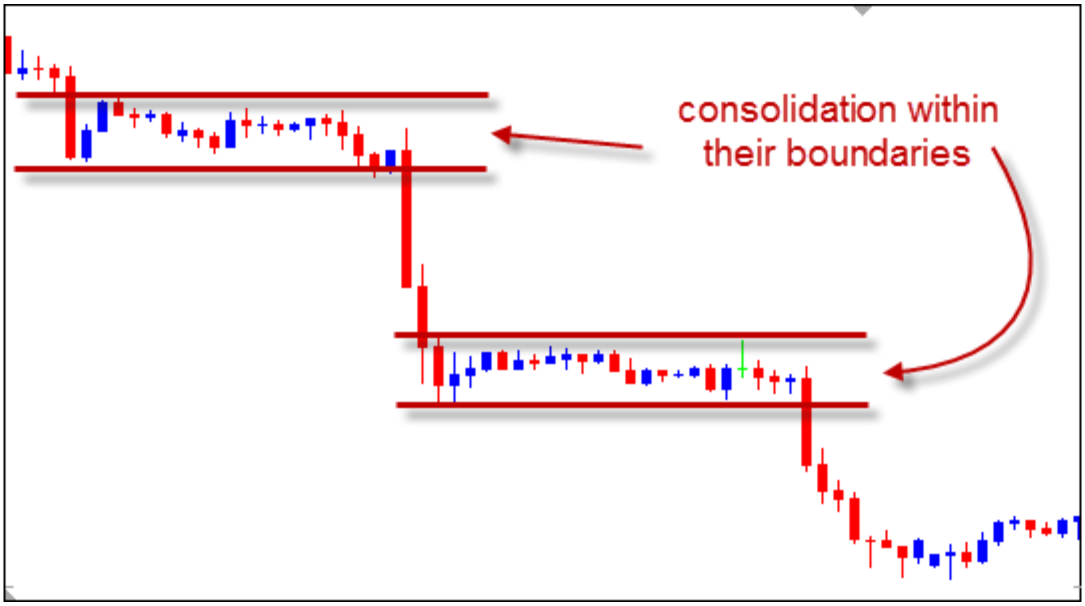
Periods of consolidation occur:

1. After a large move in the market.
2. During the time of day when most counties market hours are closed.
3. Before large fundamental news events.

Consolidation is present on all the different timeframes, they can be found on the 1 minute charts as well as the monthly charts. The market is like a living entity, and like living things, periods of work (movement) are followed by periods of rest.

As the market is always moving, this period of calm doesn't last for long and often presents the trader with a nice trading opportunity. As the market begins to move again, it will have to move past its consolidated boundaries.

In the image below, you can clearly see the consolidation and the boundaries that they create. Once the market gets moving, the boundaries are broken through and the price moves past them quite aggressively. This is referred to as a "breakout" as price breaks out of its upper or lower support or resistance levels.



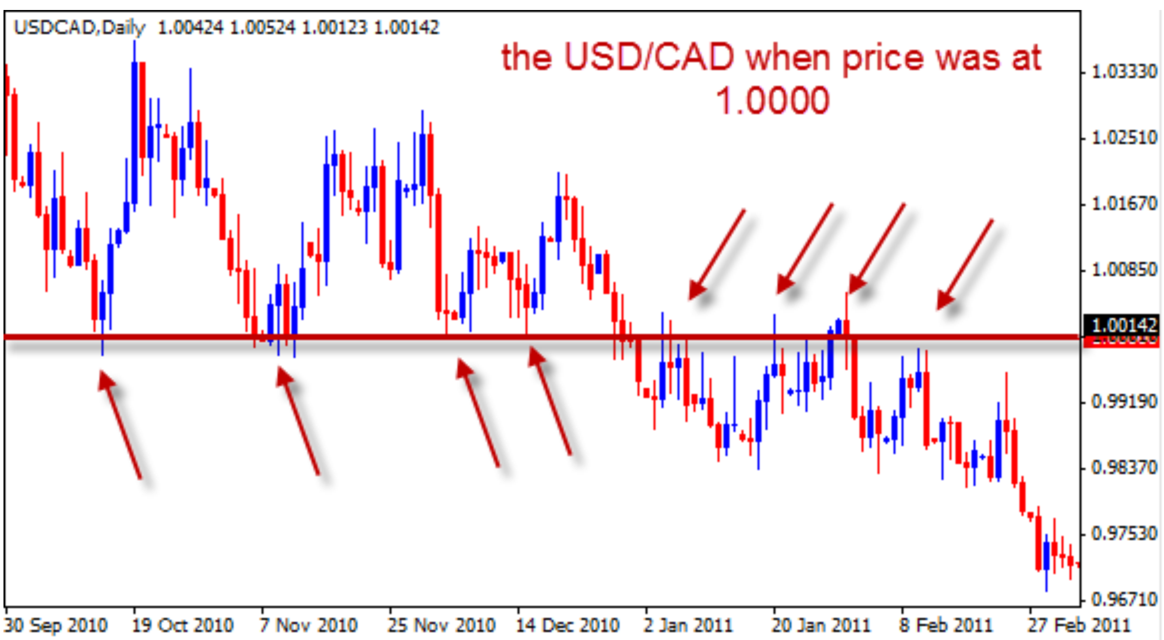
Round Numbers

This is a kind of support and resistance level use more by institutional traders, but since they use it, we should absolutely be looking at them as well.

A round number refers to a price. As the exchange rate changes, it will come to numbers like 1.2200, or .8950.

The 00 and the 50 levels are considered to be the best areas of support and resistance. the more zeros, the stronger. “1.0000” might just be the strongest support/resistance number in history. “1.2000” is a good number too, it has 3 zeros. “1.2500” ends with two zeros, an excellent price for the market to turn around at. Then there are the 50 levels like “0.8750”. The bigger buyers and sellers use these numbers to either get into a trade at or get out of a trade at. Both actions give these numbers some strength and we should be aware of that.

The image below is the USD/CAD, the red line is the 1.0000 price, see how often price bounced at that level.



Breakouts

Breakouts are basically what they sound like. The market "breaks out" of a defined range. The range scenario is what a traditional break out refers to, but the term has broadened slightly. In this manual I will venture to expand on it one step further.

Let's define the word. Dictionary.com defines Breakout this way:

Dictionary.com's definition of "Breakout":
breakout [breyk-out]
noun

- an escape, often with the use of force, as from a prison or mental institution.

A Forex trader's definition of "Breakout":
breakout [breyk-out]
noun

- a price movement past an established level of support or resistance.

Remember all the different ways to look at support and resistance as levels, trendlines, channels, moving averages… a breakout will be when price moves past one of these established areas on your chart.

What most trades are familiar with are horizontal support and resistance levels and angled trendline levels. There is a line drawn and price moves past the line… simple.

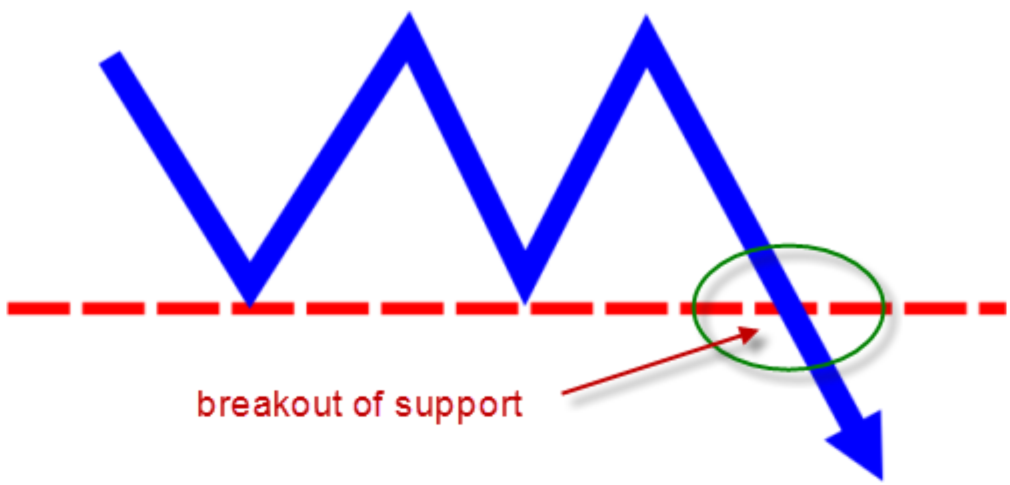
What traders are not as familiar with are moving average breakouts. They use moving averages, but quite often not in this way and almost never looked at as a "breakout".

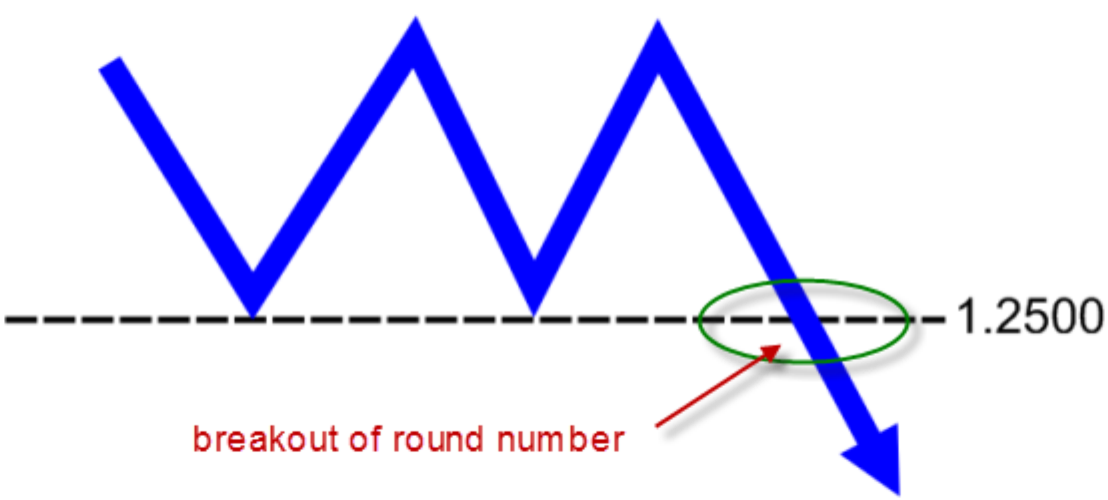
The different breakouts are:

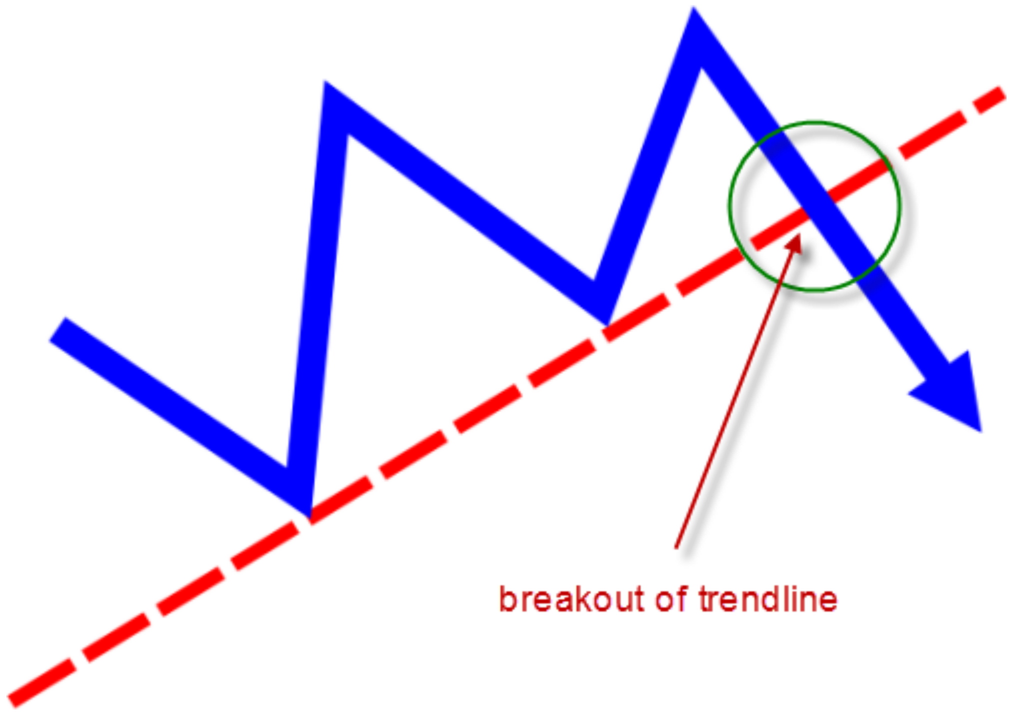
1. Support and Resistance levels (horizontal lines)
2. Trendlines (diagonal lines)
3. Moving Averages (dynamic – moving levels)
4. Price (large round numbers, 00 and 50 levels)

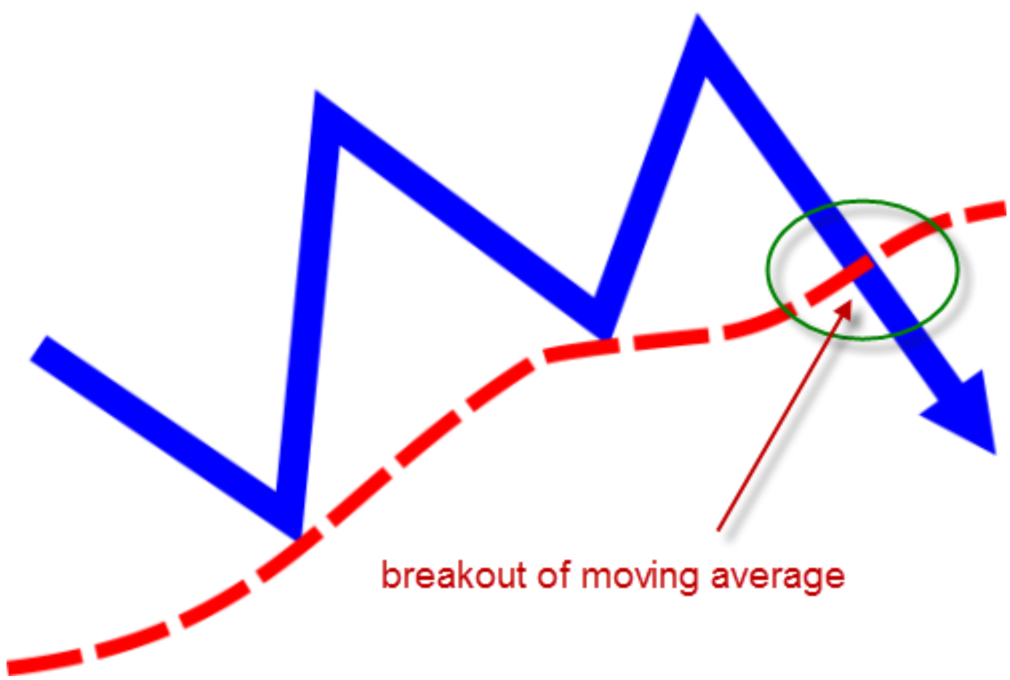
This trading system will utilize breakouts on many levels, but the biggest trade opportunities will be moving average breakouts.

Let's look at an example of each kind of breakout.









The examples are all breakouts to the short side, but you can easily imagine the opposite as the breakouts happen to the upside.

Presents

"Multi Timeframe Analysis"

By Russ Horn

RISK DISCLOSURE STATEMENT / DISCLAIMER AGREEMENT

Trading any financial market involves risk. This report and all and any of its contents are neither a solicitation nor an offer to Buy/Sell any financial market.

The contents of this report are for general information and educational purposes only (contents shall also mean the website www.rapidresultsmethod.com or any website the content is hosted on, and any email correspondence or newsletters or postings or affiliate site as related to such website). Every effort has been made to accurately represent this product and its potential. There is no guarantee that you will earn any money using the techniques, ideas and software in these materials. Examples in these materials are not to be interpreted as a promise or guarantee of earnings. Earning potential is entirely dependent on the person using our product, ideas and techniques. We do not purport this to be a “get rich scheme.”

Although every attempt has been made to assure accuracy, we do not give any express or implied warranty as to its accuracy. We do not accept any liability for error or omission. Examples are provided for illustrative purposes only and should not be construed as investment advice or strategy.

No representation is being made that any account or trader will or is likely to achieve profits or losses similar to those discussed in this report or anywhere on www.rapidresultsmethod.com. Past performance is not indicative of future results.

By purchasing and/or using any content or product including material herein contained, subscribing to our mailing list or using the website or contents of the website or materials provided herewith, you will be deemed to have accepted these terms and conditions in full as appear also on our site, as do our full earnings disclaimer and privacy policy and CFTC disclaimer and rule 4.41 to be read herewith. So too, all the materials contained within this course, including this manual, whether they appear on our domain(s) or are in physical form, are protected by copyright. "Warning: The unauthorized reproduction or distribution of this copyrighted work is illegal. Criminal copyright infringement, including infringement without monetary gain, is investigated by the authorities and is punishable with imprisonment and a fine." We reserve all our rights in this regard.

Old Tree Publishing CC, in association with www.rapidresultsmethod.com, the website, content, and its representatives Including Russ Horn do not and cannot give investment advice or invite customers or readers to engage in investments through this report or any associated software or any subscription to any part of it.

The information provided in this content is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to law or regulation or which would subject us to any registration requirement within such jurisdiction or country.

Hypothetical performance results have many inherent limitations, some of which are mentioned below. No representation is being made that any account will or is likely to achieve profits or losses similar to those shown. In fact, there are frequently sharp differences between hypothetical performance results and actual results subsequently achieved by any particular trading program and method or software. Old Tree publishing by users download and/or use of this report is indemnified fully by any such user in any and all and each respect possible.

One of the limitations of hypothetical performance results is that they are generally prepared with the benefit of hindsight. In addition, hypothetical trading does not involve financial risk and no hypothetical trading record can completely account for the impact of financial risk in actual trading.

For example, the ability to withstand losses or to adhere to a particular trading program or system in spite of the trading losses are material points that can also adversely affect trading results. There are numerous other factors related to the market in general or to the implementation of any specific trading program, which cannot be fully accounted for in the preparation of hypothetical performance results. All of which can adversely affect actual trading results.

We reserve the right to change these terms and conditions without notice. You can check for updates to this disclaimer at any time by visiting www.rapidresultsmethod.com.

Governing law: This policy and the use of this report/eBook, provided in any form, and any content on the website site are governed by the laws of the Republic of South Africa. Further details on this are found under the Terms and conditions on our site. Please ensure you read and agree with all Terms and Conditions as set out on our site before using any of the materials. Your use and reliance on the materials is based on your acceptance of such Terms and Conditions and policies as appear on the site.

Multi Timeframe Analysis

As you know, the market will move up and down. We can trade these movements up and down, but not all moves will be profitable. Some trades will yield small returns or even losses while others will provide us with easy wins and nice big profits.

With the RRM system, we are trading with the trend, and this is a great start to determining which way the market will likely move. As we trade with the trend, the moving average line up in a specific order, and from experience we can tell that that is the way the market will likely keep moving.

Trades in the opposite direction of a trend can be very risky. Although you will at times profit from these counter trend setups, the higher probability lies with the greater trend.

RRM is even equipped to show us trend over a short term, medium term and long term period of time. The moving averages we are using are great cues to what the market potential is. But sometimes we would like further confirmation in real time

To get an idea of the higher term trend potential, we can refer to higher timeframes. This can often help us determine if a trade setup is viable right away.

What is a higher timeframe

When we trade, we are looking at charts, and on those charts we see candles. The candles take a certain amount of time to form. On a 5 minute timeframe, the candle takes 5 minutes to develop from open, to formation, to close.

A higher timeframe would be a timeframe that is bigger, or longer. That is to say, a timeframe that is higher than 5 minutes would be 15 minutes, or 1 hour, for example.

When we are assessing the market, we often have a chosen timeframe we like to trade. To confirm your trade is a good trade to take, looking at the timeframe above it can be important.

What are the timeframes?

With Metatrader 4, we have several timeframes to choose from.

M1 = 1 minute
M5 = 5 minute
M15 = 15 minute
M30 = 30 minutes
H1 = 1 hour
H4 = 4 hour
D1 = Daily
W1 = Weekly
MN = Monthly

When we are trading, often we have chosen a timeframe we like, one that suits our trading style and the time restrictions we have.

The higher timeframe that we want to examine would be one that is the close to a 4:1 ratio as we can get. 4 to 1 seems to be a nice enough difference to make a proper evaluation of the market. Too much bigger, then the evaluation becomes irrelevant, too much closer, then it becomes too similar.

Here is the list of what would be the next higher timeframe based on what we have available to us on MT4:

M1 = 1 minute ➔ Next higher would be M5 = 5 minute / Ratio is 5:1
M5 ➔ M15 / Ratio is 3:1
M15 ➔ H1 / Ratio is 4:1
M30 ➔ ? / ----
H1 ➔ H4 / Ratio is 4:1
H4 ➔ D1 / Ratio is 6:1
D1 ➔ W1 / Ratio is 5:1
W1 ➔ MN / Ratio is 4:1
MN ➔ ? / ----

You will notice a couple of things with the ratios above.

First, there is no higher timeframe to the Monthly… that's fine, we don't generally trade that timeframe anyways.
Next, you see the 30 minute is the odd-man-out. We very rarely trade or watch the 30 minuet timeframe.

For the M15:
The M30 is too close to the 15 minute to use it as an appropriate next higher timeframe for the 15 minute charts, the ratio is only 2:1. This means that the 30 minute will essentially just be copying the 15 minute, the difference isn't great enough to make a proper assessment.

The M30:
We can trade the 30 minuet timeframe, but there is no appropriate higher timeframe. The next higher is the H1 which gives as a 2:1 ratio, which we understand it too close. The next higher after that is the H4 and the ratio there is 8:1, and this is so far displaced that it's not a good representation. There is too much 30 minute room in the 4 hour timeframe.

Why we use higher timeframes.

We use higher timeframes because we get a better idea of what direction there is likely going to be a larger move.

In our example, let's use the 15 minute timeframe as the period we are trading, so the next higher timeframe would be the 1 hour timeframe that we are going to look to.

We understand the market has a certain potential to cover so many pips for each timeframe:

- For a 15 minute timeframe (the one we're trading), we could say that when we place a trade, we can expect the market to give us an average of about 25 pips.

- For the 1 hour timeframe, we can easily expect a move of around 50 pips.

When the market on the higher timeframe is in agreement with the direction of the setup we are looking at on the lower timeframe (the one we're trading), we can feel confident that we can reach our target.

If on the 1 hour the market is moving up, we know it has a potential to move 50 pips. If we are going to take a trade on the 15 minute and our goal is 20 pips, that confirmation on the higher timeframe tells us the market really does want to move in that direction and our target should easily be hit.

If, on the other hand, the 1 hour is showing us up, be we want to take a short trade on the 15 minute, we could very well be taking a trade that is only a small retracement on the higher timeframe. This means it's likely that we won't see the profit target of 20 - 25 pips get hit as it's against the higher timeframe direction.

How to use the higher timeframe.

The question then becomes:
"What do I look for on the higher timeframe to confirm my trade?"

This is really quite simple, there's nothing too difficult in this assessment.

What you are looking for on the higher timeframe are conditions that you would allow you to take a trade if you see a setup on that timeframe.

If you are trading the 15 minute, you are looking for certain conditions or criteria in order to place a trade. This we understand. You want to see similar conditions on the higher timeframe for this confirmation.

On the higher timeframe you want to see…

- The moving averages are in a tradable phase
- The DPI is the proper color
- The DPI is not oversold/overbought
- The market is not moving sideways
- There is room to move to nearby areas of support and resistance

…all the things that you would look for if you were actually going to trade that higher timeframe.

An Example

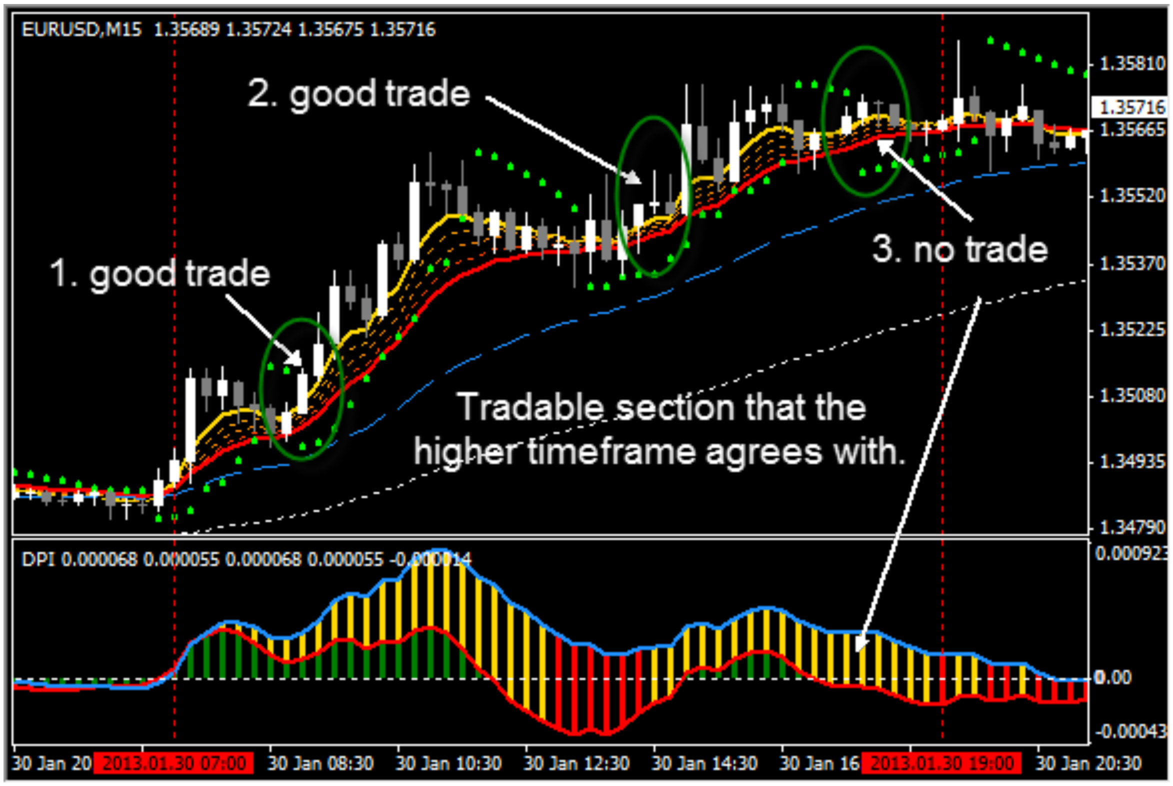
Let's take a look at an example.

The easiest way to back-test is to block off portions of the higher timeframe. In this example we are going to be trading the 15 minute, so let's block off a section of the 1 hour that we would consider good to trade.

Below you will see a chart of the 1 hour timeframe. We can consider the area in between the vertical lines to be tradable. The moving averages are in the trending phase and the DPI is yellow and climbing.

The 1 hour is the higher timeframe. We know this was a good place to look for trades on this timeframe, so after we have determined the higher timeframe is fine to trade, we go back to the timeframe we are going to trade.

Below we switch back to the 15 minute timeframe. This is the timeframe that we are looking to trade. You can see the section that has been blocked off on the 1 hour is 4 times as wide on the 15 minute candle as there are 4 times the candles (4 – 15 minute candles make up 1 hour).



You can see there are 3 trades… well, 2 trades and a not-a-trade trade.

1. This is a good trade. If you were to look at the 1 hour timeframe you would see that what is a tradable pullback here was just a small bear candle. Eveythng on this setup was perfect, the MAs were in a Trending Phase, the DPI was yellow. Entry was good.
2. Trade 2 was also good. We got a pullback, the DPI turned overbought and then turned Red. MAs were still trending and the higher timeframe also agreed that this was still tradable. When the DPI turned yellow, all the other signals were good to go long.
3. Trade 3 was overbought on the 15 minute timeframe. The higher timeframe was almost overbought, but the 15 was already. No trade.

Let's take a look at an example where the higher timeframe saved us from a bad trade.

Below you see a 4 hour EURUSD. In this example, we are trading the 1 hour timeframe, so this 4 hour becomes the higher timeframe. I sectioned off a zone that we wouldn't regularly trade on this timeframe as the conditions are not quite right. The market is overbought so the market will want to either move sideways or even pullback.

In the example you can see the market did pullback a ways.

Now we switch back to the 1 hour timeframe that we are trading.

As you see, we do get a nice looking crossover trade. The setup was clean, the Ribbon crossed down and then back up again causing the crossover. The moving averages were in the trending phase and at the arrow, the setup candle saw the DPI turn yellow. All clear for a long trade!

The market did move a little ways in favour of the trend, but ultimately it failed.

If you had taken this trade and managed it properly with the PSAR, you would have taken a smaller loss, but you would have lost regardless.

The higher timeframe was overbought, we understand that from there the 4 hour timeframe would move sideways or possibly retrace. This makes taking long trades on the lower 1 hour timeframe dangerous.

The 1 minute and 5 minute timeframes

These small timeframes are unique unto themselves.

The market has a vibration to it. It moves up and down and it does it a lot! Sometimes it only does it a few pips at a time and other times it does it much more.

The 1 minute and the 5 minute timeframes are especially sensitive to this constant fluctuation. You can nail the trade direction, but because the stop loss is so small, the basic market vibration can stop you out.

There might be a 10 pip "vibrational window" that the market needs to move around in. Placing a stop loss inside that window can make for a string of losses. We need to be extra sure we are taking a trade in the right direction.

To do this, I like to add a second higher confirmational timeframe. I want to look at the 2 higher timeframes, so before I take a trade on this small 1 minute or 5 minute timeframe, I want to see the 2 higher timeframes in agreement.

Trading the 1 minute:

- M1 confirmed with M5 confirmed with M15.

Trading the 5 minute:

- M5 confirmed with M15 confirmed with H1.

You have a little leeway with the 5 minute, but the more confirmation, the better.

Presents

Early Entries

By Russ Horn

RISK DISCLOSURE STATEMENT / DISCLAIMER AGREEMENT

Trading any financial market involves risk. This report and all and any of its contents are neither a solicitation nor an offer to Buy/Sell any financial market.

The contents of this report are for general information and educational purposes only (contents shall also mean the website www.rapidresultsmethod.com or any website the content is hosted on, and any email correspondence or newsletters or postings or affiliate site as related to such website). Every effort has been made to accurately represent this product and its potential. There is no guarantee that you will earn any money using the techniques, ideas and software in these materials. Examples in these materials are not to be interpreted as a promise or guarantee of earnings. Earning potential is entirely dependent on the person using our product, ideas and techniques. We do not purport this to be a “get rich scheme.”

Although every attempt has been made to assure accuracy, we do not give any express or implied warranty as to its accuracy. We do not accept any liability for error or omission. Examples are provided for illustrative purposes only and should not be construed as investment advice or strategy.

No representation is being made that any account or trader will or is likely to achieve profits or losses similar to those discussed in this report or anywhere on www.rapidresultsmethod.com. Past performance is not indicative of future results.

By purchasing and/or using any content or product including material herein contained, subscribing to our mailing list or using the website or contents of the website or materials provided herewith, you will be deemed to have accepted these terms and conditions in full as appear also on our site, as do our full earnings disclaimer and privacy policy and CFTC disclaimer and rule 4.41 to be read herewith. So too, all the materials contained within this course, including this manual, whether they appear on our domain(s) or are in physical form, are protected by copyright. "Warning: The unauthorized reproduction or distribution of this copyrighted work is illegal. Criminal copyright infringement, including infringement without monetary gain, is investigated by the authorities and is punishable with imprisonment and a fine." We reserve all our rights in this regard.

Old Tree Publishing CC, in association with www.rapidresultsmethod.com, the website, content, and its representatives Including Russ Horn do not and cannot give investment advice or invite customers or readers to engage in investments through this report or any associated software or any subscription to any part of it.

The information provided in this content is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to law or regulation or which would subject us to any registration requirement within such jurisdiction or country.

Hypothetical performance results have many inherent limitations, some of which are mentioned below. No representation is being made that any account will or is likely to achieve profits or losses similar to those shown. In fact, there are frequently sharp differences between hypothetical performance results and actual results subsequently achieved by any particular trading program and method or software. Old Tree publishing by users download and/or use of this report is indemnified fully by any such user in any and all and each respect possible.

One of the limitations of hypothetical performance results is that they are generally prepared with the benefit of hindsight. In addition, hypothetical trading does not involve financial risk and no hypothetical trading record can completely account for the impact of financial risk in actual trading.

For example, the ability to withstand losses or to adhere to a particular trading program or system in spite of the trading losses are material points that can also adversely affect trading results. There are numerous other factors related to the market in general or to the implementation of any specific trading program, which cannot be fully accounted for in the preparation of hypothetical performance results. All of which can adversely affect actual trading results.

We reserve the right to change these terms and conditions without notice. You can check for updates to this disclaimer at any time by visiting www.rapidresultsmethod.com.

Governing law: This policy and the use of this report/eBook, provided in any form, and any content on the website site are governed by the laws of the Republic of South Africa. Further details on this are found under the Terms and conditions on our site. Please ensure you read and agree with all Terms and Conditions as set out on our site before using any of the materials. Your use and reliance on the materials is based on your acceptance of such Terms and Conditions and policies as appear on the site.

Early Entries

The DPI is an amazing indicator, and now we are going to use it to find a way into the market before the histogram turns the proper color.

As you know, a yellow histogram means buy and a red histogram means sell.

There are times when the turning of the histogram color delays what we might consider a terrific entry. If we wait for the histogram to turn yellow for a buy trade, we might end up avoiding the trade because the market has moved too far to make the trade realistically winnable.

Once the Histogram turns the right color, the market might have moved so far that the stop loss becomes too large and the market is too far away from the moving average. Taking a trade at this point becomes less desirable.

We are going to look at the DPI in a way that will allow us to enter the market in a timelier manner.

We will be able to enter along trade while the DPI histogram is still red, and enter a short trade while the DPI histogram is still yellow.

For this we will need the opened DPI. The most important feature is the 0 line.

The Early Entry will…

1. Rarely occur with Ribbon Trade setup.
2. Occasionally occur on a Ghost Trade setup.
3. Frequently occur on a Shark Trade setup.

Because of its frequency on a Shark Trade setup, we will use this in our examples.

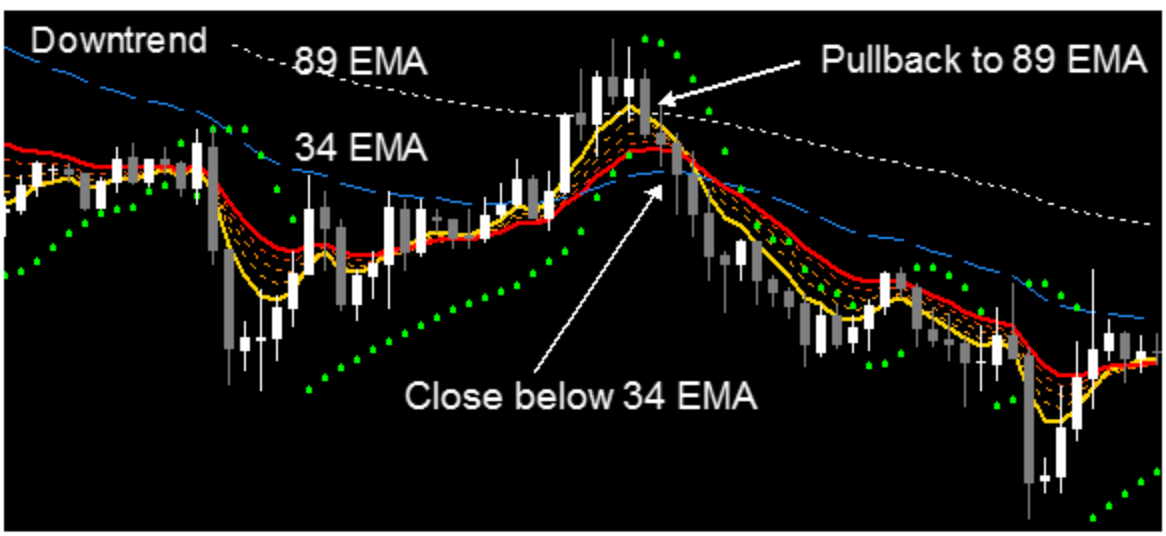
Shark Trade

Let's quickly overview the Shark Trade setup.

The indicators used to find a Shark trade is are the 34 EMA and the 89 EMA. This is considered the "long term trend". The market will like to move the farthest in the direction of the long term trend.

Most of the time, a Shark Trade setup will occur in an Unordered Phase, and this can make the market movement sideways, but when the market is moving, the Shark trade can move the market quite far.

Below you can see the Shark Trade. The Moving averages are initially in the Trending Phase order, the price pulls back and touches the 89 EMA. After that we see price close below the 34 EMA. This is a Shark Trade Setup.



The Shark Trade pulls the 13 EMA in between the 34 EMA and the 89 EMA, this is the Unordered Phase. We will generally want to stay away from this phase, but the early entry signal will help us get into this trade even during an Unordered Phase.

This Early Entry will also help us get the jump on the 13/34 crossover trade that is close to follow.

Early Entry Short Setup

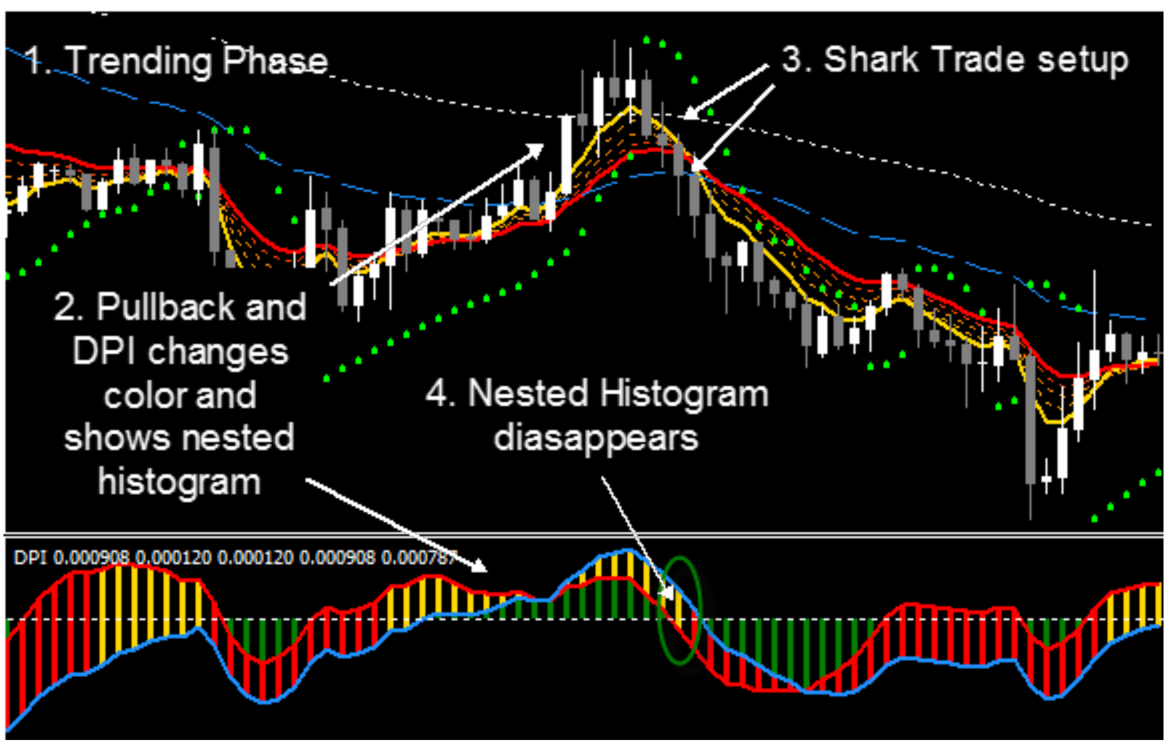
There are a series of steps in the Early Entry. These steps will apply to the Ribbon Trade, the Ghost Trade and the Shark trade. Here they are:

1. The market will be in a technical down-trend, also called the Trending Phase.

2. As price pulls back, the DPI will change from red to yellow. Both the Lead and Follow line will cross above the 0 line and there will be some green nested histogram showing.

3. As the Ribbon/Ghost/Shark setup occurs and we get the proper cross past the appropriate moving average and the PSAR is on the correct side.

4. The green nested histogram disappears. The DPI may still be the wrong color (yellow), but as long as the nested histogram vanishes as either the Lead or Follow ling touches or crosses the 0 line, we can consider a trade.



Early Entry Long Setup

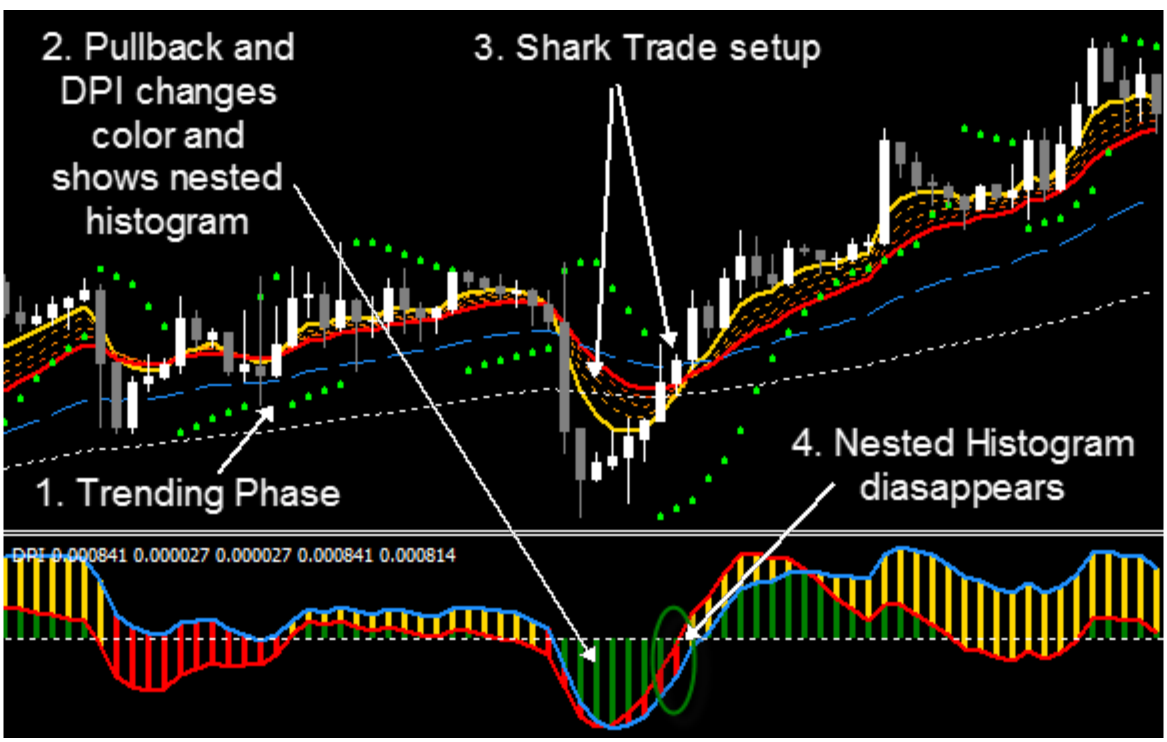
There are a series of steps in the Early Entry. These steps will apply to the Ribbon Trade, the Ghost Trade and the Shark trade. Here they are:

1. The market will be in a technical up-trend, also called the Trending Phase.

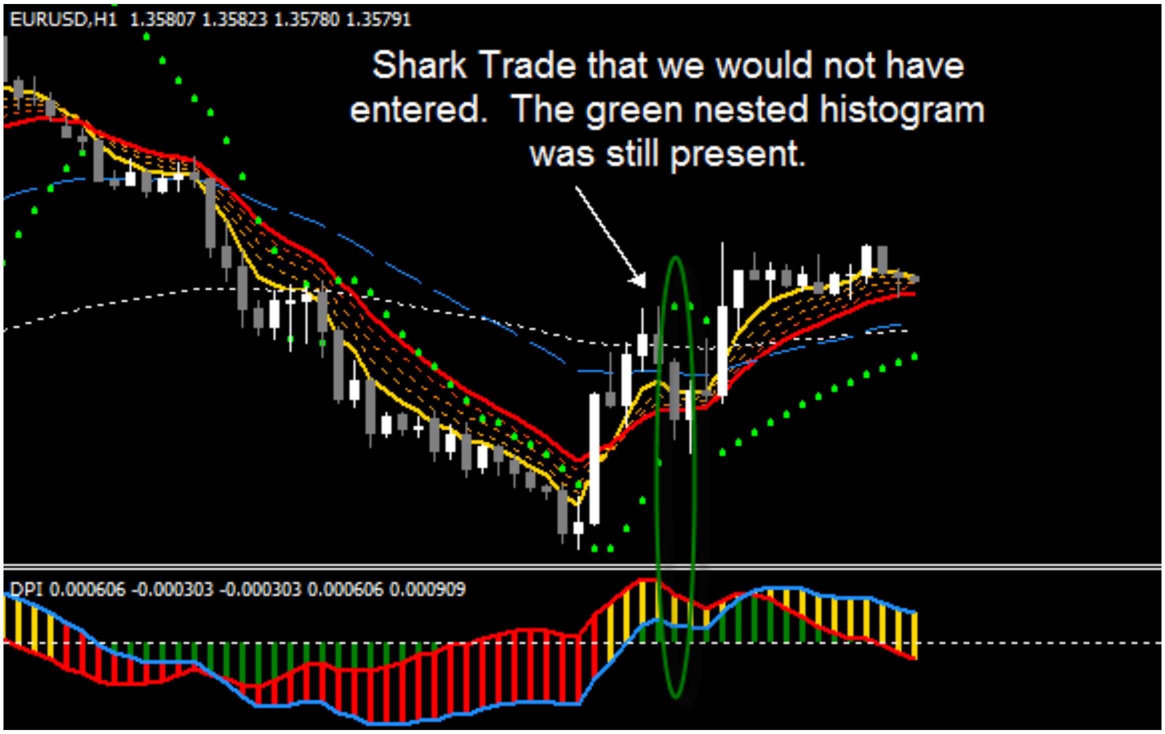
2. As price pulls back, the DPI will change from yellow to red. Both the Lead and Follow line will cross below the 0 line and there will be some green nested histogram showing.

3. As the Ribbon/Ghost/Shark setup occurs and we get the proper cross past the appropriate moving average and the PSAR is on the correct side.

4. The green nested histogram disappears. The DPI may still be the wrong color (red), but as long as the nested histogram vanishes as either the Lead or Follow ling touches or crosses the 0 line, we can consider a trade.



Below is an example of a Shark Trade / Ghost Trade that we would not have taken. The Green Nested Histogram was still present, so there was no early entry available.



We want to be sure that we are still taking these trades in a market environment that is favorable to taking trades. If the market is moving sideways or is choppy or slow or spiky or any of the things we don't want to trade, we will find there will be more of these Early Entry setups with most of them not working out.

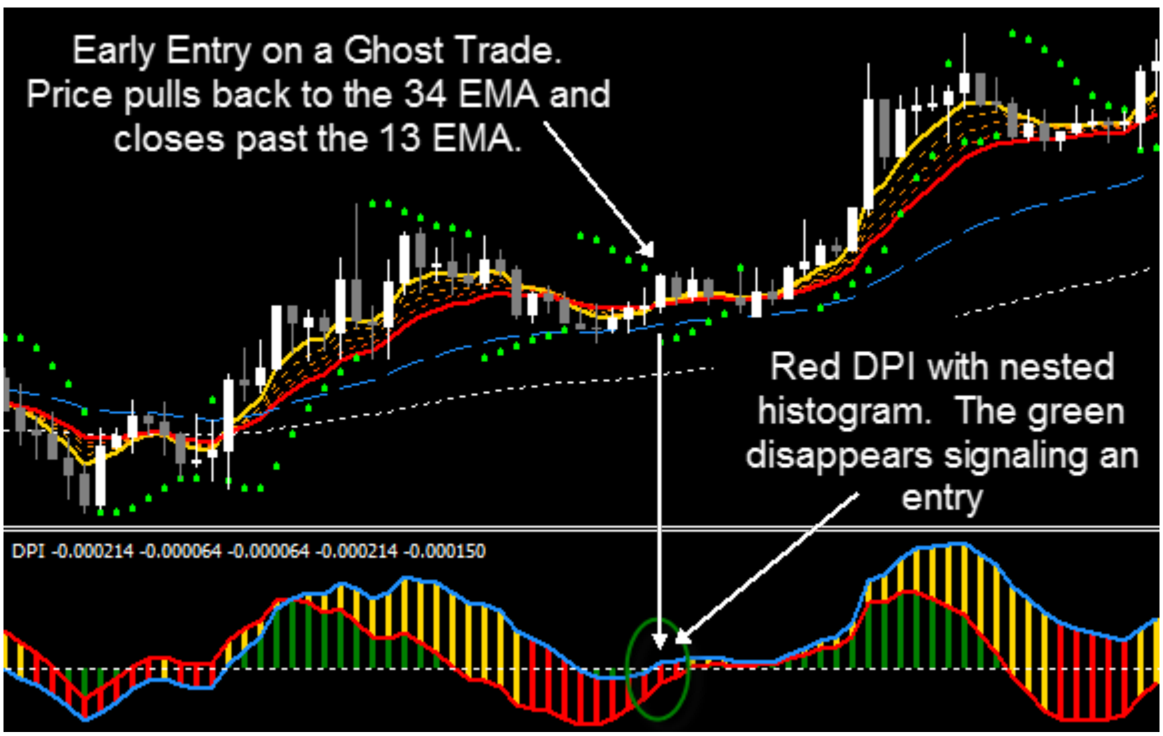
Early Entry on Ribbon Trades

These are rare. Finding an Early Entry on a Ribbon Trade setup doesn't happen very often. They are actually extremely hard to find as an example, but the rules will still apply. As the green histogram disappears, the entry signal applies.

Early Entry on Ghost Trades

The Ghost Trade setup occurs in a Trending Phase. The price pulls back to touch the 34 EMA and then the price continues to move back into the direction of the trend. Once the price closes past the 13 EMA we have a signal. Of course we still wait for the PSAR to be on the correct side of the market, and in this example, the DPI will present us with an early entry.

The Early Entry on a Ghost Trade setup is a little more frequent, but still not easy to find. When they do happen, you will find that they usually coincide with a Ribbon crossover trade. The Ribbon will usually cross against the trend and then as the Early Entry signal happens, the Ribbon will also crossover back in the trending direction.



Presents

Counter-Trend

Or

Divergence Trading

By Russ Horn

RISK DISCLOSURE STATEMENT / DISCLAIMER AGREEMENT

Trading any financial market involves risk. This report and all and any of its contents are neither a solicitation nor an offer to Buy/Sell any financial market.

The contents of this report are for general information and educational purposes only (contents shall also mean the website www.rapidresultsmethod.com or any website the content is hosted on, and any email correspondence or newsletters or postings or affiliate site as related to such website). Every effort has been made to accurately represent this product and its potential. There is no guarantee that you will earn any money using the techniques, ideas and software in these materials. Examples in these materials are not to be interpreted as a promise or guarantee of earnings. Earning potential is entirely dependent on the person using our product, ideas and techniques. We do not purport this to be a “get rich scheme.”

Although every attempt has been made to assure accuracy, we do not give any express or implied warranty as to its accuracy. We do not accept any liability for error or omission. Examples are provided for illustrative purposes only and should not be construed as investment advice or strategy.

No representation is being made that any account or trader will or is likely to achieve profits or losses similar to those discussed in this report or anywhere on www.rapidresultsmethod.com. Past performance is not indicative of future results.

By purchasing and/or using any content or product including material herein contained, subscribing to our mailing list or using the website or contents of the website or materials provided herewith, you will be deemed to have accepted these terms and conditions in full as appear also on our site, as do our full earnings disclaimer and privacy policy and CFTC disclaimer and rule 4.41 to be read herewith. So too, all the materials contained within this course, including this manual, whether they appear on our domain(s) or are in physical form, are protected by copyright. "Warning: The unauthorized reproduction or distribution of this copyrighted work is illegal. Criminal copyright infringement, including infringement without monetary gain, is investigated by the authorities and is punishable with imprisonment and a fine." We reserve all our rights in this regard.

Old Tree Publishing CC, in association with www.rapidresultsmethod.com, the website, content, and its representatives Including Russ Horn do not and cannot give investment advice or invite customers or readers to engage in investments through this report or any associated software or any subscription to any part of it.

The information provided in this content is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to law or regulation or which would subject us to any registration requirement within such jurisdiction or country.

Hypothetical performance results have many inherent limitations, some of which are mentioned below. No representation is being made that any account will or is likely to achieve profits or losses similar to those shown. In fact, there are frequently sharp differences between hypothetical performance results and actual results subsequently achieved by any particular trading program and method or software. Old Tree publishing by users download and/or use of this report is indemnified fully by any such user in any and all and each respect possible.

One of the limitations of hypothetical performance results is that they are generally prepared with the benefit of hindsight. In addition, hypothetical trading does not involve financial risk and no hypothetical trading record can completely account for the impact of financial risk in actual trading.

For example, the ability to withstand losses or to adhere to a particular trading program or system in spite of the trading losses are material points that can also adversely affect trading results. There are numerous other factors related to the market in general or to the implementation of any specific trading program, which cannot be fully accounted for in the preparation of hypothetical performance results. All of which can adversely affect actual trading results.

We reserve the right to change these terms and conditions without notice. You can check for updates to this disclaimer at any time by visiting www.rapidresultsmethod.com.

Governing law: This policy and the use of this report/eBook, provided in any form, and any content on the website site are governed by the laws of the Republic of South Africa. Further details on this are found under the Terms and conditions on our site. Please ensure you read and agree with all Terms and Conditions as set out on our site before using any of the materials. Your use and reliance on the materials is based on your acceptance of such Terms and Conditions and policies as appear on the site.

Counter-Trend Trading.

The trend is a great way to trade. There are several opportunities in a trend. We try to capitalize on the power moves a trend can produce.

But the truth is that there are also moves in the opposite direction of a trend. These are present, but they can be very difficult to trade as they don't happen all the time.

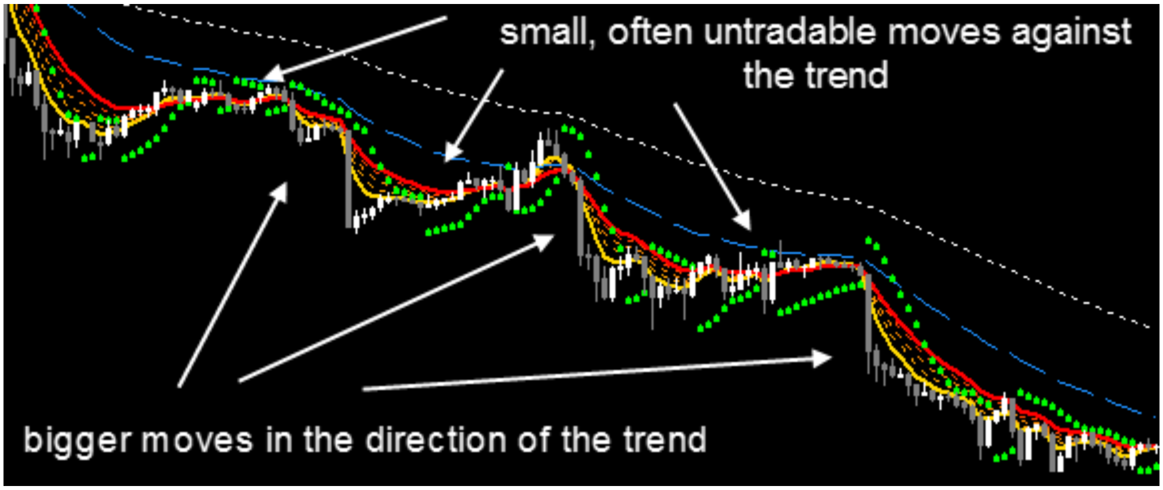
We can use the DPI to help us determine the right pullback to trade against the trend.

What we will be looking for is something called "Divergence".

As the market makes its highs and lows, the DPI will also make highs and lows that correspond with the moves of the market. As price makes a higher high, the DPI should also make a higher high.

There will be times when the market and the DPI will differ in opinion. For instance, the market might make a higher high but the DPI will make a lower high. This is the foundation of divergence. When we see this kind of differing of opinion, we have the potential for the market to make a move in the opposite direction.

Below is an example of your basic trend. When price moves, it will move much more in the direction of the trend and move very little in the opposite direction.



A move against the trend can often be nothing more than sideways and not even in the opposite direction. The market makes a push and then will need to rest.

In the military, these surges are called “Battle Pulses”. The Bulls and the Bears will clash for a short time and then need to rest. There is never a constant ongoing battle between the two, but rather, the battle rages in short spurts, or pulses. Sleep, attending to the wounded, clearing the battle field, and so on will constitute these resting periods. It’s a period of contentment or rest and the Bulls and the Bears are not at war with the same vigor.

A trend in the market is the same. We will see battle pulses… surges in the trend direction with rests along the way.

With that being said, some of these resting periods will have the market correcting itself. It will need to pullback to establish a kind of equal state between the bulls and the bears. Other times, the market will actually use these pullbacks to change the direction of the trend.

Because they don’t happen every time, we can use the DPI to help us determine which rest will be tradable in the opposite direction of the major trend, or “counter-trend”.

Below you can see what a tradable pullback in a trend would look like. It's not huge by any means, but it is tradable and this would have been a winning trade if you took it.

Just to be clear, a counter-trend trade is a trade against the trend.

In a down-trend, like we see above, the trend following trades would be sell trades… this is trading with the trend.

The counter-trend trade would be a trade in the opposite direction. In a down-trend, the counter-trend trade is going to be a buy trade. We will be trading towards the moving averages.

Divergence

First, we need to find the setup on the DPI that tells us that the pullback in the market is going to be a tradable one.

We are going to use something called "Divergence". This is when the market and the indicator we are using don't agree with each other. The indicator is giving us a kind of inside look to the market action.

Let me use this quick example to illustrate how this is going to work.

We can run up a hill. Along the way, we will need to pause every once in a while, catch our breath and get going again. We can do this a few times, but the farther we get up the hill, the more we will become tired and unable to continue, even after a break.

1. Sprint the first part
2. Run the second part
3. Jog the third part
4. Walk the forth part
5. Come back down the hill

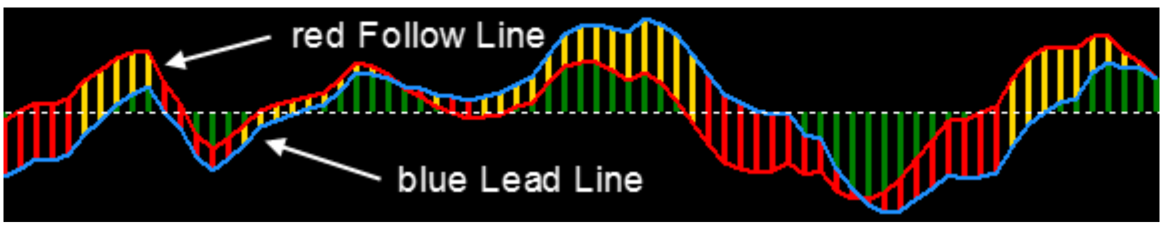
The market is our position on the hill, and the indicator is how tired we have become. Even though we can still move up the hill, we have become very tired and will need to come back down the hill.

When looking for Divergence, we have a couple of tools to look at.

We can use:

1. The Lead Line only.
2. The Follow Line only.
3. But not both together.

Divergence will show up on either the blue Lead Line or the red Follow Line. When looking for a divergent setup, we will compare the market ups and downs with the Lead Line ups and down or the Follow Line ups and downs.



The kind of divergence we will be looking for is called Regular Divergence.

We will be looking for:

1. Bullish Regular Divergence (market will go up).
2. Bearish Regular Divergence (market will go down).

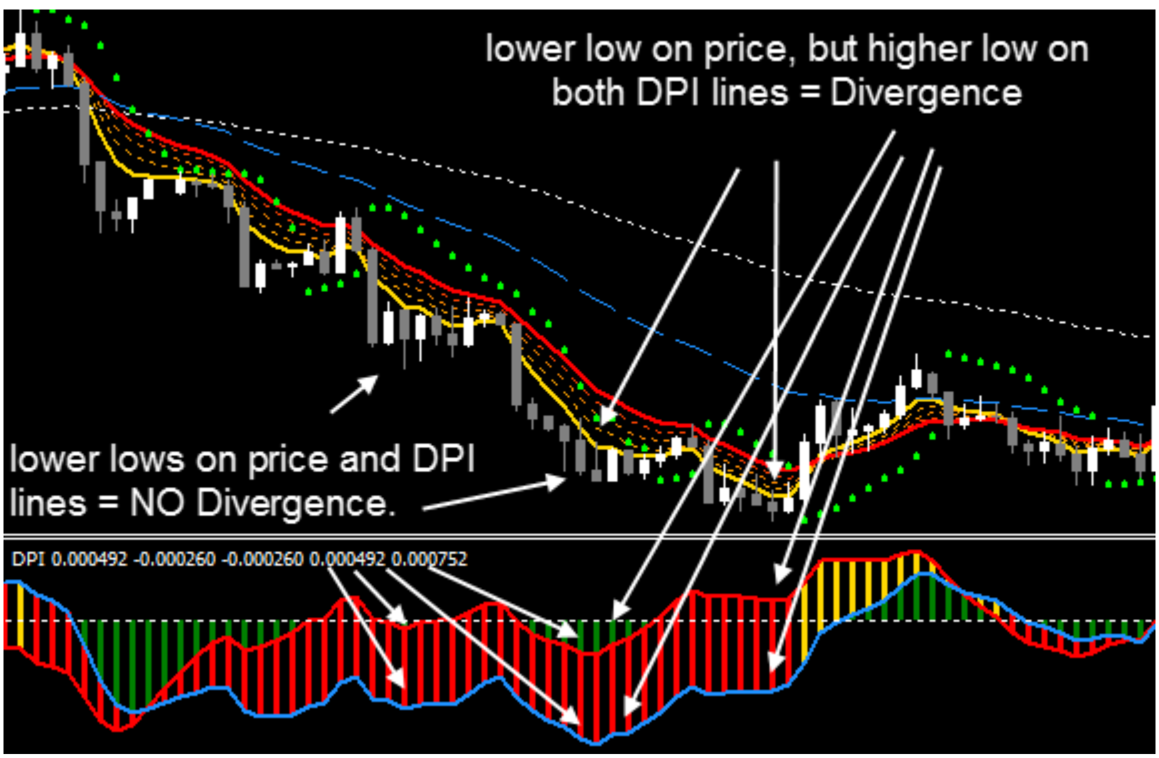
Bullish Regular Divergence

We will be looking for buy trades in a down-trend.

In order to spot Bullish Regular Divergence, we need to see distinct swing lows in the market and be able to associate them to swing lows on the DPI.

The market will make a lower low and the DPI will make a higher low.

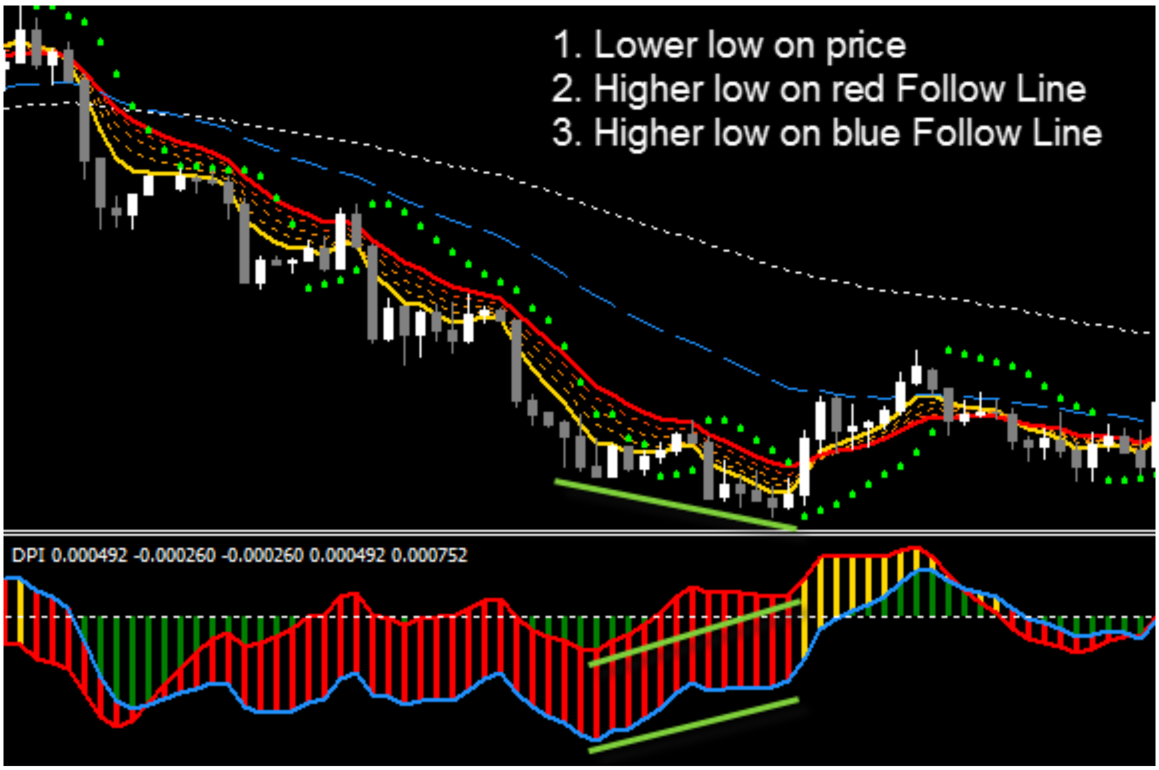
As the market bounces its way down, it will form a swing low, come up a little bit and then make a new low that is lower than the previous one it made. These lows on the price will be reflected but both the Lead Line and the Follow line. To find Divergence, one of these DPI lines will make a low and then as the price makes a lower low, the DPI line won't be able to and instead, make a higher low.



Lots of arrows, we generally use a trendline, let's look at it again with the trendlines.

The easiest way to see that there is divergence is to draw trendlines connecting the recent lows of the price and then the associated lows on the Lead Line or the Follow Line.

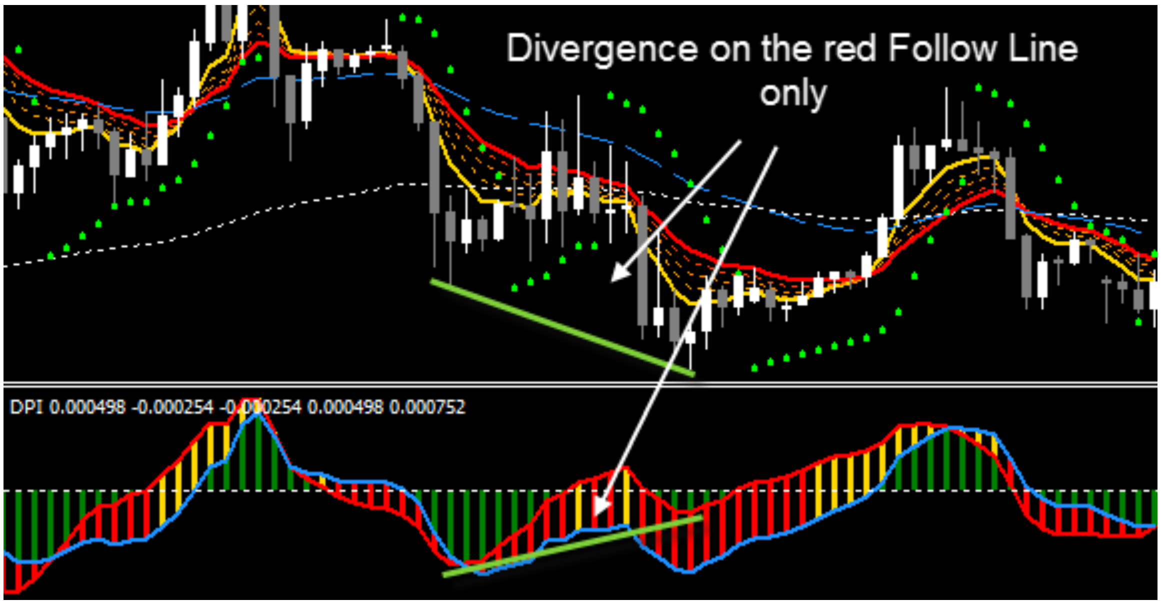
- When connecting the lows on the DPI, connect only the lows of the Lead Line or the lows of the Follow Line. You cannot connect one low of the Lead Line to the low of the Follow Line.



It's important to note that this image shows divergence on both the Lead Line AND the Follow Line. You DO NOT NEED BOTH. You can have divergence on only one of them… only the Lead Line or only the Follow line.

Below is Regular Bullish Divergence on ONLY the red Follow Line.

This is by far the most common bullish divergence. It's less common to have Lead Line divergence and not red Follow Line divergence at the same time. When the Lead Line shows weakness, the Follow line will have generally reacted to it before.



Bearish Regular Divergence

In order to spot Bearish Regular Divergence, we need to see distinct swing highs in the market and be able to associate them to swing highs on the DPI.

The market will make a higher high and the DPI will make a lower high.

As the market bounces its way up, it will form a swing high, move down a little bit and then make a new high that is higher than the previous one it made. These highs on the price will be reflected but both the Lead Line and the Follow line. To find Divergence, one of these DPI lines will make a high and then as the price makes a higher high, the DPI line won't be able to and instead, make a lower high.

The easiest way to see that there is divergence is to draw trendlines connecting the recent highs of the price and then the associated highs on the Lead Line or the Follow Line.

- When connecting the highs on the DPI, connect only the highs of the Lead Line or the highs of the Follow Line. You cannot connect one high of the Lead Line to the high of the Follow Line.

Entering a Trade

Now that we are able to spot the Divergence setups, we need to find a way to enter the trade.

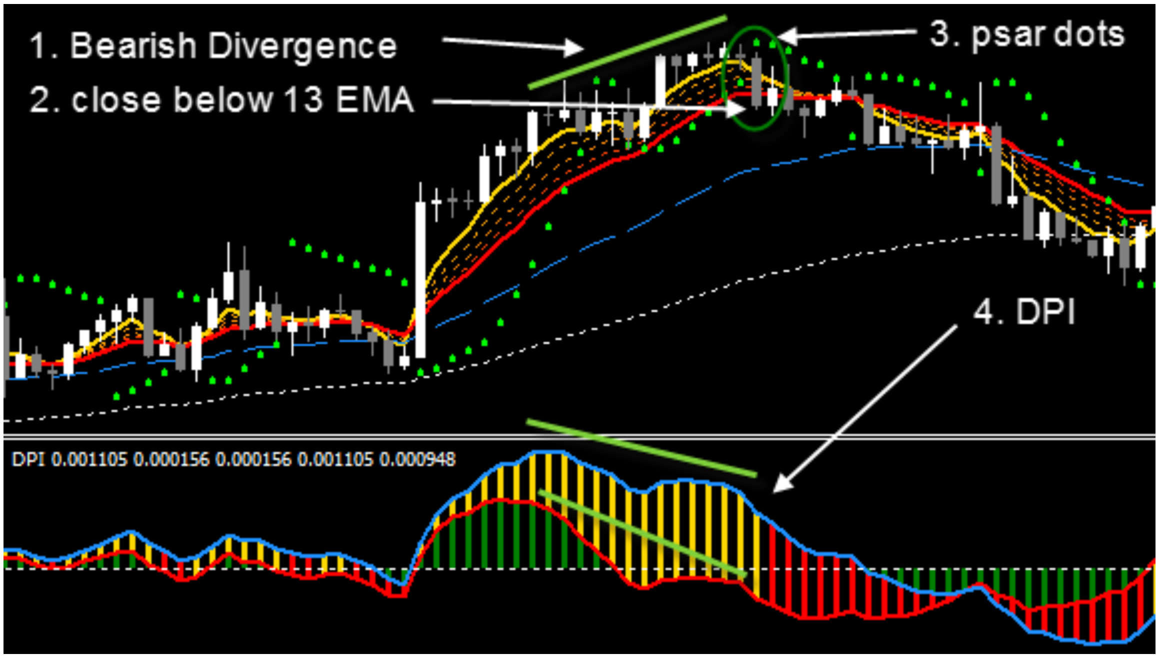
Bearish Divergence Entry

Here are the steps we need to follow for entering Bearish Divergence setup.

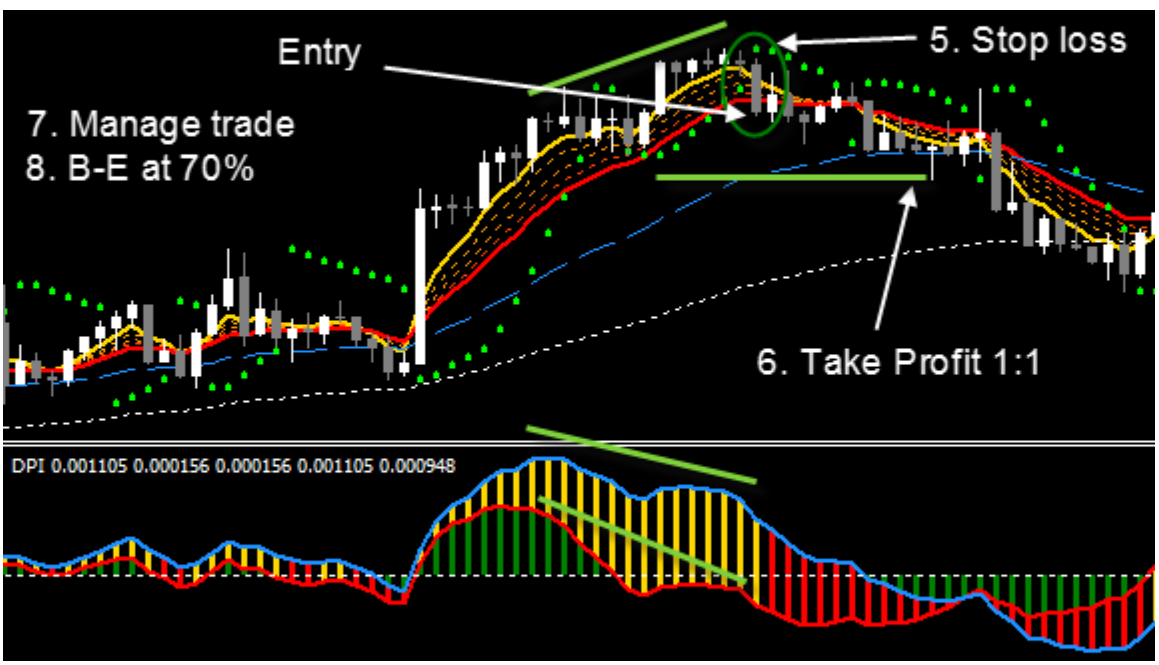
1. Find Bearish Divergence
2. Wait for price to close below the 13 EMA
3. PSAR dots must be above the price
4. DPI must be red (or) we get a bearish Early Entry signal
5. Stop loss goes just above PSAR dot of the entry candle
6. Take Profit is 1:1 (target whatever the stop loss amount is)
7. Manage the trade using the PSAR dots
8. Move Stop to break-even at 70% profit

Note
The 34 and the 89 EMA make excellent targets and will also provide support and try to hold the price at bay.

The first 4 steps:



The next 4 steps:



Bullish Divergence Entry

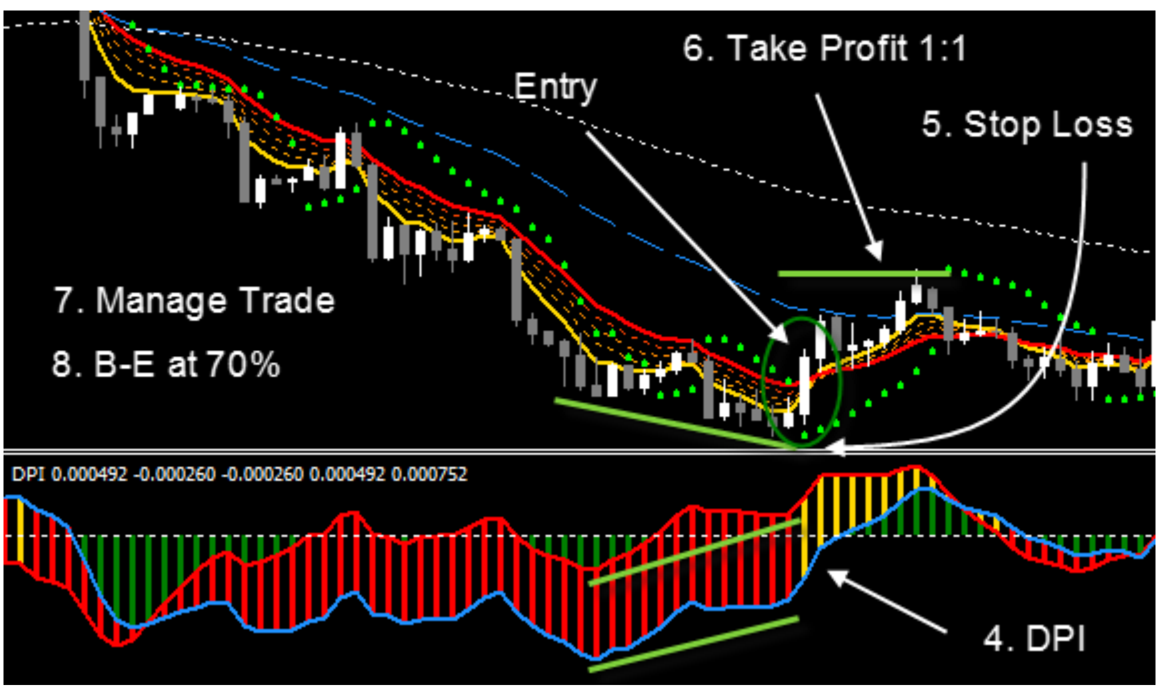
Here are the steps we need to follow for entering Bullish Divergence setup.

1. Find Bullish Divergence
2. Wait for price to close above the 13 EMA
3. PSAR dots must be below the price
4. DPI must be yellow (or) we get a bullish Early Entry signal
5. Stop loss goes just below PSAR dot of the entry candle
6. Take Profit is 1:1 (target whatever the stop loss amount is)
7. Manage the trade using the PSAR dots
8. Move Stop to break-even at 70% profit

Note
The 34 and the 89 EMA make excellent targets and will also provide resistance and try to hold the price at bay.

The first 4 steps:

The next 4 steps:



Presents

Letting Profits Run

By Russ Horn

RISK DISCLOSURE STATEMENT / DISCLAIMER AGREEMENT

Trading any financial market involves risk. This report and all and any of its contents are neither a solicitation nor an offer to Buy/Sell any financial market.

The contents of this report are for general information and educational purposes only (contents shall also mean the website www.rapidresultsmethod.com or any website the content is hosted on, and any email correspondence or newsletters or postings or affiliate site as related to such website). Every effort has been made to accurately represent this product and its potential. There is no guarantee that you will earn any money using the techniques, ideas and software in these materials. Examples in these materials are not to be interpreted as a promise or guarantee of earnings. Earning potential is entirely dependent on the person using our product, ideas and techniques. We do not purport this to be a “get rich scheme.”

Although every attempt has been made to assure accuracy, we do not give any express or implied warranty as to its accuracy. We do not accept any liability for error or omission. Examples are provided for illustrative purposes only and should not be construed as investment advice or strategy.

No representation is being made that any account or trader will or is likely to achieve profits or losses similar to those discussed in this report or anywhere on www.rapidresultsmethod.com. Past performance is not indicative of future results.

By purchasing and/or using any content or product including material herein contained, subscribing to our mailing list or using the website or contents of the website or materials provided herewith, you will be deemed to have accepted these terms and conditions in full as appear also on our site, as do our full earnings disclaimer and privacy policy and CFTC disclaimer and rule 4.41 to be read herewith. So too, all the materials contained within this course, including this manual, whether they appear on our domain(s) or are in physical form, are protected by copyright. "Warning: The unauthorized reproduction or distribution of this copyrighted work is illegal. Criminal copyright infringement, including infringement without monetary gain, is investigated by the authorities and is punishable with imprisonment and a fine." We reserve all our rights in this regard.

Old Tree Publishing CC, in association with www.rapidresultsmethod.com, the website, content, and its representatives Including Russ Horn do not and cannot give investment advice or invite customers or readers to engage in investments through this report or any associated software or any subscription to any part of it.

The information provided in this content is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to law or regulation or which would subject us to any registration requirement within such jurisdiction or country.

Hypothetical performance results have many inherent limitations, some of which are mentioned below. No representation is being made that any account will or is likely to achieve profits or losses similar to those shown. In fact, there are frequently sharp differences between hypothetical performance results and actual results subsequently achieved by any particular trading program and method or software. Old Tree publishing by users download and/or use of this report is indemnified fully by any such user in any and all and each respect possible.

One of the limitations of hypothetical performance results is that they are generally prepared with the benefit of hindsight. In addition, hypothetical trading does not involve financial risk and no hypothetical trading record can completely account for the impact of financial risk in actual trading.

For example, the ability to withstand losses or to adhere to a particular trading program or system in spite of the trading losses are material points that can also adversely affect trading results. There are numerous other factors related to the market in general or to the implementation of any specific trading program, which cannot be fully accounted for in the preparation of hypothetical performance results. All of which can adversely affect actual trading results.

We reserve the right to change these terms and conditions without notice. You can check for updates to this disclaimer at any time by visiting www.rapidresultsmethod.com.

Governing law: This policy and the use of this report/eBook, provided in any form, and any content on the website site are governed by the laws of the Republic of South Africa. Further details on this are found under the Terms and conditions on our site. Please ensure you read and agree with all Terms and Conditions as set out on our site before using any of the materials. Your use and reliance on the materials is based on your acceptance of such Terms and Conditions and policies as appear on the site.

How do you get the most out of a trade.

As you know, this market environment has been very choppy. It's been moving up and down and sideways in relatively small bounds, so we use the 1:1 risk to reward ratio to help us get the best chance of hitting our profit objectives.

But, sometimes the market will really run away and we miss out on 4 or 5 and sometimes even 10 times our risk amount, meaning if we risk 10 pips on a trade, the market can, at times, move 100 pips.

When we decide on our trading style, we usually will choose to be either a target trader or allow our trades to run. Until now, we've been trading for targets as this is usually the safest way to bag a few pips. It's doing this repeatedly that builds a nice strong account.

We know the markets really do run, and sometimes they are agonizing to see slip away, we feel like we leave so much money on the table.

It's important to note that there will be times when you are trying to catch a runner that it backfires and you will end up losing on the trade. The old-school traders are familiar with this, but in the end when they do catch one of those freight trains, it makes up for all the losers and then some.

But, how can we best take advantage of these market runs?

A better question is how do we know when to get out after a run. It's easy enough to let a trade stay open, but we could end up cleaning out our accounts this way. How do we take the best advantage of a runaway market and close the trade after the run has ended.

We have a few options at our disposal.

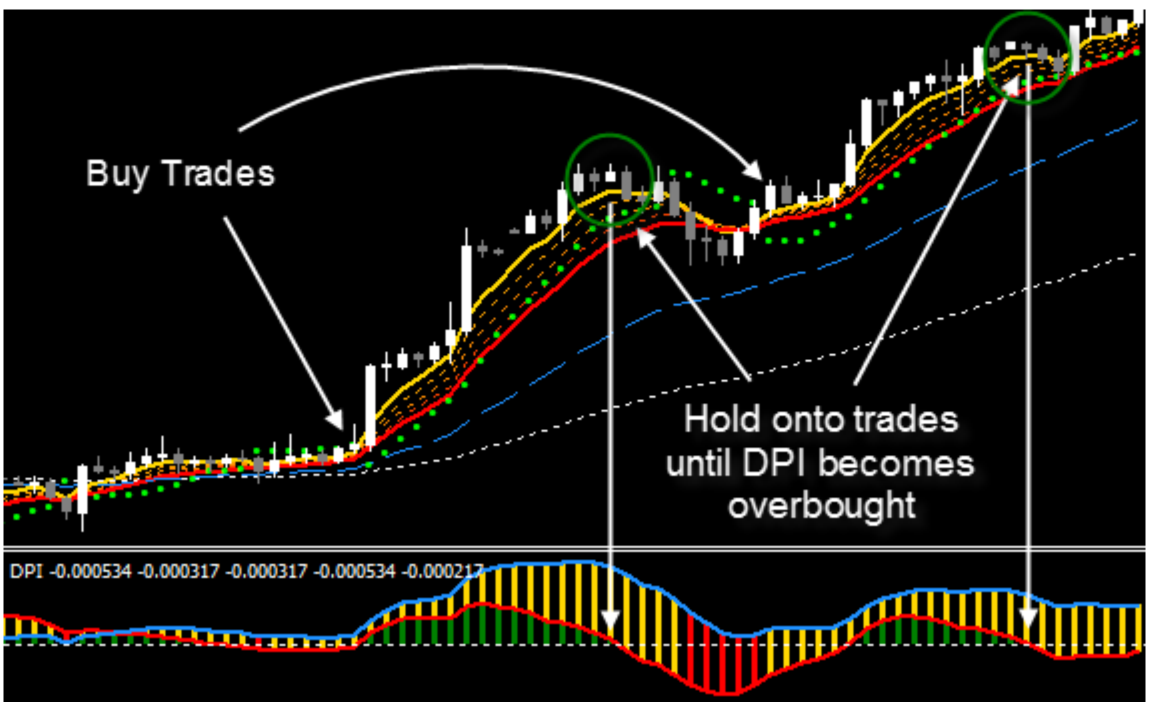
Let's take a look at them now.

DPI – Overbought/Oversold

Most of the time, we will be entering a trade when the DPI straddles the zero line. After the market begins to move, often we will see the DPI move far enough to allow the green Nested Histogram to emerge. In a buy trade we want to see the nested histogram rise above the 0 line, in a sell trade we want to see the nested histogram fall below the 0 line.

The trick to get the most of a market move is to wait until the Nested histogram shrinks away to nothing. Once the green nested histogram disappears, we can consider the market to be either overbought or oversold. It's at this time we would exit out position as the major move has likely run its course.

Below we see 2 examples of long trades that we hold on to until the market becomes overbought. Both net us substantially more profit than a 1:1 target.



PSAR

The RRM-PSAR (Parabolic Stop and Reverse) follows the price pretty nicely. It doesn't get too close too soon and will usually allow price to move if there is a market move to be had.

The way the PSAR functions is they will flip from top to bottom as price is being formed right at the dot level. We would wait for the candle to close, and if the dot flips to the opposite side of the market when the candle closes, we would close out trade.

Below you see the same 2 long trades, this time we wait for the candle to close and the PSAR dot flips to the top of the market. Once the candle is closed, and the dot is now on the wrong side, the trade is closed.

13 EMA

There are a couple of ways that we can use the 13 EMA to determine an exit from the market.

1. We would wait for a close on the opposite side of the 13 EMA. (use the 34 EMA to trail you stop loss when you use this method)
2. We would follow the 13 EMA with our stop loss until the price takes us out. The stop loss can be a few pips from the 13 EMA or right on the 13 EMA.

Generally though, the 13 EMA gets us out of a trade a little later than the first 2 options, but there will be the odd time when the 13 EMA will keep us in the market a lot longer.

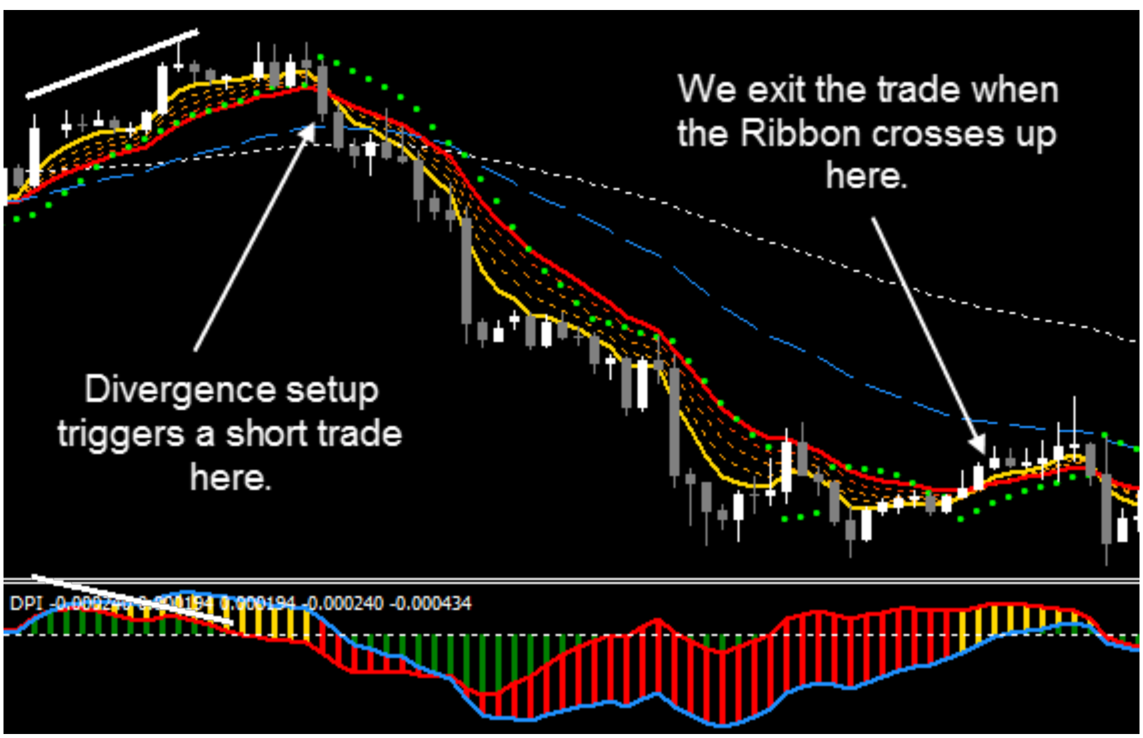
The example below is a great example of how the 13 EMA kept us in the trade longer than the other options would have (DPI and PSAR methods). It usually doesn't work out quite as well, but this is a cherry-picked image.

Ribbon Crossover

The Ribbon is a great way to exit a trade. It will generally outlast all of the other exit methods and keep you in a trade for a much longer period of time if the market is really committed in moving in one direction.

There are going to be pullbacks against the trend, or even trend changes, where the Ribbon crosses into the direction of the trade you are taking. The exit plan on this trade is to keep the trade as long as the Ribbon is still trending. As soon as the Ribbon crosses into the opposite direction of your trade, exit on the close of the candle that causes the crossover.

Below we see a nice divergent setup that gets us into a short trade early, even before the trend changes. We hang onto the position until the Ribbon crosses upwards.



To allow the trade to run its course and still have a stop loss in place, use the 34 EMA to trail your stop loss. It will protect you in the case of a severe market correction, but be far enough from price to allow the trade to follow-through.

Moving Average Crossover

Like the Ribbon Crossover, we could hang onto out trades until the bigger moving averages crossover in the opposite direction of the trade you are taking.

The Moving Average Crossover can indeed be the Ribbon crossover, but it can also be the longer moving averages.

13/34 Crossover

Just like it sounds, the 13/34 crossover is when the 13 EMA crosses over the 34 EMA in the opposite direction of your trade.

34/89 Crossover

Of course, the same can go with the 34 and the 89 EMA crossover, but this one is not strongly recommended as the price has to pull back considerably to make those indicators cross over. This large pullback will have you giving a lot of your profits back to the market.

Higher Timeframes

Switching to a higher timeframe is a great way to get more out of a trade. It can get a little tricky, but if you can pull it off, you will be greatly rewarded.

The concept is you find a trade on your current timeframe and then once the market begins to move in your favour, you switch to the next higher timeframe to find the same market situation developing there. If you are trailing your stops along the PSAR on the current timeframe, switching to a higher timeframe will give you the same opportunity to do the same thing.

As the market moves on the higher timeframe, it will have a bigger potential to cover more ground an earning you more pips.

Below is the same section on the chart, the first half is the 1 hour and the second half is the 4 hour, and we entered long at the red vertical line. As the price hit a lot of turbulence on the 1 hour, the 4 hour stayed pretty smooth. Following our trade on the 4 hour, after we entered on the 1 hour, would have netted us a lot more profit.

There are times the market can really move, so with these tips and tricks, we can potentially capture a great deal of what the market has to offer us.

Don't worry about not getting the whole run, often that is impossible to do. They say that if you can catch the middle 30% of a market move, then you are doing exceptionally well when it comes to catching a trend.

These techniques will help you catch that 30%, sometimes you can capture much more.

Good trend-catching!.

Russ Horn

Presents

Power Patterns

(High Probability Chart Patterns)

By Russ Horn

RISK DISCLOSURE STATEMENT / DISCLAIMER AGREEMENT

Trading any financial market involves risk. This report and all and any of its contents are neither a solicitation nor an offer to Buy/Sell any financial market.

The contents of this report are for general information and educational purposes only (contents shall also mean the website www.rapidresultsmethod.com or any website the content is hosted on, and any email correspondence or newsletters or postings or affiliate site as related to such website). Every effort has been made to accurately represent this product and its potential. There is no guarantee that you will earn any money using the techniques, ideas and software in these materials. Examples in these materials are not to be interpreted as a promise or guarantee of earnings. Earning potential is entirely dependent on the person using our product, ideas and techniques. We do not purport this to be a “get rich scheme.”

Although every attempt has been made to assure accuracy, we do not give any express or implied warranty as to its accuracy. We do not accept any liability for error or omission. Examples are provided for illustrative purposes only and should not be construed as investment advice or strategy.

No representation is being made that any account or trader will or is likely to achieve profits or losses similar to those discussed in this report or anywhere on www.rapidresultsmethod.com. Past performance is not indicative of future results.

By purchasing and/or using any content or product including material herein contained, subscribing to our mailing list or using the website or contents of the website or materials provided herewith, you will be deemed to have accepted these terms and conditions in full as appear also on our site, as do our full earnings disclaimer and privacy policy and CFTC disclaimer and rule 4.41 to be read herewith. So too, all the materials contained within this course, including this manual, whether they appear on our domain(s) or are in physical form, are protected by copyright. "Warning: The unauthorized reproduction or distribution of this copyrighted work is illegal. Criminal copyright infringement, including infringement without monetary gain, is investigated by the authorities and is punishable with imprisonment and a fine." We reserve all our rights in this regard.

Old Tree Publishing CC, in association with www.rapidresultsmethod.com, the website, content, and its representatives Including Russ Horn do not and cannot give investment advice or invite customers or readers to engage in investments through this report or any associated software or any subscription to any part of it.

The information provided in this content is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to law or regulation or which would subject us to any registration requirement within such jurisdiction or country.

Hypothetical performance results have many inherent limitations, some of which are mentioned below. No representation is being made that any account will or is likely to achieve profits or losses similar to those shown. In fact, there are frequently sharp differences between hypothetical performance results and actual results subsequently achieved by any particular trading program and method or software. Old Tree publishing by users download and/or use of this report is indemnified fully by any such user in any and all and each respect possible.

One of the limitations of hypothetical performance results is that they are generally prepared with the benefit of hindsight. In addition, hypothetical trading does not involve financial risk and no hypothetical trading record can completely account for the impact of financial risk in actual trading.

For example, the ability to withstand losses or to adhere to a particular trading program or system in spite of the trading losses are material points that can also adversely affect trading results. There are numerous other factors related to the market in general or to the implementation of any specific trading program, which cannot be fully accounted for in the preparation of hypothetical performance results. All of which can adversely affect actual trading results.

We reserve the right to change these terms and conditions without notice. You can check for updates to this disclaimer at any time by visiting www.rapidresultsmethod.com.

Governing law: This policy and the use of this report/eBook, provided in any form, and any content on the website site are governed by the laws of the Republic of South Africa. Further details on this are found under the Terms and conditions on our site. Please ensure you read and agree with all Terms and Conditions as set out on our site before using any of the materials. Your use and reliance on the materials is based on your acceptance of such Terms and Conditions and policies as appear on the site.

Chart Patterns

What I will cover here are some of my favorite chart patterns that will deliver a higher-than-average probability of a successful trade. These patterns are reliable and many traders watch for these. Because of the number of traders waiting to trade these patterns, they have a kind of "self-fulfilling prophecy" thing going on. They are more likely to work out simply because the big money trades them too.

These patterns are important because when you see these patterns develop, you will have a better idea which way the market will breakout.

There are 4 trend following patterns, or "continuation" patterns, and there are 2 counter trend, or "reversal" patterns.

Trend following patterns:

1. Symmetrical Triangle / Pennant
2. Ascending/ Descending Triangle
3. Flag
4. Rectangle

Trend reversal patterns:

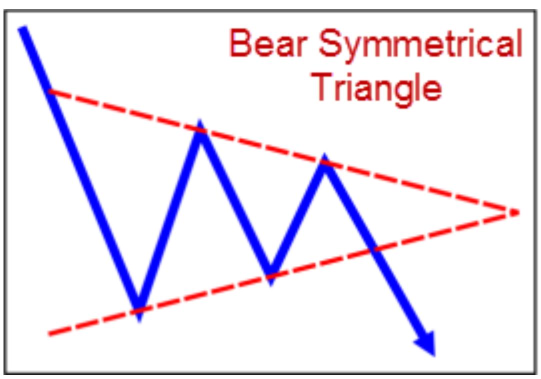
1. Wedge
2. Head and Shoulders

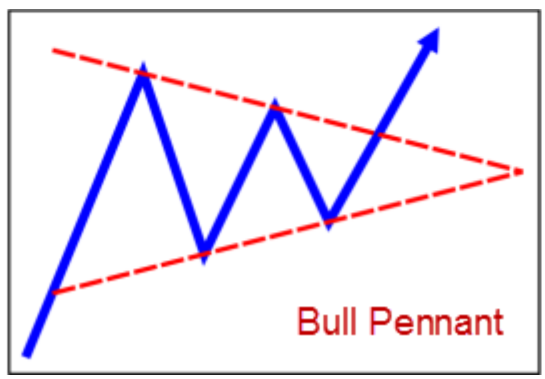
Continuation Patterns

The following chart patterns are patterns you will find in a trend. As the market takes a break from the big moves and rests a bit, you will find one of these patterns emerge. They are a good indication that the market hasn't finished its trend and the next trade you should be looking at will be with the recent trend direction.

Symmetrical Triangles and Pennants

These are essentially the same formation. As the market is pausing, you will find price retracting into a narrower and narrower configuration. The market squeezes itself from both the top and bottom. The Symmetrical Triangle and the Pennant show up just before the market takes off in its original direction.





You might be asking what then is the difference between a Symmetrical Triangle and a Pennant. The difference is slight and it's arguable at that.

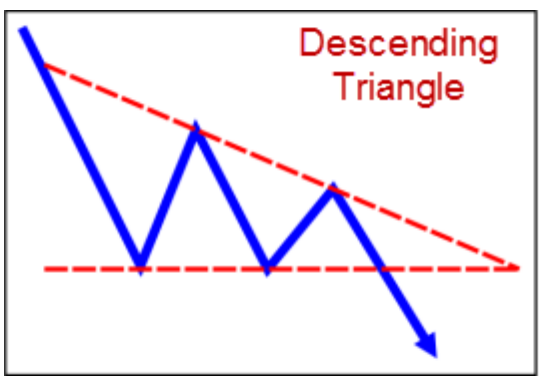
With a Symmetrical Triangle, the market gently eases into the formation, while a Pennant comes after a very sharp and quick move by the market. This long, sharp, steep market move in front of the Pennant is called the "pole"

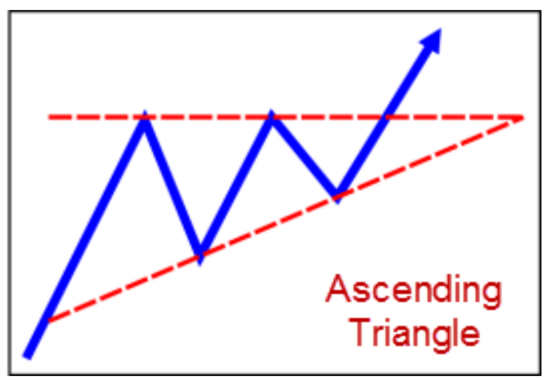
Ascending / Descending Triangles

This continuation pattern is similar to the Symmetrical Triangle, but in the case of the Ascending or Descending Triangle, the leading edge of the triangle is a flat line, a horizontal line of support or resistance.

In a Descending Triangle, price will drop in a bear trend and then take a breather. This resting phase will have price narrowing, but the lows it makes in the formation will be roughly the same while the highs will be getting progressively lower and lower. The psychology behind this formation is that the bears (sellers) are able to repeatedly push price to the same lows, but when the bulls (buyers) fight back, they can't make each push as high as the last. Eventually the bulls fail altogether and price is taken over by the bears.

The opposite is true for an Ascending Triangle. The formation comes off a rising market and then starts to form a series of equally high highs. The lows, however, are progressively higher and eventually the bulls take over completely.





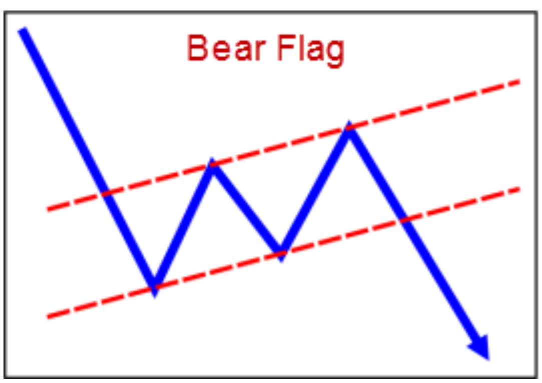
Flag

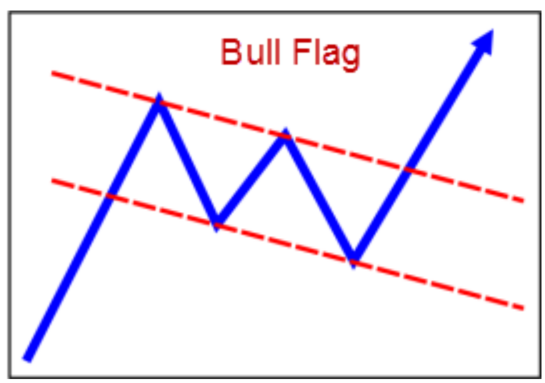
A Flag pattern is a take-a-break pattern as well. It starts off generally with a large quick move forming a fairly steep “pole”. Next comes the Flag formation as it gently moves up and down slightly against the initial move.

To be a true Flag, the formation takes place between two equally separated lines, a small support and resistance channel. The Bear Flag is formed as a slightly rising formation while a Bull Flag is a slightly falling formation.

After a large initial market move, there is a period of “covering”. That basically means traders who were in the initial large move are closing their positions. Some are closing their positions while others are opening new positions in the same direction as the initial move. This simultaneous buying and selling is like a tug-of-war between the bulls and the bears and the market doesn’t have the momentum to move in either way.

Once the open positions are covered, the remaining open positions and with the addition of the new positions will usually force price to take off in its initial direction.





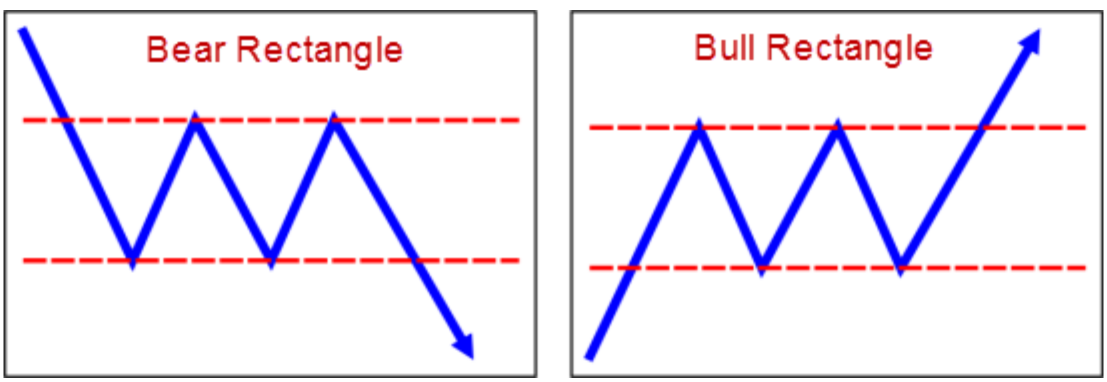
Rectangle

A rectangle is a fancy term for a range.

As price slows down after a bigger move, it will want to drift sideways for a bit. This drifting will have price floating up and down as regular business in the world influences price, but it's pretty stable.

A rectangle is price action that you can sandwich between two horizontal lines, support and resistance levels. You will find this after a big move, but also after the major market participants go to sleep on a smaller timeframe. Rectangles are periods of equilibrium, and others say it's a period of indecision. Either way it's a pause in the market that has a clearly defined high and low.

A Rectangle can be very narrow as in a consolidated market, or a little wider where there is actual price movement inside of it. This is the classic formation for a "breakout" type of trade.



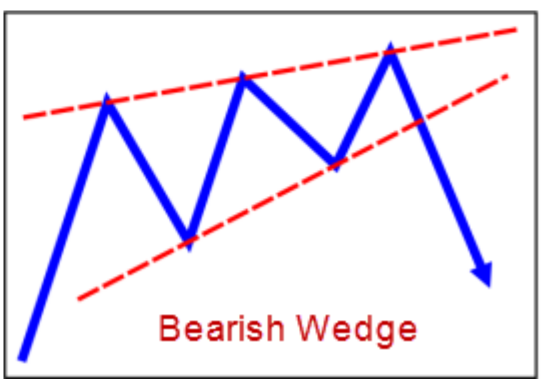
Reversal Patterns

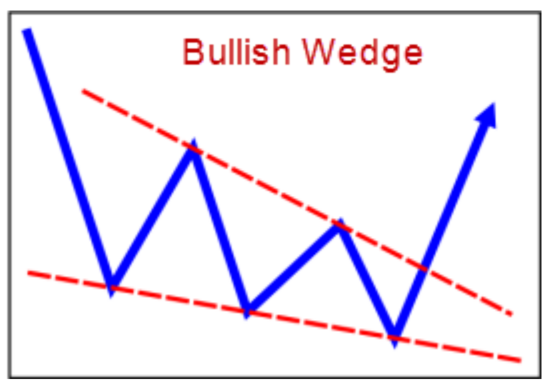
Of course the market can't move in one direction all the time. It must change direction from time to time. Many small changes in direction are simply pullbacks, but there are also complete reversals. The trick is knowing the difference between the two. A pullback is difficult and usually unprofitable to trade, but there is good money in trading reversals. Knowing a couple of high probability chart patterns will help you decide when you would trade a reversal instead of leaving it alone as a minor correction.

Wedge

This is my favorite reversal pattern. It happens almost every time a decent reversal is about to happen, I watch for it with eagle eyes!

In a bullish reversal Wedge, price must be trending lower. At the bottom of the trend, the last couple of lows are very shallow, almost a kind of bottoming out. The first low is followed by a slightly lower low. The highs however are not as shallow, they keep falling more dramatically than the lows. The opposite is true of the bearish wedge. A topping out of price as price narrows, then the reversal happens.

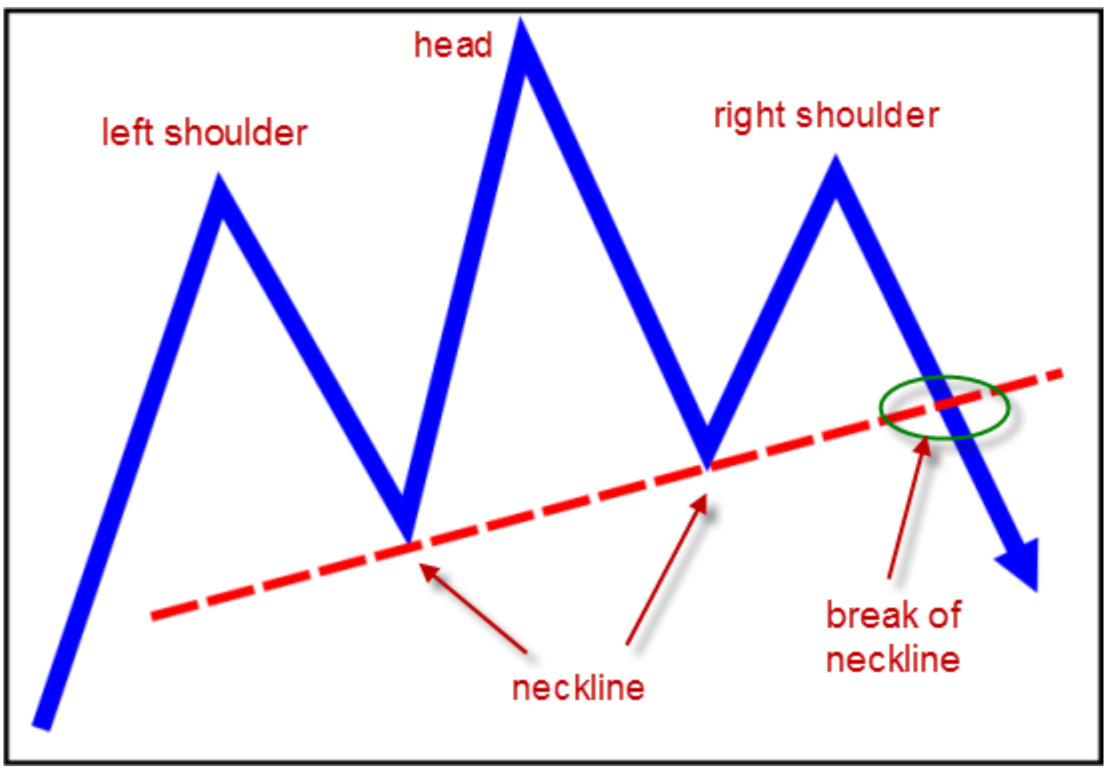




Head and Shoulders

The Head and Shoulders formation might be the single most popular chart pattern out there. It's fun to say and fun to trade. There are traders that look for this formation almost exclusively, and they do very well trading it.

The Head and Shoulders is what it sounds like. A bullish Head and Shoulders consists of a high being the left shoulder, followed by a higher high making the head. Finally there is another high that is lower than the head. This is the head and shoulders. The two lows formed by price on either side of the head is called the neckline. A trendline is drawn connecting them and when price breaks below, you have a short trade.

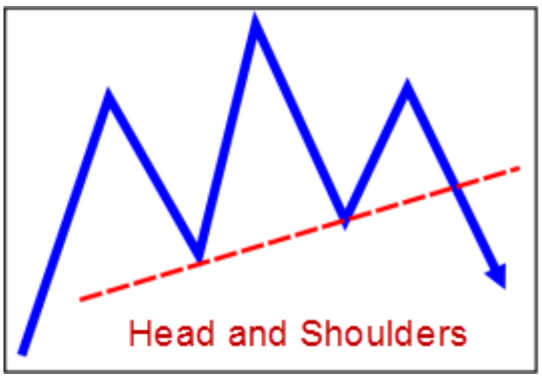


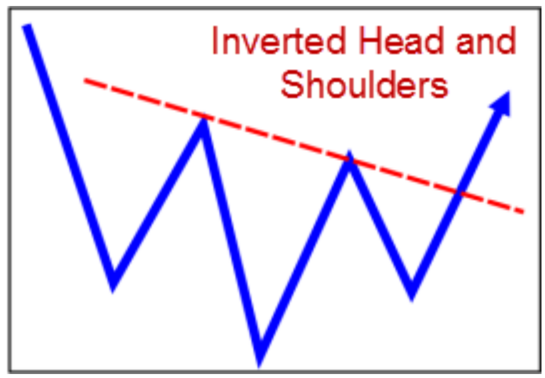
The theory behind the Head and Shoulders pattern follows the rule of a trend.

In an up-trend, you will find the market makes a series of higher highs and higher lows. In a down-trend, the market makes lower highs and lower lows, a kind of staircase looking pattern.

Head and Shoulders is a bearish pattern and it starts out with a higher high and a higher low. What follows is a lower high, this interrupts the pattern of an uptrend and is the beginning of a downtrend. The Head and Shoulders pattern assumes that the beginning of a new trend direction will have some follow-through.

The bullish version of the pattern is called the Inverted Head and Shoulders.





On the next page you will find the Quick Reference Guide to Chart Patterns that we discussed. You can print these out and keep them handy.

Quick Reference Guide to Chart Patterns

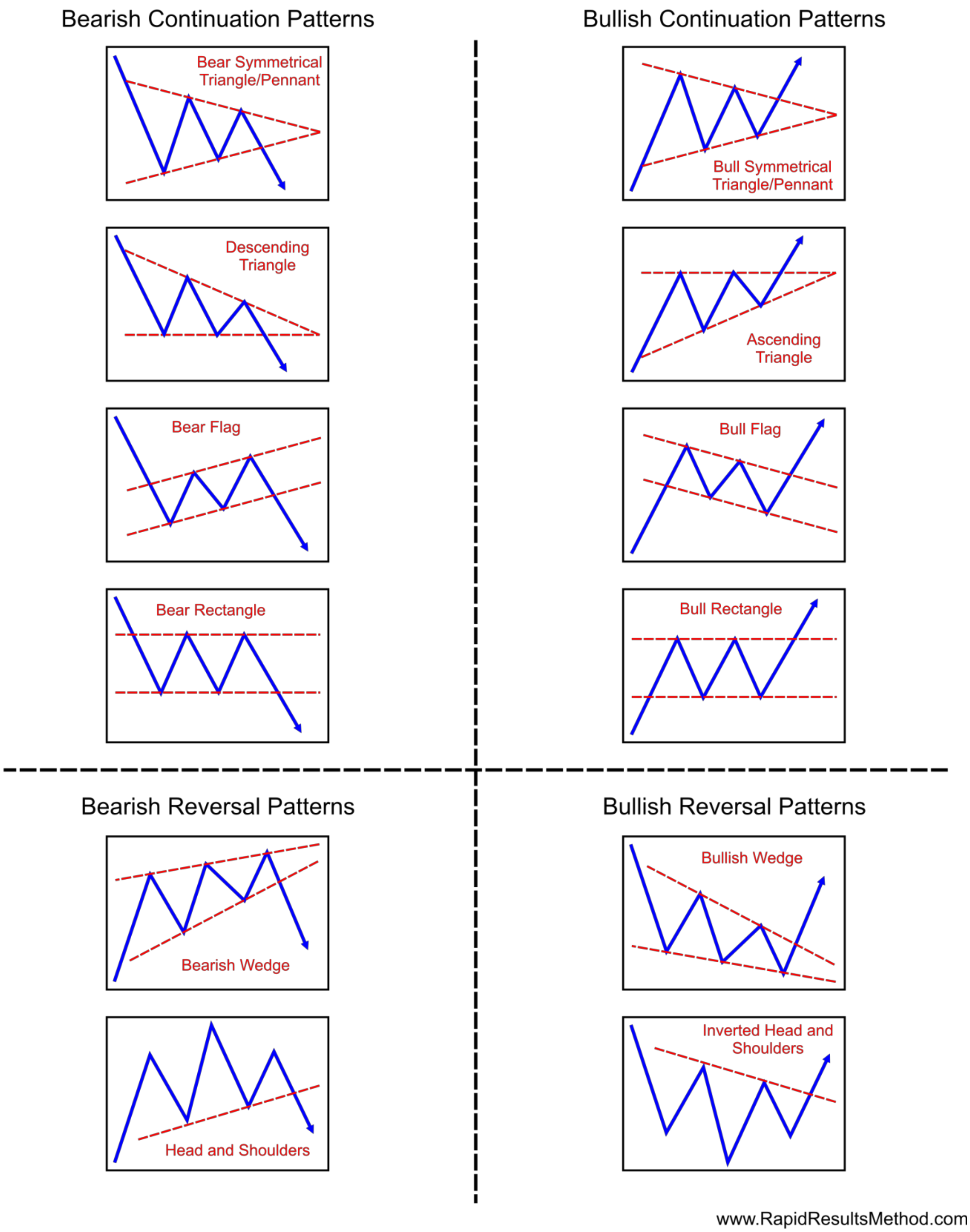


Chart patterns are a great tool for further confirmation of a trade setup. You can trade them on their own, but if they line up with an RRM setup, you have a higher probability of a successful trade.

I am not in any way intending for these patterns to complicate the system. In fact, the opposite is the case. They will help you identify a possible continuation in the market or even a reversal.

Although chart patterns are not an integral part of the RRM system, it doesn't hurt to be better educated when it comes to your trading.

Enjoy the Chart Patterns.

Russ Horn

Presents

Candlestick Formations

By Russ Horn

RISK DISCLOSURE STATEMENT / DISCLAIMER AGREEMENT

Trading any financial market involves risk. This report and all and any of its contents are neither a solicitation nor an offer to Buy/Sell any financial market.

The contents of this report are for general information and educational purposes only (contents shall also mean the website www.rapidresultsmethod.com or any website the content is hosted on, and any email correspondence or newsletters or postings or affiliate site as related to such website). Every effort has been made to accurately represent this product and its potential. There is no guarantee that you will earn any money using the techniques, ideas and software in these materials. Examples in these materials are not to be interpreted as a promise or guarantee of earnings. Earning potential is entirely dependent on the person using our product, ideas and techniques. We do not purport this to be a “get rich scheme.”

Although every attempt has been made to assure accuracy, we do not give any express or implied warranty as to its accuracy. We do not accept any liability for error or omission. Examples are provided for illustrative purposes only and should not be construed as investment advice or strategy.

No representation is being made that any account or trader will or is likely to achieve profits or losses similar to those discussed in this report or anywhere on www.rapidresultsmethod.com. Past performance is not indicative of future results.

By purchasing and/or using any content or product including material herein contained, subscribing to our mailing list or using the website or contents of the website or materials provided herewith, you will be deemed to have accepted these terms and conditions in full as appear also on our site, as do our full earnings disclaimer and privacy policy and CFTC disclaimer and rule 4.41 to be read herewith. So too, all the materials contained within this course, including this manual, whether they appear on our domain(s) or are in physical form, are protected by copyright. "Warning: The unauthorized reproduction or distribution of this copyrighted work is illegal. Criminal copyright infringement, including infringement without monetary gain, is investigated by the authorities and is punishable with imprisonment and a fine." We reserve all our rights in this regard.

Old Tree Publishing CC, in association with www.rapidresultsmethod.com, the website, content, and its representatives Including Russ Horn do not and cannot give investment advice or invite customers or readers to engage in investments through this report or any associated software or any subscription to any part of it.

The information provided in this content is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to law or regulation or which would subject us to any registration requirement within such jurisdiction or country.

Hypothetical performance results have many inherent limitations, some of which are mentioned below. No representation is being made that any account will or is likely to achieve profits or losses similar to those shown. In fact, there are frequently sharp differences between hypothetical performance results and actual results subsequently achieved by any particular trading program and method or software. Old Tree publishing by users download and/or use of this report is indemnified fully by any such user in any and all and each respect possible.

One of the limitations of hypothetical performance results is that they are generally prepared with the benefit of hindsight. In addition, hypothetical trading does not involve financial risk and no hypothetical trading record can completely account for the impact of financial risk in actual trading.

For example, the ability to withstand losses or to adhere to a particular trading program or system in spite of the trading losses are material points that can also adversely affect trading results. There are numerous other factors related to the market in general or to the implementation of any specific trading program, which cannot be fully accounted for in the preparation of hypothetical performance results. All of which can adversely affect actual trading results.

We reserve the right to change these terms and conditions without notice. You can check for updates to this disclaimer at any time by visiting www.rapidresultsmethod.com.

Governing law: This policy and the use of this report/eBook, provided in any form, and any content on the website site are governed by the laws of the Republic of South Africa. Further details on this are found under the Terms and conditions on our site. Please ensure you read and agree with all Terms and Conditions as set out on our site before using any of the materials. Your use and reliance on the materials is based on your acceptance of such Terms and Conditions and policies as appear on the site.

Candlestick Formations

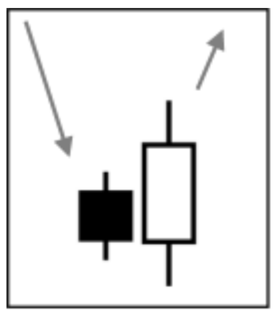
We use Japanese Candlesticks when we trade. The advantage to using these is they have a way of hinting to us what the market will do almost right away. There are certain formations that candles make that tell us what the market consensus is.

Candlestick formations can be a red flag to a trade we are in. Often we might get a reversal formation halfway to our target, this is an instance when you would consider closing the trade early and keeping your hard earned profits.

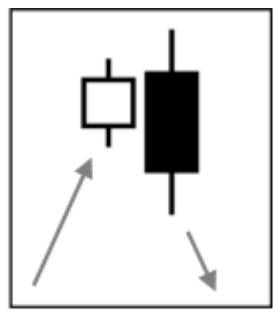
There are books written on the subject, and some go into it at length. Steve Nison is the guy who introduced the Western world to Japanese Candlesticks, and he has written volumes on the subject. Here I am going to explain the few of the more popular ones that I pay attention to.

Engulfing

One of the more popular candlestick formations is the Engulfing. It's a 2 candle formation and will appear at the top or bottom of a larger market movement. There is a small body candle followed by a big body candle the opposite color. The larger candle's body will be larger than the body of the previous candle. The **Bullish Engulfing** formation appears at the bottom of a trend. The **Bearish Engulfing** shows up at the top of a trend.



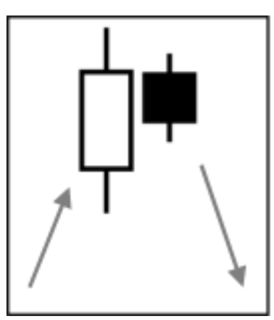
Bullish Engulfing

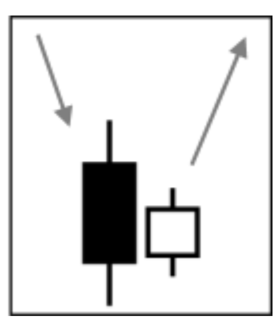


Bearish Engulfing

Inside Bar / Harami

This is a 2 candle formation that occurs at the top or bottom of a market move. The first candle has a larger candle body which is followed by a second candle with a smaller candle body (in Japanese, Harami means pregnant). The body of the second candle will be contained within the body of the larger candle to the left and be of the opposite color.





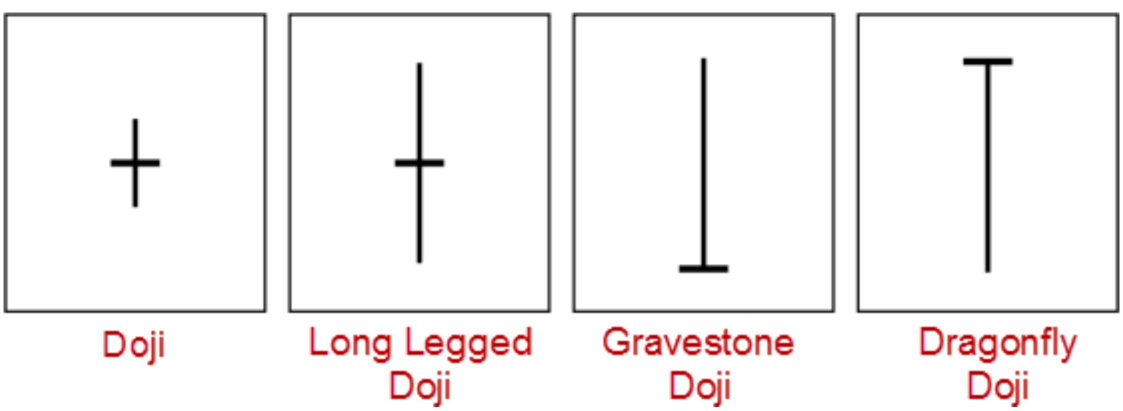
Doji

Doji is a one candle formation. The key feature of a Doji is that the open and close price is the same or very close to being the same. The body of a Doji will be very narrow as the candle opens in the same place it closes. The length of the upper and lower shadows will remain fairly small as the market has lost the momentum it recently had. A change in direction often follows this reduction in momentum. A Doji is only a valid candle formation when it appears at the top or bottom of a market move.

Long Legged Doji: The open and close are at the same price, but the upper and lower wicks are very long. The creation of the long Legged Doji has the market frantically looking for a direction. This is a period of indecision, but at the top or bottom of a trend, the temptation for the market to reverse is very strong.

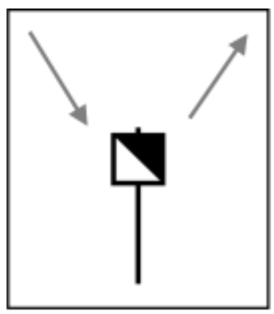
Gravestone Doji: With a long wick, the open and close of this Doji are at the bottom of the candle. It is a great formation denoting the end of an upward trend, but can, on rare occasions, also be found at the bottom of a trend. (also referred to as Pin Bar).

Dragonfly Doji: The opposite of a Gravestone Doji, the Dragonfly Doji has it's open and close at the top of the candle formation. This is a formation that will clearly determine the bottom of a trend, but will occasionally appear at the top of a trend. (also referred to as Pin Bar).

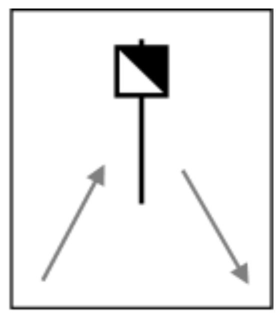


Hammer / Hanging Man

The same candlestick formation as one another, the Hammer appears at the bottom of a move and the Hanging Man appears at the top. This candlestick has a small body and a longer lower wick. There will be either no upper wick or a very small one. The length of the lower wick will be approximately 2 times the length of the body. The color of the body doesn't much matter, but it's been said that the effectiveness if the formation is better if the Hammer's body is white and the Hanging Man's body is black.



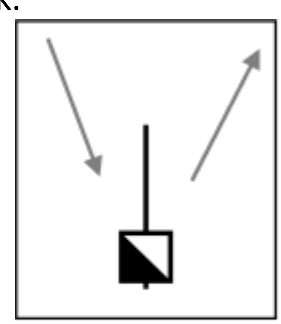
Hammer



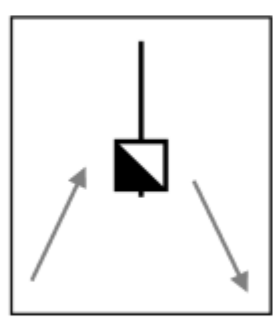
Hanging Man

Inverted Hammer / Shooting Star

The same description as the Hammer and Hanging man, the Inverted Hammer appears at the bottom of a move and the Shooting Star appears at the top. This time the Upper wick is double the length of the candle's body and either no or very small lower wick.



Inverted Hammer

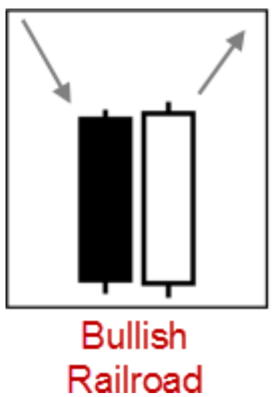


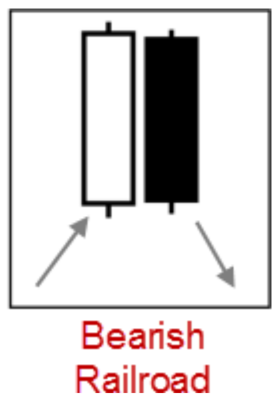
Shooting Star

Railroad Tracks

This is an instance of a quick change of mind. Railroad tracks are 2 similarly lengthy candles that are longer than the average surrounding candles. They stick out like a sore thumb when you see them. In an upward market movement, there will be a strong surge upward and then the next candle will be an almost complete undoing of the initial candle. This would be the same in a downtrend. They are good reversal candles in moving markets.

Railroad tracks don't always have to happen in a moving market, you can find them in times or relative quiet. In these cases, it's almost like a glitch in the works, there is very little in the way of an increase in momentum. Railroad tracks in a quiet market should not be traded, or traded with extreme caution.





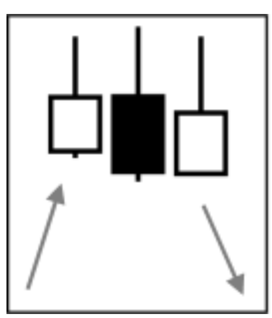
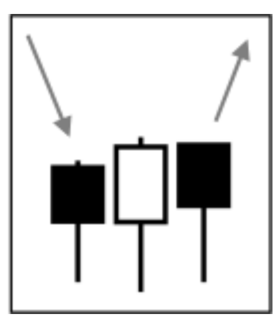
Wicks in General

Without looking for specific candle formations, the one thing that I pay the most attention to would be wicks. Whether or not the candle body is longer or shorter than the average, a long wick will often point to a change in direction. A long wick on a single candle means that during that formation of the candle there was a more than usually aggressive battle between the bulls and the bears. Whoever was able to push the charge back to actually form the wick will generally keep pushing. An initial powerful surge upwards by the bulls is met with retaliation by the bears. The bears defending their control over the market will continue to be aggressive for a short while afterwards.

Simultaneous Wicks

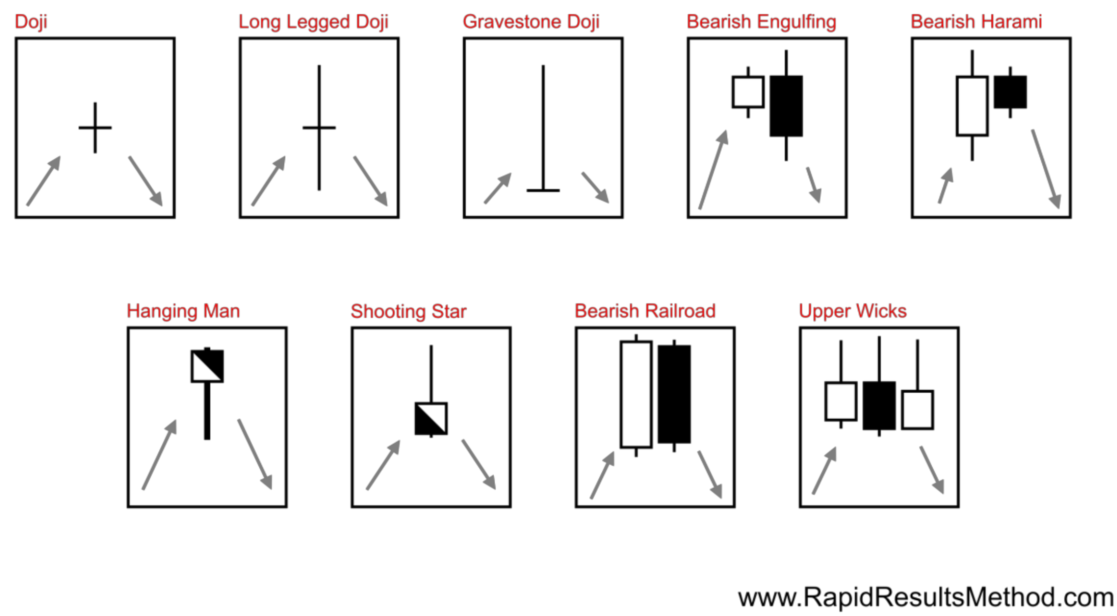
A series of wicks is a heads-up to a change in market direction. As price keeps trying to push in a direction, it is being continually met with resistance. Eventually this resistance will take over and push price in the opposite direction. In a market that was moving upwards, upper wicks will show pressure to the downside, and in a downward market, several lower wicks will hint to a potential move up.

The bodies on the candles don’t have to be unusual in length, and there doesn’t have to be an exact number of candles. 2 candles with these wicks are called “tweezers”, but you will come across 3 or 4 candles all with longer wicks on one side of the candle.

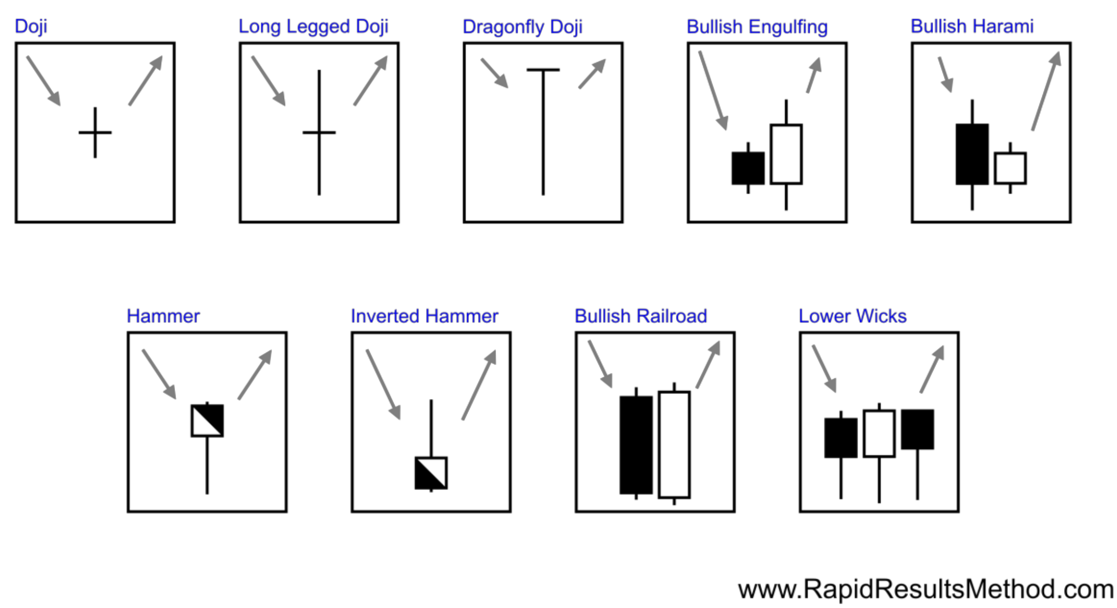



Quick Reference Guide

Bearish Candle Formations



Bullish Candle Formations



Candlestick formations are great to be aware of, but like the man himself, Steve Nison warns, we must trade the formations in conjunction with other indicators.

These formations work best when they appear at the top or at the bottom of a market move. Trying to trade these formations in a sideways market will not yield the desired results.

Candlestick formations are best used alongside other trading elements like moving averages or support and resistance levels. They work well with the guidelines laid out by the Rapid Results Method.

Good trading to you!

Russ Horn

Presents

Lead Line Trendlines

(Trendlines Drawn On The DPI)

By Russ Horn

RISK DISCLOSURE STATEMENT / DISCLAIMER AGREEMENT

Trading any financial market involves risk. This report and all and any of its contents are neither a solicitation nor an offer to Buy/Sell any financial market.

The contents of this report are for general information and educational purposes only (contents shall also mean the website www.rapidresultsmethod.com or any website the content is hosted on, and any email correspondence or newsletters or postings or affiliate site as related to such website). Every effort has been made to accurately represent this product and its potential. There is no guarantee that you will earn any money using the techniques, ideas and software in these materials. Examples in these materials are not to be interpreted as a promise or guarantee of earnings. Earning potential is entirely dependent on the person using our product, ideas and techniques. We do not purport this to be a "get rich scheme."

Although every attempt has been made to assure accuracy, we do not give any express or implied warranty as to its accuracy. We do not accept any liability for error or omission. Examples are provided for illustrative purposes only and should not be construed as investment advice or strategy.

No representation is being made that any account or trader will or is likely to achieve profits or losses similar to those discussed in this report or anywhere on www.rapidresultsmethod.com. Past performance is not indicative of future results.

By purchasing and/or using any content or product including material herein contained, subscribing to our mailing list or using the website or contents of the website or materials provided herewith, you will be deemed to have accepted these terms and conditions in full as appear also on our site, as do our full earnings disclaimer and privacy policy and CFTC disclaimer and rule 4.41 to be read herewith. So too, all the materials contained within this course, including this manual, whether they appear on our domain(s) or are in physical form, are protected by copyright. "Warning: The unauthorized reproduction or distribution of this copyrighted work is illegal. Criminal copyright infringement, including infringement without monetary gain, is investigated by the authorities and is punishable with imprisonment and a fine." We reserve all our rights in this regard.

Old Tree Publishing CC, in association with www.rapidresultsmethod.com, the website, content, and its representatives Including Russ Horn do not and cannot give investment advice or invite customers or readers to engage in investments through this report or any associated software or any subscription to any part of it.

The information provided in this content is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to law or regulation or which would subject us to any registration requirement within such jurisdiction or country.

Hypothetical performance results have many inherent limitations, some of which are mentioned below. No representation is being made that any account will or is likely to achieve profits or losses similar to those shown. In fact, there are frequently sharp differences between hypothetical performance results and actual results subsequently achieved by any particular trading program and method or software. Old Tree publishing by users download and/or use of this report is indemnified fully by any such user in any and all and each respect possible.

One of the limitations of hypothetical performance results is that they are generally prepared with the benefit of hindsight. In addition, hypothetical trading does not involve financial risk and no hypothetical trading record can completely account for the impact of financial risk in actual trading.

For example, the ability to withstand losses or to adhere to a particular trading program or system in spite of the trading losses are material points that can also adversely affect trading results. There are numerous other factors related to the market in general or to the implementation of any specific trading program, which cannot be fully accounted for in the preparation of hypothetical performance results. All of which can adversely affect actual trading results.

We reserve the right to change these terms and conditions without notice. You can check for updates to this disclaimer at any time by visiting www.rapidresultsmethod.com.

Governing law: This policy and the use of this report/eBook, provided in any form, and any content on the website site are governed by the laws of the Republic of South Africa. Further details on this are found under the Terms and conditions on our site. Please ensure you read and agree with all Terms and Conditions as set out on our site before using any of the materials. Your use and reliance on the materials is based on your acceptance of such Terms and Conditions and policies as appear on the site.

Lead Line Trendlines

We are familiar with trendlines drawn on the price chart, but how many traders can draw a tradable trendline on an indicator?

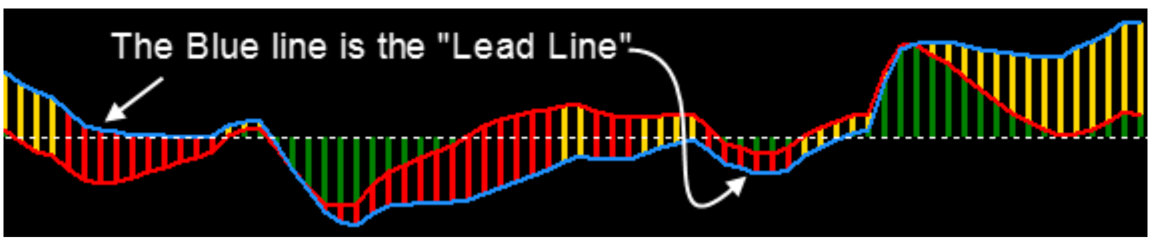
We are going to do just that, we will use the blue Lead Line on the DPI to draw trendlines and from there we will get signals we can apply to the market.

Is there no end to the awesomeness that is the DPI?

The Trendlines we draw will essentially be counter trend in manner. As the market is climbing, we will be looking for a trendline of support on the DPI. Once the support no longer holds on the DPI, we have a good indication that the market is going to also drop.

The inverse applies to the falling market. As we would draw a trendline across the tops of the market to find out angled line of resistance, we would do the same on the DPI. Once the resistance fails and the DPI breaks through upwards, we can get the impressions that the market will do something similar and also climb.

We will be analyzing the blue Lead Line of the DPI.



The Lead Line reflects price action pretty closely, but will also give us the inside edge when it comes to potential market pullbacks or small reversals.

We don’t use the red Follow Line when we look for changes in the market direction. The Follow Line is more mathematically inclined and is great at predicting upcoming failure in the market direction. The key word is “upcoming” failure. It has predictive qualities that are unbeatable when applied with other indicators like the 13 EMA or the Zero Line on the DPI.

When trading any market, often it is timing that will make the difference between a winning and a losing trade. The Follow Line is a little quicker than we need for this application and will be too far ahead for the timing we need.

The Lead Line, on the other hand, has as close to perfect timing for this as we can ask for.

Counter-Trend

Looking to the Lead Line for trade signals is going to be against the trend.

- When the market is moving up, we will be looking to trade short.

- When the market is moving down, we will be looking to trade long.

We will be drawing trendlines on the Lead Line like we would on the price. We will be looking for highs and lows to connect on the DPI just like we would look for highs and lows to connect on the price chart.

Using ht DPI in this manner will often get us into trades before any traditional RRM signal. The Lead Line Trendline setups can be traded without the moving averages.

The Lead Line Trendline is considered an “additional trading strategy”, one that we can use to either confirm RRM signals or trade independently. You will find that Lead Line Trendline (LLT) setups will trigger entries much earlier than RRM will, so using RRM moving averages aren’t necessary for these setups.

Chart Setup

The way I like to have my charts set up for the LLT methodology is simply add the DPI to a black candlestick chart, no moving averages or PSAR. The DPI should be the opened version, the one that shows the green nested histogram and the Zero line.

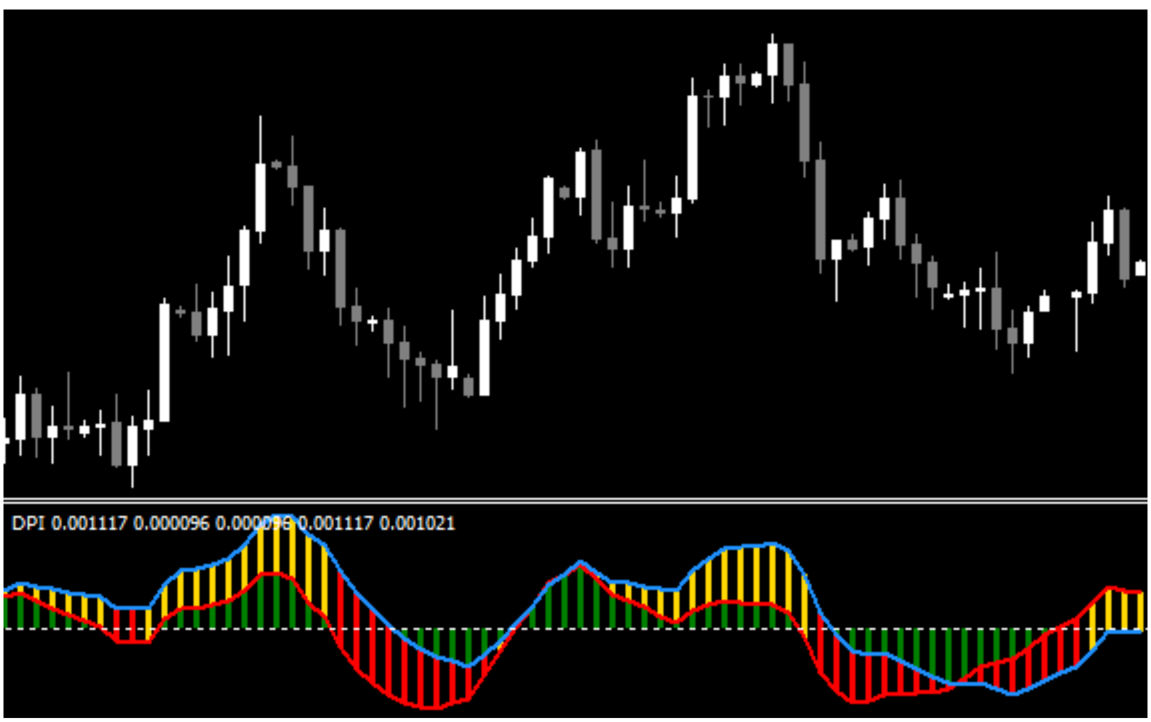
You can start by adding the rrm-black template to a chart and deleting all the indicators but the DPI

OR

Start with a blank chart and add only the DPI.

This will help you get to know the rules of the LLT. After you are familiar with how it works, you can trade this on the RRM charts without any trouble.

To begin with, your chart will look something like this:



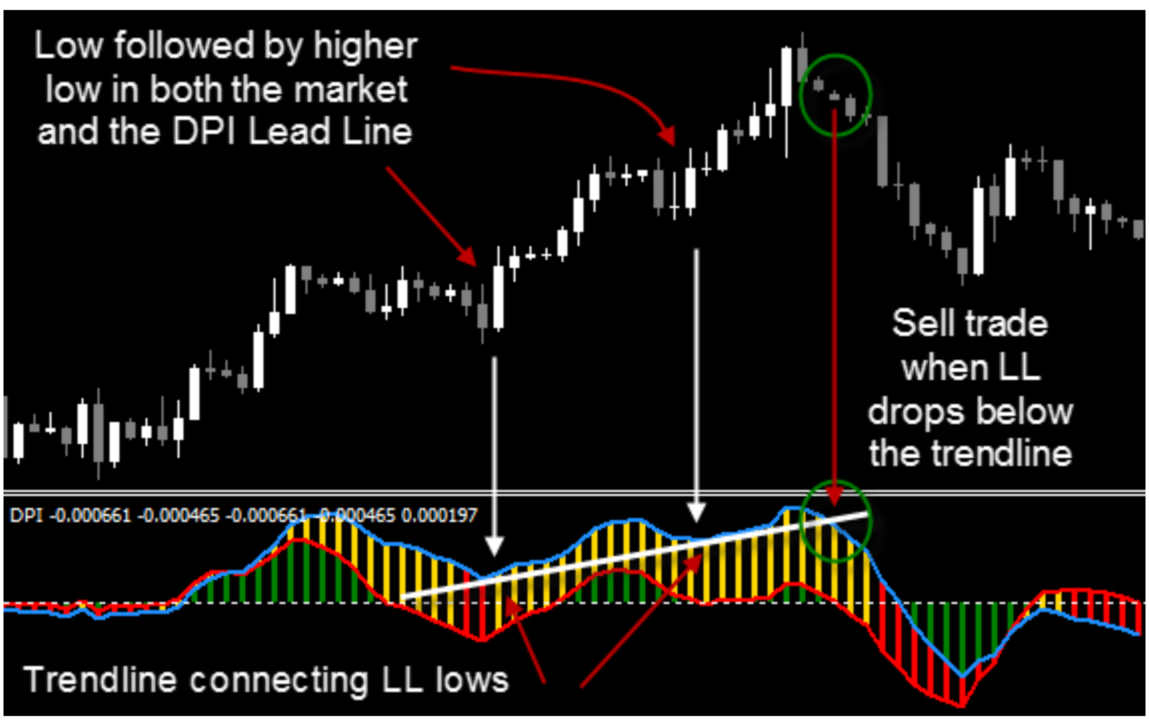
Short Trades

A short trade, or a sell trade, will be against a market that is rising. The market doesn't have to be in an established uptrend, but we do need to see a low in the market followed by a higher low.

We also need to see similar lows on the DPI. The Lead line must have a low followed by a higher low. These lows will be a reflection of the higher lows in the market.

Price – low followed by a higher low
DPI – low followed by a higher low

The trendline we draw will connect the lows on the blue Lead Line (LL) on the DPI. When the Lead Line (LL) falls below the trendline, we have a sell signal.



- **Short Trade Management:**

Because the signals happen very early, we will often get a signal to go short before the PSAR changes sides, so when this happens, using it as an initial stop loss will be impossible.

- **Stop Loss**

We will place our stop loss over the most recent high in the market. The PSAR will generally still be on the wrong side of the market, so to keep from getting distracted, we have temporarily removed it from our charts.

- **Take Profit / Managing the Trade**

There are a few ways to manage the trade from here. We can manage the trade using the PSAR dots. The dots won't immediately appear for us to use, but as the market moves and they do flip up to the top of the candles, we can then use them to move our stop loss downwards.

Our exit strategy will be a similar exit to the RRM rules, again we have some options:

- We can use the 1:1 reward to risk ratio.
- We can trail our stop along the PSAR (that we've added back to our chart).
- We can exit the trade when the Nested Histogram disappears.
- We can use a 2:1 reward to risk ratio due to the aggressive entry. We are getting into a trade earlier and we might normally, and that gives the market more room to move.

Below you see the same short as above, but in this case we are managing the trade.

Fist we found our entry as the DPI Lead Line crosses below the trendline that we drew on the DPI.

Once we have our entry,

- the stop goes above the recent swing high
- fist exit opportunity will be the 1:1
- second exit opportunity will be 2:1
- third exit opportunity will be the PSAR
- finally the forth opportunity to exit the trade will be when the DPI becomes oversold.

Of course, once you are in the trade, you can manage it anyway you like, from a higher timeframe, use the 13 EMA, however you see fit.

Long Trades

A long trade, or a buy trade, will be against a market that is falling. The market doesn't have to be in an established downtrend, but we do need to see a high in the market followed by a lower high.

We also need to see similar highs on the DPI. The Lead line must have a high followed by a lower high. These highs will be a reflection of the lower highs in the market.

Price – high followed by a lower high
DPI – high followed by a lower high

The trendline we draw will connect the highs on the blue Lead Line (LL) on the DPI. When the Lead Line (LL) rises above the trendline, we have a buy signal.

In the example below, you will see that the PSAR is still on the chart. The entry signal occurs under the dots, this is ok.

- **Long Trade Management:**

Because the signals happen very early, we will often get a signal to go long before the PSAR changes sides, so when this happens, using it as an initial stop loss will be impossible.

- **Stop Loss**

We will place our stop loss under the most recent low in the market. The PSAR will generally still be on the wrong side of the market, so to keep from getting distracted, we have temporarily removed it from our charts.

- **Take Profit / Managing the Trade**

There are a few ways to manage the trade from here. We can manage the trade using the PSAR dots. The dots won't immediately appear for us to use, but as the market moves and they do flip down under the candles, we can then use them to move our stop loss upwards.

Our exit strategy will be a similar exit to the RRM rules, again we have some options:

- We can use the 1:1 reward to risk ratio.
- We can trail our stop along the PSAR (the we've added back to our chart).
- We can exit the trade when the Nested Histogram disappears.
- We can use a 2:1 reward to risk ratio due to the aggressive entry. We are getting into a trade earlier and we might normally, and that gives the market more room to move.

Below you see the same long as above, but in this case we are managing the trade.

Fist we found our entry as the DPI Lead Line crosses above the trendline that we drew on the DPI.

Once we have our entry,

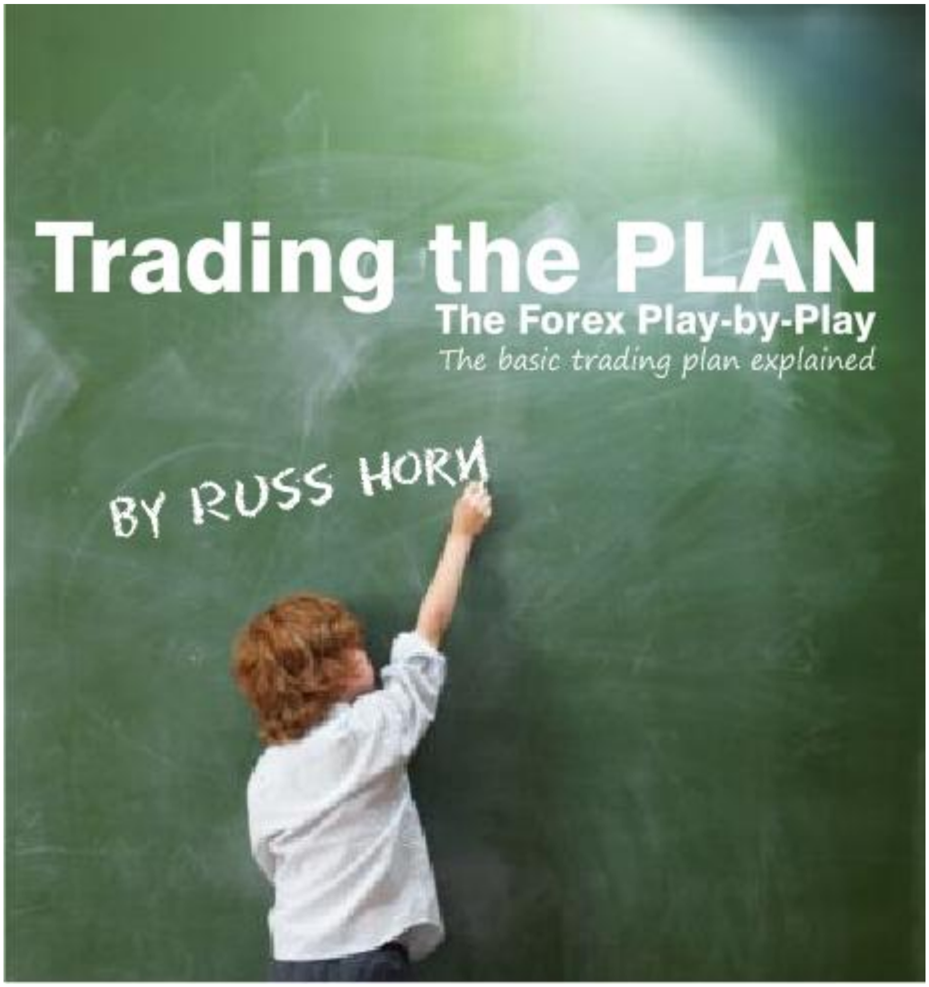
- the stop goes below the recent swing low
- fist exit opportunity will be the 1:1
- second exit opportunity will be 2:1
- third exit opportunity will be the PSAR
- finally the forth opportunity to exit the trade will be when the DPI becomes overbought.

Of course, once you are in the trade, you can manage it anyway you like, from a higher timeframe, use the 13 EMA, however you see fit.

The Lead Line Trendline method is built to be an additional feature to the RRM system. The examples I show are without the RRM moving averages, but in the end you will be using it with the full RRM indicator set.

Enjoy the additional system information, happy trading!

Russ Horn



Risk Disclosure

Trading foreign exchange on margin carries a high level of risk, and may not be suitable for all investors. The high degree of leverage can work against you as well as for you. Before deciding to trade foreign exchange you should carefully consider your investment objectives, level of experience, and risk appetite. The possibility exists that you could sustain a loss of some or all of your initial investment and therefore you should not invest money that you cannot afford to lose. You should be aware of all the risks associated with foreign exchange trading, and seek advice from an independent financial advisor if you have any doubts.

http://www.rapidresultsmethod.com

Trading the Plan

Wanting to trade is awesome!

Finding yourself a great trading system is awesomer!

Deciding you want to be a full time trader is the awesomest!

Now what? You have decided that you want to trade your way to riches. It's a good idea, many traders have done it. Traders are making themselves millionaires every day. So, how are you going to do it?

Chances are that you won't do very well, statistically speaking. I know you have the best intentions and right now you may be full of energy and desire, but after a few weeks of constant trading you will find it's not as appealing anymore.

The problem will most likely be a lack of direction. Wanting to trade and make a bunch of money is essentially what we are trading for, but there has to be more to it than that.

What you need to stay on track is a Trading Plan!

Everyone will have a trading plan that is unique to themselves. Yours will have to be tailored to fit your goals, your trading times, and your approach to the market and so on. In order to take your initial $1000 account to something that can change your life will need focus and a thought out plan of attack.

Trading is a business and should be approached and treated in that way, even if you are trading in your pajamas from home. No business becomes successful without a business plan, and your trading plan will your business plan. It will help get rid of any blind spots and give you the direction you need.

What should your trading plan cover?

Your trading plan should cover everything you can think of trading-wise. Trading involves so much more than just your trading system, although your system is an important part of your plan.

Many trades plans are very simple and basically cover the trading system's rules. You can write your plan in a single paragraph if this is the case.

I prefer to go a little further. Since you will be doing this only once in a while, it makes sense to go the extra mile, it serves a good purpose.

Let's cover what my Trading Plan looks like, this will give you an idea for yours: You will see the point in bold, a description below that, and below the description you will see my personal response in italics.

1. **What is the reason you are trading?**
   What is the motivating reason you are trading? More than just money, what's the objective.
   (Early retirement, paid off house, kids in college, free of debt in general)
2. **What is your long-term goal?**
   What is your financial objective in 5 to 10 years from now?
   (10 million dollars)
3. **What is your mid-term goal?**
   What is your financial objective for the next 1 – 2 years?
   (1 million dollars)
4. **What is your short-term goal?**
   This can be a weekly or monthly financial goal.
   (A 20% monthly gain in my trading account)
5. **What currency pairs will you trade?**
   Will you focus on a few pairs or several?
   (EURUSD, EURJPY, GBPUSD, AUDUSD, USDCAD, USDJPY)
6. **What is your maximum risk per trade?**
   This will usually be a percentage of your total account size.
   (I will risk a maximum of 2% on each position)

7. **What is your maximum exposure at any given time?**
   This will be the combined risk of all your simultaneously open positions.
   (My max exposure will be 6%)
8. **What is your maximum loss amount for the trading day?**
   This will be a total percentage loss of your trading account before you quit for the day.
   (My max daily loss will be 6%)
9. **What is your maximum number of trades for the day?**
   To avoid over trading, set a maximum number of trades for the day.
   (I will take as many as 5 trades (win or lose) in one day)
10. **How many losing trades will you take before you quit for the day?**
   To avoid giving too much of your money to the market, it's a good idea to quit after a certain number of losing trades.
   (If my first 2 trades are losers, I will quit trading for the day)
11. **How many winning trades will you take before you quit for the day?**
   To avoid giving your money back to the market, it's a good idea to quit after a certain number of winning trades.
   (If my first 2 trades are winners, I will quit trading for the day)
12. **What is your trading schedule?**
   How many days a week, what time of day and for how long will you be trading?
   (4 days a week, Tuesday – Friday, for 3 hours a day from 1am – 4am MST)
13. **What is your win - loss ratio?**
   Knowing your win loss ratio is very important. This will help you take your losses in stride. Knowing that your ratio is certain percentage, you will not be surprised with your losses when they happen, freeing you up to continue trading.
   (70% winners, 30% losses and breakevens)
14. **Will you consider Economic News before you trade?**
   Will your consult a news calendar before you trade?
   (I check http://www.forexfactory.com/calendar.php before every trading session, if there is influential news I will not trade)

15. **What indicators/price action/trading system do you use?**
    Do you use an established system or one you created?
    (I use Rapid Results Method with the original settings)
16. **What Timeframe(s) will you trade?**
    Will you trade a single timeframe or do you watch several?
    (I will trade the 15 minute timeframe using the 1 hour for trade confirmation)
17. **What will trigger an entry?**
    What are the specific details about the entry signal you take?
    (Trade a trend-following ribbon/ghost/shark setup and also look to divergence counter-trend trades. I will also watch for lead line trendline trade setups)
18. **How will you get out in profit?**
    Will you have a target or a pip count or a trailing stop of some kind?
    (I will allow my trades to run using the DPI overbought/oversold exit strategy)
19. **How will you get out at a loss?**
    How do you place your stops, if you do, and do you move your stops?
    (I will place my initial stop just beyond the PSAR and trail my stop along the PSAR dot)
20. **How do you feel before you start trading?**
    Trading requires your full concentration, so if you are feeling ill or frustrated or distracted or tired or in pain, you might want to consider not trading.
    (If I am distracted in any way, I will not trade)
21. **How should you feel when you win?**
    What is your ideal emotional response to a winning trade?
    (I will feel happy about the win, but don't want to get too excited about it)
22. **How should you feel when you lose?**
    What is your ideal emotional response to a losing trade?
    (I won't like losing the trade, but I won't let it get to me, I can easily shrug it off. I will take the next trade as usual)

The above is a nice outline for a comprehensive trading plan. It doesn't need to be any longer than a couple of pages, but it should include more than just your trading system.

Having a trading system with rules you can follow is a good start, but if you don't have a destination in mind, you will find it hard to arrive. Your trading plan will be your roadmap. It's much easier to get where you want when you have a detailed set of instructions guiding the way.

The goal becomes clearer, and hopefully now you won't be trading one trade at a time. Each trade you take is part of a much bigger picture. Knowing your win loss ratio is huge to helping you stay on track. If you know you win 60% of your trades, you should start looking at your trades in chunks of 20 or 30 trades. Don't let a few losers discourage you, over time the ratio will work out.

Below this page are the Trading Plan questions in a format that you can print out and answer.

Best regards and best of luck in your trading career!

Russ Horn

http://www.rapidresultsmethod.com

1. What is the reason you are trading?

2. What is your long-term goal?

3. What is your mid-term goal?

4. What is your short-term goal?

5. What currency pairs will you trade?

6. What is your maximum risk per trade?

7. What is your maximum exposure at any given time?

8. What is your maximum loss amount for the trading day?

9. What is your maximum number of trades for the day?

10. How many losing trades will you take before you quit for the day?

---

11. How many winning trades will you take before you quit for the day?

---

12. What is your trading schedule?

---

13. What is your win - loss ratio?

---

14. Will you consider Economic News before you trade?

---

15. What indicators/price action/trading system do you use?

---

16. What Timeframe(s) will you trade?

---

17. What will trigger an entry?

---

18. How will you get out in profit?

---

19. How will you get out at a loss?

20. How do you feel before you start trading?

21. How should you feel when you win?

22. How should you feel when you lose?

Additional Notes: